

Financial statements

Contents

Independent auditors' report to the members of Diageo plc	135
Primary statements	
Consolidated income statement	143
Consolidated statement of comprehensive income	144
Consolidated balance sheet	145
Consolidated statement of changes in equity	146
Consolidated statement of cash flows	147
Accounting information and policies	
1. Accounting information and policies	148
Results for the year	
2. Segmental information	150
3. Exceptional items	153
4. Operating cost	155
5. Finance income and charges	156
6. Investments in associates and joint ventures	157
7. Taxation	158
Operating assets and liabilities	
8. Acquisition and sale of businesses and brands and purchase of non-controlling interests	161
9. Intangible assets	165
10. Property, plant and equipment	169
11. Biological assets	170
12. Leases	170
13. Other investments	171
14. Post-employment benefits	171
15. Working capital	176
Risk management and capital structure	
16. Financial instruments and risk management	179
17. Net borrowings	186
18. Equity	187
Other financial statement disclosures	
19. Contingent liabilities and legal proceedings	190
20. Commitments	192
21. Related party transactions	192
22. Principal group companies	193
Financial statements of the company	194

Introduction

The group's consolidated financial statements are prepared in accordance with international accounting standards in conformity with the requirements of the Companies Act 2006 and International Financial Reporting Standards (IFRS) adopted by the UK (UK-adopted International Accounting Standards) and IFRSs as issued by the International Accounting Standards Board (IASB).

The financial statements of Diageo plc (the company) are prepared in accordance with the Companies Act 2006 and in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework (FRS 101).

Independent auditors' report to the members of Diageo plc

Report on the audit of the financial statements

Opinion

In our opinion:

- Diageo plc's (''Diageo'') group consolidated financial statements and company financial statements (the "financial statements") give a true and fair view of the state of the group's and of the company's affairs as at 30 June 2026 and of the group's profit and the group's cash flows for the year then ended;
- the group consolidated financial statements have been properly prepared in accordance with UK-adopted international accounting standards as applied in accordance with the provisions of the Companies Act 2006;
- the company financial statements have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework", and applicable law); and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report, which comprise:

- the consolidated and company balance sheets as at 30 June 2026;
- the consolidated income statement;
- the consolidated statement of comprehensive income;
- the consolidated statement of cash flows;
- the consolidated and company statements of changes in equity for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Our opinion is consistent with our reporting to the Audit Committee.

Separate opinion in relation to IFRSs as issued by the IASB

As explained in note 1(a) to the financial statements, the group, in addition to applying UK-adopted international accounting standards, has also applied international financial reporting standards (IFRSs) as issued by the International Accounting Standards Board (IASB).

In our opinion, the group consolidated financial statements have been properly prepared in accordance with IFRSs as issued by the IASB.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, as applicable to listed public interest entities, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

To the best of our knowledge and belief, we declare that non-audit services prohibited by the FRC's Ethical Standard were not provided.

Other than those disclosed in note 4(b) of the group consolidated financial statements, we have provided no non-audit services to the company or its controlled undertakings in the period under audit.

Our audit approach

Overview

Audit scope

- We identified six components which required a full scope audit over their financial information due to their size or risk characteristics. Specific audit procedures and/or an audit over certain financial statement line items were performed at a further four components. In addition, audit procedures at the corporate function which included the group consolidation and areas of judgement (including taxation, goodwill, brand and other intangible asset impairment, treasury activities and post-retirement benefits) were directly performed by the group audit team.
- The audit work performed accounted for 68% of sales and 84% of the group's profit before tax and exceptional items.

Key audit matters

- Carrying value of goodwill, brands and investments in associates and joint ventures (group)
- Uncertain tax positions in respect of indirect taxes in Brazil (group)
- Valuation of post-employment benefit liabilities (group and company)
- Carrying value of investments in subsidiary undertakings (company)

Materiality

- Overall group materiality: $250m (2025: $250m) based on 5% of profit before tax and exceptional items.
- Overall company materiality: $259m (2025: $342m) based on 0.5% of net assets.
- Performance materiality: $187m (2025: $188m) (group) and $194m (2025: $257m) (company).

Independent auditors' report to the members of Diageo PLC *continued*

The scope of our audit

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements.

Key audit matters

Key audit matters are those matters that, in the auditors' professional judgement, were of most significance in the audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditors, including those which had the greatest effect on: the overall audit strategy; the allocation of resources in the audit; and directing the efforts of the engagement team. These matters, and any comments we make on the results of our procedures thereon, were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

This is not a complete list of all risks identified by our audit.

The key audit matters below are consistent with last year.

Key audit matter	How we addressed the key audit matter
Carrying value of goodwill, brands and investments in associates and joint ventures (group)	
Relevant references in the Annual Report: Refer to the Audit Committee Report and Note 1(e): Critical accounting estimates and judgements; Note 6: Investments and associates and joint ventures and Note 9: Intangible assets in the group consolidated financial statements. At 30 June 2026, the group has goodwill of $2,436m (2025: $2,949m) brands of $8,558m (2025: $9,381m), and investments in associates and joint ventures of $5,284m (2025: $5,334m). Impairment reviews are carried out to ensure that goodwill, brands and the group's investments in associates and joint ventures are not carried above their recoverable amounts. Management estimates the recoverable amount as being the higher of value in use ('VIU') and fair value less cost of disposal ('FVLCD'). Management determines a VIU recoverable amount by preparing discounted cash flow models which are based on the group's latest cash flow projections. Management's forecasts are dependent on various assumptions, both short term and long term in nature, and management's intent for their business activities. To estimate FVLCD, management uses different assumptions, which may include quoted market prices, market capitalisations, valuation multiples for comparable companies applied to earnings, discounted cash flows, recent market transactions and other relevant market information. The assumptions used, which are subject to estimation uncertainty, are derived from a combination of management's judgement, experts engaged by management and market data. The significant assumptions that we focused our audit on were those with greater levels of management judgement and for which variations had the most significant impact on the recoverable amounts and included volume, net sales and operating profit margins, long-term growth rates, discount rates and valuation multiples. Management's impairment review resulted in an impairment of $1,274m, comprising $808m related to Yenì Raki, Don Papa, Aviation Gin, Ypióca and other brands and $466m of goodwill related to Türkiye. Greater China, the Yenì Raki brand and the group's investment in Moët Hennessy were all identified to be sensitive to reasonably possible changes in key assumptions, resulting in sensitivity disclosures in the Annual Report.	Our audit procedures to assess the carrying value and associated impairments recorded in respect of the group's goodwill, brands, investments in associates and joint ventures included: • assessing the design and testing the operating effectiveness of controls in place over methodologies and significant assumptions and the calculation of the recoverable amounts; • evaluating the objectivity and competence of management's expert involved in the estimation of recoverable amounts; • assessing the appropriateness of the methodology used and compliance with the relevant accounting standards; • reviewing the mathematical accuracy of the calculations; • obtaining evidence to evaluate and support the significant assumptions used by management in determining future cash flows, including corroborating volume growth to third party forecasts and assessing the reasonableness of net sales, costs and operating profit margins based on our understanding of the business, industry and past performance; • with the support of our valuations experts, determining an independent reasonable range for discount and long-term growth rate assumptions used in VIU estimates, and valuation multiples in FVLCD estimates, and comparing these to the assumptions used by management; • performing our own sensitivities to form an independent view on reasonable downside scenarios; and • evaluating and testing the disclosures made in the Annual Report.

Uncertain tax positions in respect of indirect taxes in Brazil (group)

Relevant references in the Annual Report: Refer to the Audit Committee Report and Note 1(e): Critical accounting estimates and judgements; Note 7: Taxation; and Note 19: Contingent liabilities and legal proceedings in the group consolidated financial statements.

At 30 June 2026, the group has disclosed a contingent liability related to uncertain indirect tax positions in Brazil, of which the current aggregate known possible exposure from tax assessment values is up to $1,032m (2025: $906m).

The group operates across a large number of jurisdictions. Due to the complexity of indirect tax legislation, particularly in developing markets, the group has a wide range of tax exposures relating to indirect taxes against which provisions are held and contingent liabilities are disclosed. In common with other alcohol beverage companies, indirect taxation is particularly complex because of specific alcohol excise duties and the international distribution of certain brands. There is also judgement involved in assessing the impact of changes in local tax regulations and relevant rulings, together with ongoing inspections by local tax and customs authorities and international bodies.

In the normal course of business, the group is subject to periodic challenges by tax authorities on a range of matters, including a large number of ongoing tax cases in Brazil. Management has assessed the likelihood that the tax authorities in Brazil will ultimately prevail in respect of these matters is lower than probable but higher than remote and consequently has made contingent liability disclosures.

Our audit procedures to assess uncertain positions in respect of indirect taxes in Brazil included:

- assessing the design and testing the operating effectiveness of controls in place in respect of assessing tax exposures;
- with the assistance of our tax specialists, we evaluated management's judgements and the status of material tax exposures, including consideration of developments in the tax environment and reading and obtaining legal confirmations from the group's tax experts and legal advisors; and
- evaluating and testing the disclosures made in the Annual Report.

Valuation of post-employment benefit liabilities (group and company)

Relevant references in the Annual Report: Refer to the Audit Committee Report and Note 1(e): Critical accounting estimates and judgements; and Note 14: Post-employment benefits in the group consolidated financial statements.

The group has a defined benefit obligation of $7,430m at 30 June 2026 (2025: $7,776m), of which the most significant schemes are in the United Kingdom and Ireland.

The valuation of post-employment benefit liabilities is dependent on a number of actuarial assumptions. Management uses an actuarial expert to determine the valuation of the defined benefit liability. The valuation methodology uses a number of market-based inputs and other financial and demographic assumptions. The significant assumptions that we focused our audit on were those with greater levels of management judgement and for which variations had the most significant impact on the liability. Specifically, these included the discount rates, inflation rates and mortality rates.

Our audit procedures performed in relation to the valuation of the defined benefit obligation included:

- assessing the design and testing the operating effectiveness of controls in place over methodologies and significant assumptions;
- evaluating the objectivity and competence of management's expert involved in the valuation of the defined benefit obligation;
- engaging actuarial experts to understand the judgements made by management and their actuarial expert in determining the significant assumptions, and comparing these assumptions to independently compiled expected ranges based on market observable indices and the knowledge and opinions of experts; and
- evaluating and testing the disclosures made in the Annual Report.

Independent auditors' report to the members of Diageo PLC *continued*

Carrying value of investments in subsidiary undertakings (parent)

Relevant references in the Annual Report: Refer to Note 3: Investments in subsidiary undertakings in the company financial statements.

The company holds investments in subsidiary undertakings of $58,254m at 30 June 2026 (2025: $77,297m).

Investments in subsidiary undertakings are accounted for at historical cost less accumulated impairment.

Judgement is required to assess if impairment indicators exist and, where indicators are identified, if the investment carrying value is supported by the recoverable amount. In assessing for impairment indicators, management considers the market capitalisation of the group, the results of their group impairment assessments and other facts and circumstances which may be indicative of an impairment indicator. Where impairment indicators are identified, management estimates the recoverable amount using the higher of value in use ('VIU') or fair value less cost of disposal ('FVLCD').

Estimating the recoverable amount is dependent on various assumptions, both short term and long term in nature. These assumptions, which are subject to estimation uncertainty, are derived from a combination of management's judgement, experts engaged by management and market data. The significant assumptions that we focused our audit on were those with greater levels of management judgement and for which variations had the most significant impact on the recoverable amount. Specifically, these included volume, net sales and operating profit margins, long-term growth rates, discount rates and valuation multiples.

Management's assessment resulted in an impairment of $19,045m related to the company's investment in Tanqueray Gordon and Company Limited. The remaining investment values continue to be sensitive to reasonably possible changes in key assumptions, resulting in sensitivity disclosures in the Annual Report.

Our audit procedures performed in relation to the carrying value of investments in subsidiary undertakings included:

- assessing the design and testing the operating effectiveness of controls in place over methodologies and significant assumptions and the calculation of the recoverable amount;
- evaluating the objectivity and competence of management's expert involved in the estimation of the recoverable amount;
- assessing the appropriateness of the methodology used in the determination of the recoverable amount and the mathematical accuracy of the calculations;
- assessing whether the cash flows used are consistent with cash flow forecasts used in other estimates and judgements across the group, including the group's goodwill and brand impairment assessments;
- with the support of our valuations experts, determining an independent reasonable range for discount rate assumptions and comparing it to the discount rate used by management;
- where the recoverable amount was assessed with reference to a valuation multiple, with the support of our valuation experts, we assessed the appropriateness of the multiple to comparable companies and to other third-party information;
- performing our own sensitivities to form an independent view on reasonable downside scenarios; and
- evaluating and testing the disclosures made in the Annual Report.

How we tailored the audit scope

We tailored the scope of our audit to ensure that we performed enough work to be able to give an opinion on the financial statements as a whole, taking into account the structure of the group and the company, the systems, processes and controls, and the alcoholic beverage industry in which they operate.

The group is structured into five geographical regions based on the location of third-party sales - North America, Europe, Asia Pacific, Latin America and Caribbean and Africa, as well as a corporate function. Each geographical region is further divided into country reporting units. Separate regional management teams oversee the operations of each region. For the purposes of our audit, we have identified a reporting unit or a combination of country reporting units as a component.

A significant number of transactional processes which are critical to financial reporting are undertaken in the group's Global Business Operations ("GBO") centres in Hungary, India, the Philippines and Colombia.
Our audit is undertaken through a combination of controls and substantive testing performed at the component level and at the group's GBO locations and corporate function.

Components and GBO locations

We identified six components which required a full scope audit over their financial information due to their size or risk characteristics, being North America, Great Britain, Scotland, Ireland, India and Mexico. We identified a further four components which required specific audit procedures and/or an audit over certain financial statement line items, being Türkiye, China, Brazil and Moët Hennessy the group's principal associate, to provide appropriate coverage of these balances and related disclosures. We identified Hungary, India and Colombia as GBO locations where centralised controls were required to be tested. Where separate teams outside of the group team perform work, we issued formal instructions setting out the work to be performed by our audit teams in each of these locations.

For the work performed by component and GBO audit teams, we determined the level of involvement we needed to have in the work they performed to be able to conclude whether sufficient appropriate evidence had been obtained as a basis for our opinion on the group consolidated financial statements as a whole.

The group audit team visited component and GBO audit teams in the UK, Ireland, US, India, Mexico and France during the 2026 audit cycle. In addition, our oversight procedures included regular communication throughout the audit cycle including regular calls through video conferencing review of auditor workpapers and participation in clearance meetings for components.

Corporate function

Audit procedures at the corporate function were directly performed by the group audit team, which included the group consolidation and areas of judgement (including taxation, goodwill, brand and other intangible asset impairment, treasury activities and post-retirement benefits). We also performed work centrally for the audit of information technology controls.

Taken together with the audit procedures undertaken by the group audit team, the audit work performed accounted for 68% of sales and 84% of the group's profit before tax and exceptional items. In addition, we have performed disaggregated analytical review procedures and testing of entity level controls, which cover the group's smaller and lower risk components that were not directly included in our group audit scope.

The financial statements of the company are prepared using the same accounting processes as the group's central functions and were audited by the group audit team.

The impact of climate risk on our audit

In planning and executing our audit, we considered the potential impact of climate change on the group's business and financial statements. The group has set out its assessment of the impact of climate change risks on page 149 of the Annual Report including their conclusion that there is no material impact on the financial statements.

As part of our audit, we made enquiries of management to understand the extent of the potential impact of the physical and transitional climate change risk on the group consolidated financial statements. We considered how climate risks would impact the assumptions made in the forecasts used to support the group's impairment analysis and going concern and viability assessments. Our work did not identify any material impact on our audit for the year ended 30 June 2026. We ensured that the assumptions used in the preparation of financial statements are consistent with the Task Force on Climate-related Financial Disclosures (TCFD) disclosure.

Diageo's progress against its Spirit of Progress metrics set out on pages 32-33 of the Annual Report is not included within the scope of this audit. We were engaged separately to provide independent limited assurance to the Directors over some of these metrics marked with the symbol Δ. The independent limited assurance report which explains the scope of our work and the limited procedures undertaken is included in the Annual Report on pages 214 to 216. Limited assurance varies significantly and is substantially less in scope than that of our financial audit, which provides reasonable assurance.

Materiality

The scope of our audit was influenced by our application of materiality. We set certain quantitative thresholds for materiality. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Financial statements - group	Financial statements - company
Overall materiality	$250m (2025: $250m).	$259m (2025: $342m).
How we determined it	5% of profit before tax and exceptional items	0.5% of net assets
Rationale for benchmark applied	Profit before tax and exceptional items is used as the materiality benchmark. Management use this measure as they believe that it reflects the underlying performance of the group.	We have considered the nature of the company which primarily acts as a holding company for the group's investments and holds certain liabilities on the balance sheet and have determined that net assets is an appropriate benchmark for the calculation of materiality.

For each component in the scope of our group audit, we allocated a materiality that is less than our overall group materiality. The range of materiality allocated across components was $20m to $180m. Certain components were audited to a local statutory audit materiality that was also less than our overall group materiality.

We use performance materiality to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds overall materiality. Specifically, we use performance materiality in determining the scope of our audit and the nature and extent of our testing of account balances, classes of transactions and disclosures, for example in determining sample sizes. Our performance materiality was 75% (2025: 75%) of overall materiality, amounting to $187m (2025: $188m) for the group consolidated financial statements and $194m (2025: $257m) for the company financial statements.

In determining performance materiality, we considered a number of factors – the history of misstatements, risk assessment and aggregation risk and the effectiveness of controls – and concluded that an amount at the upper end of our normal range was appropriate.

We agreed with the Audit Committee that we would report to them misstatements identified during our audit above $12m (group audit) (2025: $13m) and $12m (company audit) (2025: $17m) as well as misstatements below those amounts that, in our view, warranted reporting for qualitative reasons.

Independent auditors' report to the members of Diageo PLC *continued*

Conclusions relating to going concern

Our evaluation of the directors' assessment of the group's and the company's ability to continue to adopt the going concern basis of accounting included:

- performing a risk assessment to identify factors that could impact the going concern basis of accounting, including both internal risks (i.e. strategy execution) and external risks (i.e. macroeconomic conditions);
- understanding and evaluating the group's financial forecasts, including future cash flow requirements of the group's financing activities, and the directors' severe but plausible downside scenarios considering the group's principal risks;
- considering liquidity and available financial resources; and
- reading and evaluating the adequacy of the disclosures made in the financial statements in relation to going concern.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the group's and the company's ability to continue as a going concern.

In relation to the directors' reporting on how they have applied the UK Corporate Governance Code, we have nothing material to add or draw attention to in relation to the directors' statement in the financial statements about whether the directors considered it appropriate to adopt the going concern basis of accounting.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and Directors' report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' report for the year ended 30 June 2026 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the group and company and their environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' report.

Directors' Remuneration

In our opinion, the part of the Directors' Remuneration Report to be audited has been properly prepared in accordance with the Companies Act 2006.

Corporate governance statement

The Listing Rules require us to review the directors' statements in relation to going concern, longer-term viability and that part of the corporate governance statement relating to the company's compliance with the provisions of the UK Corporate Governance Code specified for our review. Our additional responsibilities with respect to the corporate governance statement as other information are described in the Reporting on other information section of this report.

Based on the work undertaken as part of our audit, we have concluded that each of the following elements of the corporate governance statement is materially consistent with the financial statements and our knowledge obtained during the audit, and we have nothing material to add or draw attention to in relation to:

- the directors' confirmation that they have carried out a robust assessment of the emerging and principal risks;
- the disclosures in the Annual Report that describe those principal risks, what procedures are in place to identify emerging risks and an explanation of how these are being managed or mitigated;
- the directors' statement in the financial statements about whether they considered it appropriate to adopt the going concern basis of accounting in preparing them, and their identification of any material uncertainties to the group's and company's ability to continue to do so over a period of at least twelve months from the date of approval of the financial statements;
- the directors' explanation as to their assessment of the group's and company's prospects, the period this assessment covers and why the period is appropriate; and
- the directors' statement as to whether they have a reasonable expectation that the company will be able to continue in operation and meet its liabilities as they fall due over the period of its assessment, including any related disclosures drawing attention to any necessary qualifications or assumptions.

Our review of the directors' statement regarding the longer-term viability of the group and company was substantially less in scope than an audit and only consisted of making inquiries and considering the directors' process supporting their statement; checking that the statement is in alignment with the relevant provisions of the UK Corporate Governance Code; and considering whether the statement is consistent with the financial statements and our knowledge and understanding of the group and company and their environment obtained in the course of the audit.

In addition, based on the work undertaken as part of our audit, we have concluded that each of the following elements of the corporate governance statement is materially consistent with the financial statements and our knowledge obtained during the audit:

- the directors' statement that they consider the Annual Report, taken as a whole, is fair, balanced and understandable, and provides the information necessary for the members to assess the group's and company's position, performance, business model and strategy;
- the section of the Annual Report that describes the review of effectiveness of risk management and internal control systems; and
- the section of the Annual Report describing the work of the Audit Committee.

We have nothing to report in respect of our responsibility to report when the directors' statement relating to the company's compliance with the Code does not properly disclose a departure from a relevant provision of the Code specified under the Listing Rules for review by the auditors.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Directors' responsibilities in respect of the Annual Report and financial statements, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the group and industry, we identified that the principal risks of non-compliance with laws and regulations related to anti-bribery and corruption legislation, and we considered the extent to which non-compliance might have a material effect on the financial statements. We also considered those laws and regulations that have a direct impact on the financial statements such as the Companies Act 2006 and applicable tax regulation in jurisdictions in which the group has material operations. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls) and determined that the principal risks were related to posting inappropriate journal entries to manipulate financial results and management bias in accounting estimates. The group engagement team shared this risk assessment with the component auditors so that they could include appropriate audit procedures in response to such risks in their work. Audit procedures performed by the group engagement team and/or component auditors included:

- evaluating and testing the design and implementation of controls designed to prevent and detect irregularities and fraud;
- discussions with management, Internal Audit and the group's legal counsel regarding their consideration of known or suspected instances of non-compliance with laws and regulations or fraud;
- reviewing correspondence with regulators and tax authorities in Diageo's key markets;
- assessing matters reported through the group's whistleblowing programme and the results of management's investigation in so far as they related to financial reporting;
- challenging assumptions and judgements made by management in their significant accounting estimates, in particular in relation to the carrying value of goodwill, brands and investments in associates and joint ventures; uncertain indirect tax positions in Brazil and the carrying value of investments in subsidiary undertakings; and
- identification and testing of journal entries, in particular journal entries posted with unusual account combinations impacting revenue and cost of sales, post close journal entries and unusual user journal entries.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

Our audit testing might include testing complete populations of certain transactions and balances, possibly using data auditing techniques. However, it typically involves selecting a limited number of items for testing, rather than testing complete populations. We will often seek to target particular items for testing based on their size or risk characteristics. In other cases, we will use audit sampling to enable us to draw a conclusion about the population from which the sample is selected.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Independent auditors' report to the members of Diageo PLC *continued*

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the company financial statements and the part of the Directors' remuneration report to be audited are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Appointment

We were first appointed by the company for the financial year ended 30 June 2016. Our uninterrupted engagement covers 11 financial years.

Other matter

The company is required by the Financial Conduct Authority Disclosure Guidance and Transparency Rules to include these financial statements in an annual financial report prepared under the structured digital format required by DTR 4.1.15R - 4.1.18R and filed on the National Storage Mechanism of the Financial Conduct Authority. This auditors' report provides no assurance over whether the structured digital format annual financial report has been prepared in accordance with those requirements.

Scott Berryman (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
London
17 August 2026

Financial statements

Consolidated income statement

	Notes	Year ended 30 June 2026 $ million	Year ended 30 June 2025 $ million	Year ended 30 June 2024 $ million
Sales	2	**27,762**	27,964	27,891
Excise duties	4	**(8,119)**	(7,719)	(7,622)
Net sales	2	**19,643**	20,245	20,269
Cost of sales	4	**(7,962)**	(8,072)	(8,071)
Gross profit		**11,681**	12,173	12,198
Marketing	4	**(3,183)**	(3,662)	(3,691)
Other operating items	4	**(5,342)**	(4,176)	(2,506)
Operating profit		**3,156**	4,335	6,001
Non-operating items	3	**6**	(220)	(70)
Finance income	5	**384**	480	400
Finance charges	5	**(1,200)**	(1,251)	(1,285)
Share of after-tax results of associates and joint ventures	6	**218**	193	414
Profit before taxation		**2,564**	3,537	5,460
Taxation	7	**(606)**	(999)	(1,294)
Profit for the year		**1,958**	2,538	4,166
Attributable to:				
Equity shareholders of the parent company		**1,737**	2,354	3,870
Non-controlling interests		**221**	184	296
		1,958	2,538	4,166
Weighted average number of shares		**million**	million	million
Shares in issue excluding own shares		**2,224**	2,222	2,234
Dilutive potential ordinary shares		**7**	6	5
		2,231	2,228	2,239
		cents	cents	cents
Basic earnings per share		**78.1**	105.9	173.2
Diluted earnings per share		**77.9**	105.7	172.8

The accompanying notes are an integral part of these consolidated financial statements.

Financial statements *continued*

Consolidated statement of comprehensive income

	Notes	Year ended 30 June 2026 $ million	Year ended 30 June 2025 $ million	Year ended 30 June 2024 $ million
Other comprehensive income				
Items that will not be recycled subsequently to the income statement				
Net remeasurement of post-employment benefit plans		**(64)**	(9)	(75)
Changes in the fair value of equity investments		**–**	–	(1)
Tax on items that will not be recycled to the income statement		**14**	7	14
		(50)	(2)	(62)
Of which: share of associates and joint ventures		**4**	*4*	*1*
Items that may be recycled subsequently to the income statement				
Exchange differences on translation of foreign operations		**(406)**	1,480	(98)
Exchange loss recycled to the income statement		**86**	179	26
Gains/(losses) on net investment hedges		**199**	(845)	(70)
Cost of hedging		**(21)**	75	(78)
(Losses)/gains on cash flow hedges		**(47)**	298	13
Losses/(gains) on cash flow hedges recycled to the income statement		**56**	(279)	(105)
Tax on items that may be recycled to the income statement		**(50)**	(103)	(111)
		(183)	805	(423)
Of which: share of associates and joint ventures		**(178)**	*502*	*(67)*
Other comprehensive (loss)/income net of tax for the year		**(233)**	803	(485)
Profit for the year		**1,958**	2,538	4,166
Total comprehensive income for the year		**1,725**	3,341	3,681
Attributable to:				
Equity shareholders of the parent company		**1,557**	3,158	3,404
Non-controlling interests	18	**168**	183	277
Total comprehensive income for the year		**1,725**	3,341	3,681

The accompanying notes are an integral part of these consolidated financial statements.

In the current period, the group has aggregated certain line items in the Consolidated statement of comprehensive income where management considers that such aggregation improves the overall clarity of presentation. The presentation change has been applied retrospectively for prior periods. The amounts included in these aggregated line items are provided in the accompanying notes to the financial statements.

Consolidated balance sheet

	Notes	30 June 2026 $ million		30 June 2025 $ million	
Non-current assets					
Intangible assets	9	**13,375**		14,776	
Property, plant and equipment	10	**8,996**		9,528	
Biological assets	11	**201**		176	
Investments in associates and joint ventures	6	**5,284**		5,334	
Other investments	13	**21**		39	
Other receivables	15	**64**		38	
Other financial assets	16	**513**		623	
Deferred tax assets	7	**173**		150	
Post-employment benefit assets	14	**1,006**		1,161	
			29,633		31,825
Current assets					
Inventories	15	**10,529**		10,658	
Trade and other receivables	15	**3,277**		3,504	
Corporate tax receivables	7	**244**		354	
Assets held for sale	8	**1,145**		257	
Other financial assets	16	**497**		524	
Cash and cash equivalents	17	**1,520**		2,200	
			17,212		17,497
Total assets			**46,845**		49,322
Current liabilities					
Borrowings and bank overdrafts	17	**(2,449)**		(2,928)	
Other financial liabilities	16	**(343)**		(278)	
Trade and other payables	15	**(6,425)**		(6,952)	
Liabilities held for sale	8	**(681)**		(193)	
Corporate tax payables	7	**(207)**		(138)	
Provisions	15	**(625)**		(223)	
			(10,730)		(10,712)
Non-current liabilities					
Borrowings	17	**(19,062)**		(20,820)	
Other financial liabilities	16	**(796)**		(751)	
Other payables	15	**(150)**		(192)	
Provisions	15	**(311)**		(316)	
Deferred tax liabilities	7	**(2,455)**		(2,944)	
Post-employment benefit liabilities	14	**(387)**		(409)	
			(23,161)		(25,432)
Total liabilities			**(33,891)**		(36,144)
Net assets			**12,954**		13,178
Equity					
Share capital	18	**887**		887	
Share premium		**1,703**		1,703	
Other reserves		**(10)**		454	
Retained earnings		**8,291**		8,046	
Equity attributable to equity shareholders of the parent company			**10,871**		11,090
Non-controlling interests	18		**2,083**		2,088
Total equity			**12,954**		13,178

The accompanying notes are an integral part of these consolidated financial statements.

These consolidated financial statements have been approved by a duly appointed and authorised committee of the Board of Directors on 17 August 2026 and were signed on its behalf by Sir Dave Lewis and Nik Jhangiani, Directors.

Financial statements *continued*

Consolidated statement of changes in equity

	Notes	Share capital $ million	Share premium $ million	Other reserves: Capital redemption reserve $ million	Other reserves: Hedging and exchange reserve $ million	Retained earnings/(deficit): Own shares $ million	Retained earnings/(deficit): Other retained earnings $ million	Retained earnings/(deficit): Total $ million	Equity attributable to parent company shareholders $ million	Non-controlling interests $ million	Total equity $ million
At 30 June 2023		898	1,703	4,071	(3,406)	(2,286)	8,876	6,590	9,856	1,853	11,709
Adjustment to 2023 closing equity in respect of hyperinflation in Ghana		–	–	–	–	–	41	41	41	10	51
Adjusted opening balance		898	1,703	4,071	(3,406)	(2,286)	8,917	6,631	9,897	1,863	11,760
Profit for the year		–	–	–	–	–	3,870	3,870	3,870	296	4,166
Other comprehensive (loss)/income		–	–	–	(767)	–	301	301	(466)	(19)	(485)
Total comprehensive (loss)/income for the year		–	–	–	(767)	–	4,171	4,171	3,404	277	3,681
Changes in equity due to share-based payment transactions		–	–	–	–	36	54	90	90	(4)	86
Change in non-controlling interests due to acquisitions and sale of businesses		–	–	–	–	–	(193)	(193)	(193)	23	(170)
Unclaimed dividend		–	–	–	–	–	1	1	1	–	1
Change in fair value of put option		–	–	–	–	–	73	73	73	–	73
Share buyback programme		(11)	–	11	–	–	(997)	(997)	(997)	–	(997)
Dividends	18	–	–	–	–	–	(2,243)	(2,243)	(2,243)	(121)	(2,364)
At 30 June 2024		887	1,703	4,082	(4,173)	(2,250)	9,783	7,533	10,032	2,038	12,070
Profit for the year		–	–	–	–	–	2,354	2,354	2,354	184	2,538
Other comprehensive income/(loss)		–	–	–	545	–	259	259	804	(1)	803
Total comprehensive income for the year		–	–	–	545	–	2,613	2,613	3,158	183	3,341
Changes in equity due to share-based payment transactions		–	–	–	–	22	73	95	95	(2)	93
Change in non-controlling interests due to acquisitions and sale of businesses		–	–	–	–	–	(7)	(7)	(7)	9	2
Change in fair value of put option		–	–	–	–	–	89	89	89	–	89
Reversal of share buyback transaction cost		–	–	–	–	–	21	21	21	–	21
Dividends	18	–	–	–	–	–	(2,298)	(2,298)	(2,298)	(140)	(2,438)
At 30 June 2025		**887**	**1,703**	**4,082**	**(3,628)**	**(2,228)**	**10,274**	**8,046**	**11,090**	**2,088**	**13,178**
Profit for the year		**–**	**–**	**–**	**–**	**–**	**1,737**	**1,737**	**1,737**	**221**	**1,958**
Other comprehensive (loss)/income		**–**	**–**	**–**	**(464)**	**–**	**284**	**284**	**(180)**	**(53)**	**(233)**
Total comprehensive (loss)/income for the year		**–**	**–**	**–**	**(464)**	**–**	**2,021**	**2,021**	**1,557**	**168**	**1,725**
Changes in equity due to share-based payment transactions		**–**	**–**	**–**	**–**	**17**	**62**	**79**	**79**	**–**	**79**
Change in non-controlling interests due to acquisitions and sale of businesses	8	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**(26)**	**(26)**
Unclaimed dividend		**–**	**–**	**–**	**–**	**–**	**1**	**1**	**1**	**–**	**1**
Change in fair value of put option		**–**	**–**	**–**	**–**	**–**	**(10)**	**(10)**	**(10)**	**–**	**(10)**
Dividends	18	**–**	**–**	**–**	**–**	**–**	**(1,846)**	**(1,846)**	**(1,846)**	**(147)**	**(1,993)**
At 30 June 2026		**887**	**1,703**	**4,082**	**(4,092)**	**(2,211)**	**10,502**	**8,291**	**10,871**	**2,083**	**12,954**

The accompanying notes are an integral part of these consolidated financial statements.

In the current period, the group has aggregated certain line items in the Consolidated statement of changes in equity where management considers that such aggregation improves the overall clarity of presentation. The presentation change has been applied retrospectively for prior periods.

Consolidated statement of cash flows

	es	Year ended 30 June 2026		Year ended 30 June 2025		Year ended 30 June 2024	
		$ million	$ million	$ million	$ million	$ million	$ million
Cash flows from operating activities							
Profit for the year		**1,958**		2,538		4,166	
Taxation		**606**		999		1,294	
Share of after-tax results of associates and joint ventures		**(218)**		(193)		(414)	
Net finance charges		**816**		771		885	
Non-operating items		**(6)**		220		70	
Operating profit			**3,156**		4,335		6,001
Increase in inventories		**(120)**		(470)		(156)	
Increase in trade and other receivables		**(129)**		(49)		(66)	
Increase/(decrease) in trade and other payables and provisions		**325**		442		(546)	
Net decrease/(increase) in working capital			**76**		(77)		(768)
Depreciation, amortisation and impairment		**2,480**		1,718		493	
Dividends received		**116**		175		269	
Post-employment payments less amounts included in operating profit		**71**		22		(18)	
Other items		**62**		37		88	
			2,729		1,952		832
Cash generated from operations			**5,961**		6,210		6,065
Interest received		**292**		181		156	
Interest paid		**(1,044)**		(980)		(1,017)	
Taxation paid		**(817)**		(1,114)		(1,099)	
			(1,569)		(1,913)		(1,960)
Net cash inflow from operating activities			**4,392**		4,297		4,105
Cash flows from investing activities							
Disposal of property, plant and equipment and computer software		**16**		63		14	
Purchase of property, plant and equipment and computer software		**(1,197)**		(1,612)		(1,510)	
Cash inflow from loans, other investments and other financial assets		**345**		147		156	
Cash outflow from loans, other investments and other financial assets		**(364)**		(342)		(203)	
Sale of businesses and brands	8	**288**		143		87	
Acquisition of subsidiaries	8	**(23)**		(35)		(6)	
Investments in associates and joint ventures	8	**(47)**		(84)		(133)	
Net cash outflow from investing activities			**(982)**		(1,720)		(1,595)
Cash flows from financing activities							
Share buyback programme	18	**–**		–		(987)	
Net sale of own shares for share schemes		**1**		15		21	
Net sale/(purchase) of treasury shares in respect of subsidiaries		**–**		8		(10)	
Dividends paid to non-controlling interests		**(164)**		(138)		(117)	
Proceeds from bonds	17	**1,171**		3,943		2,225	
Repayments of bonds	17	**(2,819)**		(2,416)		(1,667)	
Purchase of shares of non-controlling interests	8	**–**		(9)		(223)	
Cash inflow from other borrowings		**327**		83		387	
Cash outflow from other borrowings		**(454)**		(712)		(493)	
Equity dividends paid		**(1,846)**		(2,298)		(2,242)	
Unclaimed dividends and share forfeiture		**–**		30		–	
Net cash outflow from financing activities			**(3,784)**		(1,494)		(3,106)
Net (decrease)/increase in net cash and cash equivalents	17		**(374)**		1,083		(596)
Exchange differences			**(18)**		(35)		(33)
Reclassification to assets and liabilities held for sale			**(292)**		21		(30)
Net cash and cash equivalents at beginning of the year			**2,178**		1,109		1,768
Net cash and cash equivalents at end of the year			**1,494**		2,178		1,109
Net cash and cash equivalents consist of:							
Cash and cash equivalents	17		**1,520**		2,200		1,130
Bank overdrafts	17		**(26)**		(22)		(21)
			1,494		2,178		1,109

The accompanying notes are an integral part of these consolidated financial statements.

Accounting information and policies

Introduction

This section describes the basis of preparation of the consolidated financial statements and the group's accounting policies that are applicable to the financial statements as a whole. Accounting policies, critical accounting estimates and judgements specific to a note are included in the note to which they relate. Furthermore, the section details new accounting standards, amendments and interpretations, that the group has adopted in the current financial year or will adopt in subsequent years.

1. Accounting information and policies

(a) Basis of preparation

The consolidated financial statements are prepared in accordance with IFRS® Accounting Standards (IFRSs) adopted by the UK (UK-adopted International Accounting Standards) and IFRSs, as issued by the International Accounting Standards Board (IASB), including interpretations issued by the IFRS Interpretations Committee and in conformity with the requirements of the Companies Act 2006. IFRS as adopted by the UK differs in certain respects from IFRS as issued by the IASB. The differences have no impact on the group's consolidated financial statements for the years presented. The consolidated financial statements are prepared on a going concern basis under the historical cost convention, unless stated otherwise in the relevant accounting policy.

The preparation of financial statements in conformity with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the year. Actual results could differ from those estimates.

(b) Going concern

Management prepared 18-month cash flow forecasts which reflect severe but plausible downside scenarios taking into consideration the group's principal risks. In the base case scenario, management included assumptions to deliver low-single-digit organic net sales growth and mid-single-digit organic operating profit growth. In light of the ongoing geopolitical volatility, the base case outlook and severe but plausible downside scenarios incorporated considerations for heightened geopolitical tensions, business disruptions and changes in consumer preferences. Even under these scenarios, the group's liquidity is still expected to remain strong. Mitigating actions, should they be required, are all within management's control and could include reductions in discretionary spending such as acquisitions and capital expenditure, lower level of marketing spend and investment in maturing stock, as well as a temporary suspension or reduction in dividend to shareholders in the next 12 months, or drawdowns on committed facilities. Having considered the outcome of these assessments, the Directors are comfortable that the group (and company) is a going concern for at least 12 months from the date of signing the group's consolidated financial statements.

(c) Consolidation

The consolidated financial statements include the results of the company and its subsidiaries together with the group's attributable share of the results of associates and joint ventures. A subsidiary is an entity controlled by Diageo plc. The group controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Where the group has the ability to exercise joint control over an entity but has rights to specified assets and obligations for liabilities of that entity, the entity is included on the basis of the group's rights over those assets and liabilities.

(d) Foreign currencies

Items included in the financial statements of the group's subsidiaries, associates and joint ventures are measured using the currency of the primary economic environment in which each entity operates (its functional currency). The consolidated financial statements are presented in US dollar, which is the functional currency of the parent company, Diageo plc. The functional currency of Diageo plc is determined by using management judgement that considers the parent company as an extension of its subsidiaries.

The income statements and cash flows of non-US dollar entities are translated into US dollar at weighted average rates of exchange, except for subsidiaries in hyperinflationary economies that are translated with the closing rate at the end of the year, and for substantial transactions that are translated at the rate on the date of the transaction. Exchange differences arising on the retranslation to closing rates are taken to the exchange reserve.

Assets and liabilities are translated at the relevant year end closing rates. Exchange differences arising on the retranslation at closing rates of the opening balance sheets of non-US dollar entities are taken to the exchange reserve, as are exchange differences arising on foreign currency borrowings and financial instruments designated as net investment hedges, to the extent that they are effective. Tax charges and credits arising on such items are also taken to the exchange reserve. Gains and losses accumulated in the exchange reserve are recycled to the income statement when the foreign operation is sold. Other exchange differences are taken to the income statement. Transactions in foreign currencies are recorded at the rate of exchange on the date of the transaction.

The principal foreign exchange rates used in the translation of financial statements for the three years ended 30 June 2026, expressed in sterling and euros per $1, were as follows:

	2026	2025	2024
Sterling			
Income statement and cash flows[1]	**0.75**	0.77	0.80
Assets and liabilities[2]	**0.76**	0.73	0.79
Euro			
Income statement and cash flows[1]	**0.86**	0.92	0.93
Assets and liabilities[2]	**0.88**	0.85	0.93

(1) Weighted average rates.
(2) Closing rates.

The group uses foreign exchange hedges to mitigate the effect of exchange rate movements. For further information, see note 16.

(e) Critical accounting estimates and judgements

Details of critical estimates and judgements which the Directors consider could have a significant impact on the financial statements are set out in the related notes as follows:

- Taxation – management judgement whether a provision is required and estimate of amount of corporate tax payable or receivable, the recoverability of deferred tax assets and expectation on manner of recovery of deferred taxes – pages 158 and 191.
- Brands, goodwill, other intangibles, investments in associates and contingent considerations – management judgement whether the assets and liabilities are to be recognised and synergies resulting from an acquisition. Management judgement and estimate are required in determining future cash flows and appropriate applicable assumptions to support the intangible asset, investment in associate and contingent consideration value – pages 158 and 165.
- Post-employment benefits – management judgement whether a surplus can be recovered and management estimate in determining the assumptions in calculating the liabilities of the funds – page 171.
- Contingent liabilities and legal proceedings – management judgement in assessing the likelihood of whether a liability will arise and an estimate to quantify the possible range of any settlement; and significant unprovided tax matters where maximum exposure is provided for each – page 190.

(f) Hyperinflationary accounting

The group applied hyperinflationary accounting for its operations in Türkiye and Venezuela.

The group's consolidated financial statements include the results and financial position of its operations in hyperinflationary economies restated to the measuring unit current at the end of each period, with hyperinflationary gains and losses in respect of monetary items being reported in finance income and charges. Comparative amounts presented in the consolidated financial statements are not restated. When applying IAS 29 on an ongoing basis, comparatives in stable currency are not restated and the effect of inflating opening net assets to the measuring unit current at the end of the reporting period is presented as part of 'Items that may be recycled subsequently to the income statement' in other comprehensive income, amounting to a gain of $334 million for the year ended 30 June 2026 (2025 – $264 million; 2024 – $365 million). The movement in the publicly available official price index for the year ended 30 June 2026 was 32% (2025 – 35%; 2024 - 72%) in Türkiye. The inflation rate used by the group for Venezuela is based on data of various independent valuers, as no reliable officially published rate is available. Movement in the price index for the year ended 30 June 2026 was 574% (2025 – 171%; 2024 - 77%) in Venezuela.

(g) New accounting standards and interpretations

The following accounting standards and amendments to standards, issued by the IASB including those endorsed by the UK, were adopted by the group from 1 July 2025 with no material impact on the group's consolidated results, financial position or disclosures:

- Amendments to IAS 21 – Lack of exchangeability

The following amendments issued by the IASB have been endorsed by the UK and have not yet been adopted by the group, which are not expected to have material impact on the group's consolidated results or financial position:

- Amendments to IFRS 9 and IFRS 7 – Amendments to the Classification and Measurement of Financial Instruments (effective from the year ending 30 June 2027)
- Amendments to IFRS 7 and IFRS 9 – Contracts Referencing Nature-dependent Electricity (effective from the year ending 30 June 2027)

Preparations for the implementation of IFRS 18 – Presentation and Disclosure of Financial Statements, which will become effective for the consolidated financial statements from the year ending 30 June 2028, are in progress.

IFRS 18 supersedes IAS 1 and makes consequential amendments to other standards. As a result of IFRS 18 adoption, the group expects the following changes:

- The structure of the consolidated income statement will be revised to incorporate the categories and subtotals required by the standard. Presentation of income and expenses in this newly defined structure will lead to a change in operating profit, whilst keeping profit unchanged.
- The new operating profit subtotal will be the starting point of the consolidated statement of cash flows and – as per IFRS 18 – cash flows from dividends and interests can no longer be classified as part of operating cash flow, but will be reported as investing and financing instead.
- Additional disclosure will be provided about management-defined performance measures and other disclosure changes are expected in the notes to comply with IFRS 18's guidance.

There are a number of other standards, amendments and clarifications to IFRSs, effective in future years, which are not expected to significantly impact the group's consolidated results or financial position.

(h) Climate change considerations

The results of climate change assessment and greenhouse gas emission targets for Diageo's direct operations (Scope 1 and 2) for 2030 have been considered as part of the assessment of estimates and judgements in preparing the group's consolidated financial statements. We integrate climate risk into our enterprise risk management processes, within our principal risk factors. This is an integral part of our strategic and business continuity planning.

The climate change scenario analyses performed in 2026 – conducted in line with TCFD recommendations (a Moderate Warming' Scenario (RCP 4.5) and a 'Severe Warming Scenario' (RCP 8.5)) – identified no material financial impact to these financial statements.

The following considerations were made in respect of the financial statements:

- The impact of climate change on factors like residual values, useful lives and depreciation methods that determine the carrying value of non-current assets.
- The impact of climate change on forecasts of cash flows used (including forecast depreciation in line with capital expenditure plans) in impairment assessments for the value-in-use of non-current assets including goodwill (see note 9).
- The impact of climate change on post-employment assets.

Financial statements *continued*

Results for the year

Introduction

This section explains the results and performance of the group for the three years ended 30 June 2026. Disclosures are provided for segmental information, operating costs, exceptional items, finance income and charges, the group's share of results of associates and joint ventures and taxation. For associates, joint ventures and taxation, balance sheet disclosures are also provided in this section.

2. Segmental information

Accounting policies

Sales comprise revenue from contracts with customers from the sale of goods, royalties and rents receivable. Revenue from the sale of goods includes excise and other duties which the group pays as principal but excludes duties and taxes collected on behalf of third parties, such as value added tax. Sales are recognised as or when performance obligations are satisfied by transferring control of a good or service to the customer, which is determined by considering, among other factors, the delivery terms agreed with customers. For the sale of goods, the transfer of control occurs when the significant risks and rewards of ownership are passed to the customer. Based on the shipping terms agreed with customers, the transfer of control of goods occurs at the time of dispatch for the majority of sales. Where the transfer of control is subsequent to the dispatch of goods, the time between dispatch and receipt by the customer is generally less than five days. The group includes in sales the net consideration to which it expects to be entitled. Sales are recognised to the extent that it is highly probable that a significant reversal will not occur. Therefore, sales are stated net of expected price discounts, allowances for customer loyalty and certain promotional activities and similar items. Generally, payment of the transaction price is due within credit terms that are consistent with industry practices, with no element of financing.

Net sales are sales less excise duties. Diageo incurs excise duties throughout the world. In the majority of countries, excise duties are effectively a production tax which becomes payable when the product is removed from bonded premises and is not directly related to the value of sales. It is generally not included as a separate item on external invoices; increases in excise duty are not always passed on to the customer and where a customer fails to pay for products received, the group cannot reclaim the excise duty. The group therefore recognises excise duty, unless it regards itself as an agent of the regulatory authorities, as a cost to the group.

Advertising costs, point of sale materials and sponsorship payments are charged to marketing in operating profit when the company has a right of access to the goods or services acquired.

Exceptional items are those that in management's judgement need to be disclosed separately. Such items are included in the income statement caption to which they relate, and form part of the segmental reporting. Management believes that separate disclosure of exceptional items and the classification between operating and non-operating further helps investors to understand the performance of the group.

Changes in estimates and reversals in relation to items previously recognised as exceptional are presented consistently as exceptional in the current year.

Diageo is an international manufacturer and distributor of premium drinks. Diageo also owns a number of investments in associates and joint ventures, as set out in note 6.

The segmental information presented is consistent with management reporting provided to the Executive Committee (the chief operating decision-maker).

The Executive Committee considers the business principally from a geographical perspective based on the location of third-party sales and the business analysis is presented by geographical segment. The group's operations also include the Corporate segment. Corporate costs are in respect of central costs, including finance, marketing, corporate relations, human resources and legal, as well as certain information systems, facilities and employee costs that are not allocable to the geographical segments.

Diageo uses shared services operations to deliver transaction processing activities for markets and operational entities. These centres are located in India, Hungary, Colombia and the Philippines. These captive business service centres also perform certain central finance activities, including elements of financial planning and reporting, treasury and HR services. The costs of shared services operations are recharged to the regions.

Executive Committee makes decisions based on the analysis of several financial data sets including organic and IFRS reported data. The segmental analysis below is derived from IFRS reported figures, except that operating performance is presented using operating profit before exceptional items, a non-GAAP measure used by the Executive Committee. Supply Chain and Procurement (SC&P), which manufactures products for other group companies and includes the production sites in the United Kingdom, Ireland, Guatemala and Mexico, as well as comprises the global procurement function, is considered a key intersegmental operation instead of a separate operating segment.

(a) Segmental information for the consolidated income statement

2026	North America $ million	Europe $ million	Asia Pacific $ million	Latin America and Caribbean $ million	Africa $ million	Corporate and other $ million	Total $ million
Sales	**7,991**	**8,582**	**5,708**	**2,797**	**2,522**	**162**	**27,762**
Net sales	**7,249**	**5,097**	**3,333**	**2,160**	**1,642**	**162**	**19,643**
Cost of sales	**(2,671)**	**(1,989)**	**(1,476)**	**(881)**	**(867)**	**(47)**	**(7,931)**
Marketing	**(1,367)**	**(773)**	**(524)**	**(325)**	**(173)**	**(21)**	**(3,183)**
Other operating items	**(610)**	**(723)**	**(487)**	**(367)**	**(246)**	**(413)**	**(2,846)**
Operating profit before exceptional items	**2,601**	**1,612**	**846**	**587**	**356**	**(319)**	**5,683**
Exceptional operating items[1]							**(2,527)**
Operating profit							**3,156**
Non-operating items							**6**
Net finance charges							**(816)**
Share of after-tax results of associates and joint ventures							**218**
Profit before taxation							**2,564**

2025	North America $ million	Europe $ million	Asia Pacific $ million	Latin America and Caribbean $ million	Africa $ million	Corporate and other $ million	Total $ million
Sales	8,636	8,037	6,082	2,390	2,684	135	27,964
Net sales	7,973	4,821	3,635	1,847	1,834	135	20,245
Cost of sales	(2,734)	(1,866)	(1,581)	(704)	(1,077)	(35)	(7,997)
Marketing	(1,616)	(898)	(630)	(304)	(192)	(22)	(3,662)
Other operating items	(570)	(755)	(494)	(311)	(282)	(470)	(2,882)
Operating profit before exceptional items	3,053	1,302	930	528	283	(392)	5,704
Exceptional operating items[1]							(1,369)
Operating profit							4,335
Non-operating items							(220)
Net finance charges							(771)
Share of after-tax results of associates and joint ventures							193
Profit before taxation							3,537

2024	North America $ million	Europe $ million	Asia Pacific $ million	Latin America and Caribbean $ million	Africa $ million	Corporate and other $ million	Total $ million
Sales	8,514	8,024	6,320	2,432	2,478	123	27,891
Net sales	7,908	4,804	3,817	1,839	1,778	123	20,269
Cost of sales	(2,559)	(1,890)	(1,606)	(728)	(1,195)	(36)	(8,014)
Marketing	(1,627)	(873)	(651)	(306)	(205)	(29)	(3,691)
Other operating items	(486)	(662)	(497)	(303)	(247)	(424)	(2,619)
Operating profit before exceptional items	3,236	1,379	1,063	502	131	(366)	5,945
Exceptional operating items[1]							56
Operating profit							6,001
Non-operating items							(70)
Net finance charges							(885)
Share of after-tax results of associates and joint ventures							414
Profit before taxation							5,460

(1) For definition and details of exceptional items, see pages 153-155.

The group's net finance charges are managed centrally and are not attributable to individual operating segments.
Approximately 37% of annual net sales occurred in the last four months of calendar year 2025.

Financial statements *continued*

(b) Other segmental information

	North America $ million	Europe $ million	Asia Pacific $ million	Latin America and Caribbean $ million	Africa $ million	Corporate and other[1] $ million	Total operating segments $ million
2026							
Purchase of property, plant and equipment and computer software	**250**	**429**	**95**	**2**	**50**	**371**	**1,197**
Depreciation and intangible asset amortisation	**(176)**	**(319)**	**(119)**	**(39)**	**(75)**	**(17)**	**(745)**
Impairment of associates and joint ventures	**(4)**	**–**	**–**	**–**	**–**	**–**	**(4)**
Exceptional accelerated depreciation and impairment of tangible assets	**(213)**	**(35)**	**(4)**	**(100)**	**–**	**–**	**(352)**
Exceptional impairment of intangible assets	**(91)**	**(1,163)**	**–**	**(60)**	**–**	**–**	**(1,314)**
Exceptional impairment of associates and joint ventures	**(19)**	**(7)**	**(39)**	**–**	**–**	**–**	**(65)**
2025							
Purchase of property, plant and equipment and computer software	435	423	79	5	88	582	1,612
Depreciation and intangible asset amortisation	(186)	(272)	(135)	(38)	(101)	(16)	(748)
Exceptional accelerated depreciation and impairment of tangible assets	(66)	(96)	(9)	(3)	–	–	(174)
Exceptional impairment of intangible assets	(365)	(51)	–	–	–	–	(416)
Exceptional impairment of associates and joint ventures	(215)	(142)	(23)	–	–	–	(380)
2024							
Purchase of property, plant and equipment and computer software	305	338	154	6	83	624	1,510
Depreciation and intangible asset amortisation	(161)	(265)	(111)	(33)	(94)	(13)	(677)
Impairment of intangible assets	–	–	–	(1)	–	–	(1)
Exceptional accelerated depreciation and impairment of tangible assets	(33)	(5)	(8)	–	–	–	(46)
Exceptional impairment of intangible assets	(54)	(96)	379	–	–	–	229

(1) Purchase of property, plant and equipment and computer software in respect of SC&P are included in the Corporate and other operating segment.

(c) Category and geographical analysis

	Category analysis					Geographic analysis				
	Spirits $ million	Beer $ million	Ready-to-drink $ million	Other $ million	Total $ million	United States $ million	India $ million	Great Britain $ million	Rest of World $ million	Total $ million
2026										
Sales[1]	**21,805**	**4,554**	**1,113**	**290**	**27,762**	**7,408**	**3,213**	**3,158**	**13,983**	**27,762**
Non-current assets[2], [3]						**7,355**	**1,945**	**4,065**	**14,576**	**27,941**
2025										
Sales[1]	22,166	4,493	989	316	27,964	8,138	3,233	2,989	13,604	27,964
Non-current assets[2], [3]						7,467	2,173	4,505	15,758	29,903
2024										
Sales[1]	22,406	4,107	949	429	27,891	8,041	3,247	2,849	13,754	27,891
Non-current assets[2], [3]						7,642	2,207	3,969	14,868	28,686

(1) The geographical analysis of sales is based on the location of third-party customers.
(2) The geographical analysis of non-current assets is based on the geographical location of the assets and comprises intangible assets, property, plant and equipment, biological assets, investments in associates and joint ventures, other investments and non-current other receivables.
(3) The management information provided to the chief operating decision-maker does not include an analysis of assets and liabilities by category and therefore is not disclosed.

3. Exceptional items

Accounting policies

Exceptional items are those that in management's judgement need to be disclosed separately. Such items are included in the income statement caption to which they relate, and form part of the segmental information included in note 2. Management believes that separate disclosure of exceptional items and the classification between operating and non-operating further helps investors to understand the performance of the group.

Changes in estimates and reversals in relation to items previously recognised as exceptional are presented consistently as exceptional in the current year.

Operating items

Exceptional operating items are those that are unusual or non-recurring in nature, considered to be of a size that could distort the performance and are part of the operating activities of the group, such as one-off global restructuring programmes which can be multi-year, impairment of intangible assets and fixed assets, indirect tax settlements, property disposals and changes in post-employment plans.

Non-operating items

Gains and losses on the sale or directly attributable to a prospective sale of businesses, brands or distribution rights, step up gains and losses that arise when an investment becomes an associate or an associate becomes a subsidiary and unusual non-recurring items, that are considered to be of a size that could distort performance and not in respect of the production, marketing and distribution of premium drinks, are disclosed as exceptional non-operating items below operating profit in the income statement.

Exceptional finance income/charge

Exceptional finance incomes/charges are those that are unusual or non-recurring in nature, considered to be of a size that could distort the performance and are part of the financing activity of the group.

Taxation items

Exceptional current and deferred tax items comprise unusual or non-recurring items, that are considered to be of a size that could distort performance. Examples include direct tax provisions and settlements in respect of prior years and the remeasurement of deferred tax assets and liabilities following tax rate changes.

	2026 $ million	2025 $ million	2024 $ million
Exceptional operating items			
Impairment (charge)/income and other related charges (1)	**(1,489)**	(910)	224
Restructuring programmes (2)	**(908)**	(225)	(61)
Distribution model changes in various countries (3)	**(75)**	(145)	–
Discretionary increase in pension benefits in Ireland (4)	**(38)**	–	–
Various dispute and litigation matters (5)	**(17)**	(51)	(107)
USVI cover-over (6)	**–**	(38)	–
	(2,527)	(1,369)	56
Exceptional non-operating items			
Sale of businesses and brands			
Seychelles Breweries Limited (7)	**62**	(4)	–
Guinness Ghana Breweries PLC (8)	**(49)**	(114)	–
Sheridan's brand (9)	**46**	–	–
East African Breweries PLC and the Kenyan spirits business prospective sale (10)	**(43)**	–	–
Santa Vittoria (11)	**(7)**	(29)	–
Cîroc LLC (12)	**(5)**	(11)	–
Royal Challengers Sports Pvt Ltd prospective sale (13)	**(3)**	–	–
Guinness Nigeria PLC (14)	**2**	(125)	(6)
Joint operations (15)	**(2)**	(5)	–
Pampero brand (16)	**(1)**	53	–
Windsor business (17)	**(1)**	4	(58)
Cacique brand (18)	**–**	(20)	–
Safari brand (19)	**–**	15	–
Guinness Cameroun S.A. (20)	**–**	(8)	(10)
Step acquisitions (21)	**–**	24	–
Other (22)	**7**	–	4
	6	(220)	(70)
Exceptional finance income			
Borrowing costs capitalised (23)	**–**	58	–
Exceptional items before taxation	**(2,521)**	(1,531)	(14)
Tax on exceptional items (note 7(c))	**575**	214	(24)
Total exceptional items	**(1,946)**	(1,317)	(38)
Attributable to:			
Equity shareholders of the parent company	**(1,940)**	(1,294)	(142)
Non-controlling interests	**(6)**	(23)	104
Total exceptional items	**(1,946)**	(1,317)	(38)

(1) In the year ended 30 June 2026, an impairment charge of $786 million in respect of the Türkiye cash-generating unit that included the goodwill from the Mey İçki acquisition and several brands, $287 million in respect of the Don Papa brand, $44 million in respect of the Aviation American Gin brand and $41 million in respect of the Ypióca brand and related fixed assets were recognised in exceptional operating items. In addition, an impairment charge of $138 million in respect of various brands sold predominantly in the US and $190 million in respect of various other US tangible fixed assets and inventories were also recognised in exceptional operating items.

In the year ended 30 June 2026, further impairment charge of $65 million in respect of Diageo's investment in various Distill Ventures businesses was offset by the discharge of liabilities provided for in the year ended 30 June 2025, resulting in a net charge of $3 million. Given the original impairment and other related charges of $458 million were recognised in exceptional

Financial statements *continued*

operating items in the year ended 30 June 2025, the change in liabilities and additional charge are also classified as exceptional.

In the year ended 30 June 2025, an impairment charge of $231 million in respect of the Aviation American Gin brand and tangible fixed assets, $170 million in respect of various other US brands, tangible fixed assets and inventory and $51 million in respect of the Bell's whisky brand were recognised in exceptional operating items.

For further information, see note 9(d).

In the year ended 30 June 2024, a net gain of $224 million was recognised in exceptional operating items, driven by the reversal of Shui Jing Fang brand impairment of $379 million, partially offset by an impairment charge of $101 million in respect of the Chase brand and the related goodwill and tangible fixed assets, and an impairment charge of $54 million in respect of certain brands in the US ready-to-drink portfolio.

(2) In the year ended 30 June 2026, an exceptional charge of $908 million was accounted for in respect of Diageo's restructuring programmes (2025 - $225 million; 2024 - $61 million). In June 2026, Diageo launched the implementation of its new operating framework that redesigns the company to be simpler, faster and more competitive by creating clearer accountabilities, stronger market execution, tighter global support and one joined-up team. The Accelerate restructuring programme (that also includes the supply chain agility programme) was announced in May 2025 aiming to create a more agile global operating model with cash delivery, cost savings and deleveraging targets. The implementation costs of the restructuring programmes comprise non-cash items and one-off expenses, the majority of which are expected to be recognised as exceptional operating items. The exceptional charge in respect of the restructuring programmes for the year ended 30 June 2026 mainly included severance costs of $514 million (2025 - $73 million; 2024 - $nil) in respect of the Europe, Corporate and other regions, impairment of property, plant and equipment and other intangibles of $263 million (2025 - $117 million; 2024 - $3 million) in North America and Mexico. In the year ended 30 June 2026, cash expenditure in respect of restructuring was $156 million (2025 - $38 million; 2024 - $26 million).

(3) In the year ended 30 June 2026, an exceptional operating charge of $75 million was accounted for in respect of the transformation of Diageo's distribution model in Japan, Singapore and Thailand as the company agreed with LVMH to terminate the existing distribution agreements for Diageo's brands.

In the year ended 30 June 2025, Diageo completed the transformation of its distribution model in France as the company agreed with LVMH to exit from their joint operation and to terminate the existing distribution agreements for Diageo brands. As a result, an exceptional operating charge of $145 million was accounted for, mainly in relation to a termination fee paid to LVMH.

(4) In the year ended 30 June 2026, Diageo agreed with the trustee of the Guinness Ireland Group Pension Scheme to provide a one-off discretionary increase in pension benefits to pensioners. The increase resulted in a charge of $38 million in past service costs and was accounted for as an exceptional operating item.

(5) In the year ended 30 June 2026, $17 million was recorded as an exceptional operating charge in respect of ongoing litigation in Europe. In the year ended 30 June 2025, $51 million (2024 - $107 million) was recorded as an exceptional operating charge in respect of various dispute and litigation matters in North America and Europe, including certain costs and expenses associated therewith.

(6) Diageo receives cover-over income in relation to its rum production in the US Virgin Islands. The cover-over is based on a permanent standard rate and an additional extender rate. A law made the extender rate permanent but no retrospective approval was granted for the period after 31 December 2021. As a result, Diageo reversed accrued income of $38 million in respect of prior years as an exceptional operating item in the year ended 30 June 2025.

(7) On 1 July 2025, Diageo completed the sale of its 54.4% shareholding in Seychelles Breweries Limited to Phoenix Beverages. The transaction resulted in a gain of $62 million in the year ended 30 June 2026. In the year ended 30 June 2025, $4 million in transaction costs were incurred in respect of the prospective sale.

(8) On 3 July 2025, Diageo completed the sale of its 80.4% shareholding in Guinness Ghana Breweries PLC, its brewery in Ghana to the Castel Group and a non-operating charge of $49 million incurred in the year ended 30 June 2026, including cumulative translation losses of $94 million and hyperinflationary adjustment gain of $22 million recycled to the income statement. In the year ended 30 June 2025, a charge of $114 million was recognised attributable to the prospective sale.

(9) On 30 January 2026, Diageo completed the sale of the Sheridan's brand and related inventory to Casa Redondo. The transaction resulted in a non-operating exceptional gain of $46 million in the year ended 30 June 2026.

(10) On 17 December 2025, Diageo announced the sale of its shareholding in East African Breweries PLC and its shareholding in the Kenyan spirits business, to Asahi Group Holdings, Ltd. and a non-operating charge of $43 million attributable to the prospective sale was recognised in the year ended 30 June 2026.

(11) On 30 September 2025, Diageo completed the sale of Diageo Operations Italy S.p.A., inclusive of the Santa Vittoria production facility, to NewPrinces S.p.A. and recognised a non-operating loss of $7 million on the sale. In the year ended 30 June 2025, a non-operating charge of $29 million was recognised in relation to the prospective sale.

(12) In the year ended 30 June 2025, Diageo and Main Street Advisors, Inc. (MSA) announced that they entered into a strategic contractual arrangement, where Diageo contributed its ownership in Cîroc LLC, owner of the Cîroc IP and distribution right for North America, while MSA contributed Lobos LLC, owner of the Lobos 1707 premium tequila brand, into the newly formed structure. As a result, Diageo lost the control over Cîroc LLC and accounts for its investment in Cîroc LLC and Lobos LLC as associates. In the year ended 30 June 2026, the transaction resulted in a $5 million (2025 - $11 million) of non-operating exceptional loss.

(13) On 24 March 2026, Diageo announced the sale of United Spirits Limited's shareholding in Royal Challengers Sports Pvt Limited and a charge of $3 million was recognised as a non-operating item, mainly in relation to transaction and other costs directly attributable to the prospective sale of the business.

(14) In the year ended 30 June 2026, Diageo recognised a gain of $2 million (2025 - loss of $125 million, 2024 - loss of $6 million) in exceptional non-operating items attributable to the sale of its shareholding in Guinness Nigeria PLC to Tolaram, completed on 30 September 2024.

(15) In the year ended 30 June 2026, an exceptional charge of $2 million attributable to Diageo's prospective exits from its joint operations with LVMH in Japan and Singapore was recognised.

In the year ended 30 June 2025, an exceptional loss of $5 million was recorded in relation to the disposal of Diageo's share in its joint operation with LVMH in France.

(16) In the year ended 30 June 2025, an exceptional gain of $53 million was accounted for in relation to the disposal of the Pampero brand to Gruppo Montenegro. In the year ended 30 June 2026, additional transaction costs of $1 million have been accounted for in relation to the disposal.

(17) In the year ended 30 June 2026, a charge of $1 million (2025 - gain of $4 million, 2024 - loss of $58 million) was recognised in exceptional non-operating items attributable to the sale of Windsor Global Co., Ltd. to PT W Co., Ltd., completed on 27 October 2023.

(18) In the year ended 30 June 2025, an exceptional loss of $20 million was recorded in relation to the disposal of the Cacique brand to Bardinet S.A.

(19) In the year ended 30 June 2025, an exceptional gain of $15 million was recorded in relation to the disposal of the Safari brand to Casa Redondo.

(20) In the year ended 30 June 2025, a charge of $8 million (2024 - $10 million) directly attributable to the disposal of Guinness Cameroun S.A. to the Castel Group has been accounted for.

(21) In the year ended 30 June 2025, Diageo completed the acquisition of (i) the entire issued share capital of Ritual Beverage Company LLC (owner of Ritual Zero Proof non-alcoholic spirits brand), that it did not already own, resulting in a step up gain of $25 million and (ii) a controlling stake in Nao

Spirits & Beverages Private Limited, resulting in a step up loss of $1 million, both recognised in non-operating exceptional items.

(22) In the year ended 30 June 2026, the net gain of $7 million in other exceptional non-operating items includes a gain of $4 million on the sale of investments in various Distill Ventures businesses and a gain of $3 million on the disposal of the UDL and Ruski RTD brands to Bickford's Australia Pty Ltd., completed on 1 October 2025.

In the year ended 30 June 2024, other exceptional non-operating items included subsequent gains and charges of items that were originally recognised as exceptional at inception and resulted in a net gain of $4 million, mainly driven by of the sale of Popular brands of the United Spirits Limited (USL) business.

(23) In the year ended 30 June 2025, the group capitalised borrowing costs of $58 million in respect of purchases of property, plant, equipment and computer software in prior years.

For further information on acquisition and sale of businesses and brands, see notes 8(a) and 8(b).

Cash payments and receipts included in net cash inflow from operating activities in respect of exceptional items were as follows:

	2026 $ million	2025 $ million	2024 $ million
Restructuring programme	**(156)**	(38)	(26)
Distribution termination fee	**(107)**	(48)	(55)
Distill Ventures exits	**(69)**	(12)	–
Thalidomide (note 15(d))	**(20)**	(19)	(17)
Litigation	**(4)**	(44)	(88)
Winding down Russian operations	**–**	–	(2)
Total cash payments	**(356)**	(161)	(188)

4. Operating costs

The composition of operating costs for the three years ended 30 June 2026 is set out in the table below:

	2026 $ million	2025 $ million	2024 $ million
Excise duties	**8,119**	7,719	7,622
Increase in inventories	**(120)**	(470)	(112)
Raw materials and consumables	**4,678**	5,119	4,892
Marketing	**3,183**	3,662	3,691
Other external charges	**3,722**	3,428	3,002
Staff costs	**2,551**	2,488	2,314
Depreciation, amortisation and impairment	**2,480**	1,718	493
(Gains)/losses on disposal of properties	**(5)**	(37)	1
Net foreign exchange losses	**10**	21	8
Other operating income	**(12)**	(19)	(21)
	24,606	23,629	21,890

(a) Other external charges

Other external charges mainly include distribution and warehousing costs, utilities, other personnel costs not included in staff costs (e.g. travel, entertainment or relocation cost), professional services costs, system and IT costs, facilities costs, maintenance and repairs, research and development costs and low value or short-term lease rental costs. Included in other external charges, research and development expenditure in respect of new drinks products and package design were $71 million (2025 - $74 million; 2024 - $69 million) and maintenance and repairs were $181 million (2025 - $179 million; 2024 - $171 million).

(b) Auditors fees

Other external charges include the fees of the principal auditor of the group, PricewaterhouseCoopers LLP, and its affiliates (PwC) and are analysed below:

	2026 $ million	2025 $ million	2024 $ million
Audit of these financial statements[1]	**9.6**	9.7	7.7
Audit of financial statements of subsidiaries	**4.6**	7.0	8.2
Total audit fees	**14.2**	16.7	15.9
Audit related assurance services[2]	**0.7**	0.9	0.4
Other assurance services[3]	**1.4**	1.2	1.7
	16.3	18.8	18.0

(1) For the year ended 30 June 2026, in respect of reporting under section 404 of the US Sarbanes-Oxley Act is reported on the line of 'Audit of these financial statements'.
(2) Audit related assurance services are in respect of the interim review and other audit-related services over financial information.
(3) Other assurance services comprise the aggregate fees for assurance and related services that are not reported under 'total audit fees'.

Under SEC regulations, the auditors' fees of $16.3 million (2025 - $18.8 million, 2024 - $18.0 million) is required to be presented as follows: audit fee of $15.1 million (2025 - $18.0 million, 2024 - $17.0 million) and other audit related fee of $1.2 million (2025 - $0.8 million, 2024 - $1.0 million).

Audit services provided by firms other than PwC for the year ended 30 June 2026 were $2.9 million (2025 - $0.5 million; 2024 - $0.1 million). Further PwC fees for audit services in respect of post-employment plans were $0.6 million for the year ended 30 June 2026 (2025 - $0.6 million; 2024 - $0.4 million).

(c) Staff costs and average number of employees

	2026 $ million	2025 $ million	2024 $ million
Aggregate remuneration			
Wages and salaries	**2,124**	2,108	1,984
Share-based incentive plans	**44**	59	43
Employer's social security	**183**	165	146
Employer's pension			
Defined benefit plans	**122**	79	72
Defined contribution plans	**72**	70	62
Other post-employment plans	**6**	7	7
	2,551	2,488	2,314

The average number of employees on a full-time equivalent basis (excluding employees of associates and joint ventures) was as follows:

	2026	2025	2024
North America	**2,857**	2,986	2,869
Europe	**3,128**	3,024	2,932
Asia Pacific	**5,868**	6,224	6,588
Latin America and Caribbean	**1,560**	1,597	1,650
Africa	**1,920**	2,848	3,290
SC&P	**6,963**	7,134	6,977
Corporate and other	**5,642**	6,047	6,061
	27,938	29,860	30,367

At 30 June 2026, on a full-time equivalent basis, the group had 27,972 (2025 - 29,632; 2024 - 30,092) employees. The average number of employees of the group, including part-time employees, for the year was 28,400 (2025 - 30,232; 2024 - 30,839).

Financial statements *continued*

(d) Exceptional operating items

Included in the table above are exceptional operating items as follows:

	2026 $ million	2025 $ million	2024 $ million
Depreciation, amortisation and impairment			
Brand, goodwill, other intangibles, investments in associates and other investments impairment charges/(income)	**1,379**	796	(231)
Tangible asset impairment and accelerated depreciation	**352**	174	46
Staff costs	**526**	84	2
Other external charges	**270**	342	127
Other operating income	**–**	(27)	–
Total exceptional operating items (note 3)	**2,527**	1,369	(56)
Cost of sales	**31**	75	57
Other operating expenses/(income)	**2,496**	1,294	(113)

5. Finance income and charges

Accounting policies

Net interest includes interest income and charges in respect of financial instruments and the results of hedging transactions used to manage interest rate risk.

Finance charges directly attributable to the acquisition, construction or production of a qualifying asset, being an asset that necessarily takes a substantial period of time to get ready for its intended use or sale, are added to the cost of that asset. Borrowing costs which are not capitalised are recognised in the income statement using the effective interest method. All other finance charges are recognised primarily in the income statement in the year in which they are incurred.

Net other finance charges include items in respect of post-employment plans, the discount unwind of long-term obligations and hyperinflation charges. The results of operations in hyperinflationary economies are adjusted to reflect the changes in the purchasing power of the local currency of the entity before being translated to US dollar.

The impact of derivatives, excluding cash flow hedges that are in respect of commodity price risk management or those that are used to hedge the currency risk of highly probable future currency cash flows, is included in interest income or interest charge.

	2026 $ million	2025 $ million	2024 $ million
Interest income	**221**	203	179
Fair value gain on financial instruments	**55**	170	100
Total interest income[1]	**276**	373	279
Interest charge on bonds, bank loans and overdrafts	**(815)**	(775)	(665)
Interest charge on finance leases	**(34)**	(32)	(23)
Borrowing costs capitalised[2]	**56**	46	–
Borrowing costs capitalised - exceptional item[3]	**–**	58	–
Other interest charges	**(228)**	(270)	(396)
Fair value loss on financial instruments	**(67)**	(172)	(101)
Total interest charges[1]	**(1,088)**	(1,145)	(1,185)
Net interest charges	**(812)**	(772)	(906)
Net finance income in respect of post-employment plans in surplus (note 14)	**54**	54	57
Monetary gain on hyperinflation in various economies (note 1(f))	**18**	39	49
Interest income in respect of direct and indirect tax	**33**	7	15
Change in financial liability – Zacapa (Level 3)	**–**	7	–
Other finance income	**3**	–	–
Total other finance income	**108**	107	121
Net finance charge in respect of post-employment plans in deficit (note 14)	**(19)**	(19)	(20)
Monetary loss on hyperinflation in various economies (note 1(f))	**–**	–	(8)
Interest charge in respect of direct and indirect tax	**(35)**	(51)	(27)
Unwinding of discounts	**(18)**	(22)	(23)
Change in financial liability – Zacapa (Level 3)	**(4)**	–	–
Other finance charges	**(36)**	(14)	(22)
Total other finance charges	**(112)**	(106)	(100)
Net other finance charges	**(4)**	1	21

(1) Includes $145 million interest income and $883 million interest charge in respect of financial assets and liabilities that are not measured at fair value through profit or loss (2025 - $101 million income and $854 million charge; 2024 - $59 million income and $765 million charge).

(2) Forecast effective interest rate for the year of 4.0% has been used for capitalisation (2025 - 4.1%).

(3) Cumulative impact of prior years' unrecognised borrowing costs reclassified to qualifying assets.

6. Investments in associates and joint ventures

Accounting policies

An associate is an undertaking in which the group has a long-term equity interest and over which it has the power to exercise significant influence. A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement. The group's interest in the net assets of associates and joint ventures is reported in investments in the consolidated balance sheet and its interest in their results (net of tax) is included in the consolidated income statement below the group's operating profit. Associates and joint ventures are initially recorded at cost including transaction costs, and the group's share of post-acquisition changes in the investee's reserves are recognised under the equity method. Investments in associates and joint ventures acquired prior to 1 July 1998 comprise the cost of shares less goodwill written off to reserves that has not been reinstated, plus the group's share of post-acquisition reserves. Investments in associates and joint ventures are reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable. Impairment reviews compare the net carrying value to the recoverable amount (where the recoverable amount is the higher of fair value less costs of disposal and value in use). Where the carrying value exceeds the recoverable amount, an impairment charge is recognised.

Critical accounting estimates and judgements

Assessment of the recoverable amount of investments in associates and joint ventures are based on management's estimates.

Impairment reviews are carried out to ensure that the group's investments in associates and joint ventures are not carried above their recoverable amount. Value in use and fair value less costs of disposal are both considered as part of these reviews and any impairment charge is based on these. Value in use is determined using management's estimates of forecast future cash flows, discount rates and long-term growth rates. Fair value less cost of disposal is determined using different assumptions, which may include quoted market prices, market capitalisations, valuation multiples for comparable companies applied to earnings, discounted cash flows, recent market transactions and other relevant market information. Such estimates and judgements are subject to change as a result of changing economic conditions and actuals may differ from forecasts.

Diageo's principal associate is Moët Hennessy of which Diageo owns 34% through two legal entities; Moët Hennessy, SAS and Moët Hennessy International. Moët Hennessy is the wines and spirits division of LVMH Moët Hennessy Louis Vuitton SA (LVMH). LVMH is based in France and is listed on the Paris Stock Exchange. Moët Hennessy is also based in France and is a producer and exporter of champagne and cognac brands.

A number of joint distribution arrangements have been established with LVMH in Asia Pacific, principally covering distribution of Diageo's premium scotch and gin brands and Moët Hennessy's premium champagne and cognac portfolio. Diageo has undertaken not to engage in any champagne or cognac activities competing with those of Moët Hennessy. The arrangements also contain certain provisions for the protection of Diageo as a non-controlling shareholder in Moët Hennessy.

Joint distribution agreements were previously in place in France, Japan, Singapore and Thailand. Diageo terminated the distribution agreements for all the remaining Diageo brands in France effective 1 January 2025, and in Japan, Singapore and Thailand effective 1 July 2026.

(a) An analysis of the movement in the group's investments in associates and joint ventures is as follows:

	Moët Hennessy $ million	Others $ million	Total $ million
Cost less provisions			
At 30 June 2024	4,608	424	5,032
Exchange differences	470	19	489
Additions	–	109	109
Share of profit/(loss) after tax	219	(26)	193
Step acquisition	–	(30)	(30)
Dividends	(169)	(6)	(175)
Share of movements in other comprehensive income and equity	21	–	21
Impairment charged during the year	–	(308)	(308)
Transfer from other investments	–	3	3
At 30 June 2025	**5,149**	**185**	**5,334**
Exchange differences	**(159)**	**(6)**	**(165)**
Additions	**–**	**46**	**46**
Share of profit/(loss) after tax	**227**	**(9)**	**218**
Dividends	**(108)**	**(8)**	**(116)**
Share of movements in other comprehensive income and equity	**(2)**	**–**	**(2)**
Impairment charged during the year	**–**	**(29)**	**(29)**
Transfer to other investments	**–**	**(2)**	**(2)**
At 30 June 2026	**5,107**	**177**	**5,284**

Investment in associates includes loans given to and preference shares invested in associates of $32 million (2025 - $37 million).

Impairment testing for the year ended 30 June 2026 has identified Diageo's investment in Moët Hennessy as being sensitive to reasonably possible changes in assumptions. The recoverable amount was estimated based on fair value less cost of disposal. A decrease of 1.0x in the EBITDA multiple would result in an impairment charge of $312 million. Similarly, a 10% decrease in EBITDA would also result in an impairment charge of $388 million.

Following a strategic review in March 2025, Diageo decided it would no longer be bringing any new brands into the Distill Ventures programme and to exit several businesses, resulting in an impairment charge of $308 million in exceptional operating items in the year ended 30 June 2025. As part of the exit process from Distill Ventures, in the year ended 30 June 2026, Diageo provided additional operational funding to these investments amounting to $25 million which has been fully impaired.

(b) Moët Hennessy prepares its financial statements under IFRS as endorsed by the EU in euros to 31 December each year. The results were adjusted for alignment with Diageo accounting policies and were translated at $1 = €0.86 (2025 - $1 = €0.92; 2024 - $1 = €0.93).

Income statement information for the three years ended 30 June 2026 and balance sheet information as at 30 June 2026 and 30 June 2025 of Moët Hennessy are as follows:

	2026 $ million	2025 $ million	2024 $ million
Sales	**6,199**	6,100	6,691
Profit for the year	**668**	644	1,299
Total comprehensive income	**605**	716	1,219

	2026 $ million	2025 $ million
Non-current assets	**9,133**	9,673
Current assets	**13,027**	13,496
Total assets	**22,160**	23,169
Non-current liabilities	**(2,722)**	(2,931)
Current liabilities	**(4,223)**	(4,881)
Total liabilities	**(6,945)**	(7,812)
Net assets	**15,215**	15,357

Including acquisition fair value adjustments principally in respect of Moët Hennessy's brands and translated at $1 = €0.88 (2025 - $1 = €0.85).

(c) Information on transactions between the group and its associates and joint ventures is disclosed in note 21.

(d) The associates and joint ventures have not reported any material contingent liabilities in their latest financial statements.

Financial statements *continued*

7. Taxation

Accounting policies

Current tax is based on taxable profit for the year. Taxable profit is different from accounting profit due to temporary differences between accounting and tax treatments, and due to items that are never taxable or tax deductible. Tax treatments are not recognised unless it is probable that a tax authority will accept the treatment. Once considered to be probable, tax treatments are reviewed each year to assess whether a provision should be taken against full recognition of the treatment on the basis of potential settlement through negotiation and/or litigation with the relevant tax authorities. Tax provisions are included in current liabilities. Penalties and interest on tax liabilities are included in operating profit and finance charges, respectively.

Full provision for deferred tax is made for temporary differences between the carrying value of assets and liabilities for financial reporting purposes and their value for tax purposes, except for deferred tax provision arising on goodwill from business combinations. The amount of deferred tax reflects the expected recoverable amount and is based on the expected manner of recovery or settlement of the carrying amount of assets and liabilities, using the basis of taxation enacted or substantively enacted by the balance sheet date. Deferred tax assets are not recognised where it is more likely than not that the assets will not be realised in the future. No deferred tax liability is provided in respect of any future remittance of earnings of foreign subsidiaries where the group is able to control the remittance of earnings and it is probable that such earnings will not be remitted in the foreseeable future, or where no liability would arise on the remittance.

Critical accounting estimates and judgements

The group is required to estimate the corporate tax in each of the jurisdictions in which it operates. Management is required to estimate the amount that should be recognised as a tax liability or tax asset in many countries which are subject to tax audits which by their nature are often complex and can take several years to resolve; current tax balances are based on such estimations. Tax provisions are based on management's judgement and interpretation of country specific tax law and the likelihood of settlement. However, the actual tax liabilities could differ from the provision and in such event the group would be required to make an adjustment in a subsequent period which could have a material impact on the group's profit for the year.

The evaluation of deferred tax asset recoverability requires estimates to be made regarding the availability of future taxable income. For brands with an indefinite life, management's intention is to recover the book value through a potential sale in the future, and therefore the deferred tax on the brand value is generally recognised using the appropriate country capital gains tax rate. To the extent brands with an indefinite life have been impaired, management considers this to be an indication of recovery through use and in such a case deferred tax on the brand value is recognised using the appropriate country corporate income tax rate.

(a) Analysis of taxation charge for the year

	United Kingdom			Rest of world			Total		
	2026 $ million	2025 $ million	2024 $ million	**2026 $ million**	2025 $ million	2024 $ million	**2026 $ million**	2025 $ million	2024 $ million
Current tax									
Current year	**210**	157	134	**763**	987	983	**973**	1,144	1,117
Adjustments in respect of prior years	**26**	(22)	(7)	**17**	(19)	(4)	**43**	(41)	(11)
	236	135	127	**780**	968	979	**1,016**	1,103	1,106
Deferred tax									
Origination and reversal of temporary differences	**(52)**	41	39	**(331)**	(164)	113	**(383)**	(123)	152
Changes in tax rates	**–**	–	–	**(1)**	4	(18)	**(1)**	4	(18)
Adjustments in respect of prior years	**(24)**	8	16	**(2)**	7	38	**(26)**	15	54
	(76)	49	55	**(334)**	(153)	133	**(410)**	(104)	188
Taxation on profit	**160**	184	182	**446**	815	1,112	**606**	999	1,294

(b) Taxation recognised in other comprehensive income

	2026 $ million	**2025 $ million**	**2024 $ million**
Tax on post-employment benefit plans	**(14)**	(7)	(14)
Tax relating to items that will not be recycled subsequently to the income statement	**(14)**	(7)	(14)
Tax on exchange differences	**5**	(10)	(11)
Changes in tax rates	**(38)**	–	–
Tax on effective portion of changes in fair value of cash flow hedges	**(2)**	15	(16)
Tax on hyperinflation adjustments	**85**	98	138
Tax relating to items that may be recycled subsequently to the income statement	**50**	103	111
	36	96	97

(c) Exceptional tax charges/(credits)

The taxation charge includes the following exceptional items:

	2026 $ million	2025 $ million	2024 $ million
Restructuring programmes[1]	**(213)**	(46)	(15)
Brand, goodwill and other assets impairment[2]	**(356)**	(138)	63
Distribution model change in various countries[3]	**(19)**	(36)	–
Discretionary increase in pension benefits in Ireland[4]	**(5)**	–	–
Disposal of businesses and brands[5]	**18**	3	(1)
Various dispute and litigation matters[6]	**–**	(12)	(23)
Borrowing costs capitalised[7]	**–**	15	–
	(575)	(214)	24

(1) In the year ended 30 June 2026, an exceptional tax credit of $213 million was recognised in respect of restructuring programmes.
(2) In the year ended 30 June 2026, impairment charges recognised within exceptional operating items resulted in exceptional tax credits of $187 million in respect of the Mey İçki goodwill and several of its brands, $71 million in respect of Don Papa brand, $10 million in respect of Aviation American Gin brand, $7 million in respect of Ypióca brand and related fixed assets, and $36 million in respect of various brands sold predominantly in the US and $45 million in respect of various other US tangible fixed assets and inventory. In the year ended 30 June 2025, exceptional tax credits were recognised in the amount of $30 million in respect of Distill Ventures, $55 million in respect of the Aviation American Gin brand and tangible fixed assets, $40 million in respect of various US brands, tangible fixed assets and inventory and $13 million in respect of the Bell's whisky brand. In the year ended 30 June 2024, an exceptional tax charge of $95 million was recognised in relation to the reversal of the Shui Jing Fang brand impairment charge, partially offset by an exceptional tax credit of $19 million in respect of the impairment of the Chase brand and the related tangible fixed assets and an exceptional tax credit of $13 million on brand impairments in the US ready-to-drink portfolio.
(3) In the year ended 30 June 2026, an exceptional tax credit of $19 million was recognised in respect of the transformation of Diageo's distribution model in Japan, Singapore and Thailand as the company agreed with LVMH to terminate the existing distribution agreements for Diageo's brands. In the year ended 30 June 2025, an exceptional tax credit of $36 million was recognised in respect of the transformation of the distribution model in France as the company agreed with LVMH to exist from their joint operation and to terminate the existing distribution agreements for Diageo brands.
(4) In the year ended 30 June 2026, $5 million exceptional tax credit was recognised in respect of the one-off discretionary increase in pension benefits related to the Guinness Ireland Group Pension Scheme.
(5) In the year ended 30 June 2026 the exceptional net tax charge of $18 million mainly comprised a tax charge of $16 million in respect of the sale of Sheridan's, and $5 million in respect of the sale of Guinness Ghana Breweries PLC.
(6) In the year ended 30 June 2025, an exceptional tax credit of $12 million was recognised in respect of various dispute and litigation matters in North America and Europe, including certain costs and expenses associated therewith. In the year ended 30 June 2024, an exceptional tax credit of $23 million was recorded in relation to various dispute and litigation matters in North America, including certain costs and expenses associated therewith.
(7) In the year ended 30 June 2025, an exceptional tax charge of $15 million was recognised in relation to the capitalisation of borrowing costs on the purchase of property, plant, equipment and computer software in the prior years.

(d) Taxation rate reconciliation and factors that may affect future tax charges

	2026 $ million	**2026 %**	2025 $ million	2025 %	2024 $ million	2024 %
Profit before taxation	**2,564**		3,537		5,460	
Share of after-tax results of associates and joint ventures	**218**		193		414	
Profit before taxation excluding share of after-tax results of associates and joint ventures	**2,346**		3,344		5,046	
Notional charge at UK corporation tax rate	**587**	**25.0**	836	25.0	1,262	25.0
Differences in overseas tax rates	**(73)**	**(3.1)**	(45)	(1.3)	(86)	(1.7)
Non-taxable gain on disposals of businesses	**–**	**–**	(28)	(0.7)	–	–
Disposal of businesses and brands	**12**	**0.5**	54	1.6	17	0.3
Other items not chargeable	**(103)**	**(4.4)**	(69)	(2.1)	(72)	(1.4)
Impairment	**14**	**0.6**	105	3.1	6	0.1
Other items not deductible	**109**	**4.6**	105	3.1	70	1.4
Irrecoverable withholding taxes	**58**	**2.5**	60	1.8	55	1.1
Movement in provision in respect of uncertain tax positions[1]	**(14)**	**(0.6)**	18	0.5	6	0.1
Changes in tax rates	**(1)**	**–**	4	0.1	(18)	(0.4)
Adjustments in respect of prior years[2]	**17**	**0.7**	(41)	(1.2)	54	1.1
Taxation on profit / Reported tax rate	**606**	**25.8**	999	29.9	1,294	25.6
Tax rate before exceptional items	**–**	**24.3**	–	24.9	–	25.1

(1) Movement in provision in respect of uncertain tax positions includes both current and prior year uncertain tax position movements.
(2) Excludes prior year movement in provisions.

The table above reconciles the notional taxation charge calculated at the UK tax rate, to the actual total tax charge. As a group operating in multiple countries, the actual tax rates applicable to profits in those countries are different from the UK tax rate. The impact is shown in the table above as differences in overseas tax rates. The group's worldwide business leads to the consideration of a number of important factors which may affect future tax charges, such as the levels and mix of profitability in different jurisdictions, transfer pricing regulations, tax rates imposed and tax regime reforms, acquisitions, disposals, restructuring activities, and settlements or agreements with tax authorities.

Significant ongoing changes in the international tax environment and an increase in global tax audit activity mean that tax uncertainties and associated risks have been gradually increasing. In the medium-term, these risks could result in an increase in tax liabilities or adjustments to the carrying value of deferred tax assets and liabilities. See note 19(f).

Financial statements *continued*

The group has a number of ongoing tax audits worldwide for which provisions are recognised in line with the relevant international accounting standard, taking into account best estimates and management's judgements concerning the ultimate outcome of the tax audits. For the year ended 30 June 2026, ongoing audits that are provided for individually are not expected to result in a material tax liability. The current tax asset of $244 million (30 June 2025 – $354 million) and tax liability of $207 million (30 June 2025 – $138 million) include $213 million (30 June 2025 – $217 million) of provisions for tax uncertainties.

The cash tax paid in the year ended 30 June 2026 amounts to $817 million (30 June 2025 – $1,114 million) and is $199 million lower than the current tax charge (30 June 2025 – $11 million higher). This arises as a result of timing differences between the accrual of income taxes, the movement in the provision for uncertain tax positions, the actual payment of cash and refund of the deposit payments.

The Pillar Two rules implemented in the United Kingdom apply to Diageo from the financial year ended 30 June 2025. Diageo is continuously monitoring the implementation and development of the rules around the world. Diageo has applied the temporary exemption under IAS 12 in relation to the accounting for deferred taxes arising from the implementation of the rules. A current tax expense of $13 million (2025 - $7 million) as a result of the Pillar Two rules has been included in the total tax charge for the year ended 30 June 2026.

(e) Deferred tax assets and liabilities

Deferred tax recognised in the consolidated balance sheet comprise the following net deferred tax (liabilities)/assets:

	Property, plant and equipment $ million	Intangible assets $ million	Post-employment plans $ million	Tax losses $ million	Other temporary differences[1] $ million	Total $ million
At 30 June 2024	**(688)**	**(2,395)**	**(142)**	**64**	**357**	**(2,804)**
Exchange differences	(31)	23	(1)	3	(5)	(11)
Recognised in income statement	(92)	78	1	(10)	131	108
Recognised in other comprehensive income and equity	(20)	(67)	3	–	(38)	(122)
Tax rate change – recognised in income statement	(2)	(2)	–	–	–	(4)
Transfer from assets held for sale	40	1	(1)	–	(1)	39
At 30 June 2025	**(793)**	**(2,362)**	**(140)**	**57**	**444**	**(2,794)**
Exchange differences	**23**	**47**	**6**	**(1)**	**13**	**88**
Recognised in income statement	**(3)**	**279**	**11**	**7**	**115**	**409**
Recognised in other comprehensive income and equity	**(8)**	**(62)**	**10**	**–**	**(23)**	**(83)**
Tax rate change – recognised in income statement	**–**	**5**	**(1)**	**(1)**	**(2)**	**1**
Tax rate change – recognised in other comprehensive loss and equity	**18**	**20**	**–**	**–**	**–**	**38**
Acquisition	**–**	**(2)**	**–**	**–**	**–**	**(2)**
Transfer to assets held for sale	**88**	**2**	**–**	**(5)**	**(24)**	**61**
At 30 June 2026	**(675)**	**(2,073)**	**(114)**	**57**	**523**	**(2,282)**

(1) Deferred tax on other temporary differences includes hyperinflation, fair value movement on cross-currency swaps, interest and finance costs, share-based payments and intra-group sales of products.

After offsetting deferred tax assets and liabilities that relate to taxes levied by the same taxation authority on the same taxable fiscal unit, the net deferred tax liability comprises:

	2026 $ million	2025 $ million
Deferred tax assets	**173**	150
Deferred tax liabilities	**(2,455)**	(2,944)
	(2,282)	(2,794)

Deferred tax assets of $173 million include $73 million (2025 – $76 million) arising in jurisdictions with prior year taxable losses. The majority of the asset is in respect of Brazil, Germany and Mexico. It is considered more likely than not that there will be sufficient future taxable profits to realise these deferred tax assets, which for the most part arose on losses from a historic one-off transaction. The majority of deferred tax assets can be carried forward indefinitely. From the total recognised tax losses of $57 million, it is expected that $10 million will be utilised in the year ending 30 June 2027.

(f) Unrecognised deferred tax assets

The following table shows the tax value of tax losses which has not been recognised due to uncertainty over their utilisation in future periods. The gross value of those losses is $699 million (2025 – $741 million).

	2026 $ million	2025 $ million
Capital losses – indefinite	**123**	125
Trading losses – indefinite	**41**	42
Trading and capital losses – expiry dates up to 2031	**19**	26
	183	193

Additionally, no deferred tax asset has been recognised in respect of certain temporary differences arising from brand valuations, as the group is not planning to sell those brands, thus the benefit from the temporary differences is unlikely to be realised.

(g) Unrecognised deferred tax liabilities

Relevant legislation largely exempts overseas dividends remitted from tax. A tax liability is more likely to arise in respect of withholding taxes levied by the overseas jurisdiction. Deferred tax is provided where there is an intention to distribute earnings, and a tax liability arises. It is impractical to estimate the amount of unrecognised deferred tax liabilities in respect of these unremitted earnings.

The aggregate amount of temporary differences in respect of investments in subsidiaries, branches, interests in associates and joint ventures for which deferred tax liabilities have not been recognised is approximately $22.4 billion (2025 – $23.6 billion).

Operating assets and liabilities

Introduction

This section describes the assets used in the group's operations and the liabilities incurred. Liabilities relating to the group's financing activities are included in section 'Risk management and capital structure' and balance sheet information in respect of associates, joint ventures and taxation are covered in section 'Results for the year'. This section also provides detailed disclosures on the group's recent acquisitions and disposals, performance and financial position of its defined benefit post-employment plans.

8. Acquisition and sale of businesses and brands and purchase of non-controlling interests

Accounting policies

The consolidated financial statements include the results of the company and its subsidiaries together with the group's attributable share of the results of associates and joint ventures. The results of subsidiaries acquired or sold are included in the income statement from, or up to, the date that control passes.

Business combinations are accounted for using the acquisition method. Identifiable assets, liabilities and contingent liabilities acquired are measured at fair value at acquisition date. The consideration payable is measured at fair value and includes the fair value of any contingent consideration. Among other factors, the group considers the nature of, and compensation for the selling shareholders' continuing employment to determine if any contingent payments are for post-combination employee services, which are excluded from consideration.

On the acquisition of a business, or of an interest in an associate or joint venture, fair values, reflecting conditions at the date of acquisition, are attributed to the net assets, including identifiable intangible assets and contingent liabilities acquired. Directly attributable acquisition costs in respect of subsidiary companies acquired are recognised in other external charges as incurred.

The non-controlling interests on the date of acquisition can be measured either at the fair value or at the non-controlling shareholder's proportion of the net fair value of the identifiable assets assumed. This choice is made separately for each acquisition.

Where the group has issued a put option over shares held by a non-controlling interest, the group derecognises the non-controlling interests and instead recognises a contingent deferred consideration liability for the estimated amount likely to be paid to the non-controlling interest on the exercise of those options. Movements in the estimated liability in respect of put options are recognised in retained earnings.

Transactions with non-controlling interests are recorded directly in retained earnings.

For all entities in which the company directly or indirectly owns equity, a judgement is made to determine whether it controls and therefore should fully consolidate the investee. An assessment is carried out to determine whether the group has the exposure or rights to the variable returns of the investee and has the ability to affect those returns through its power over the investee. To establish control, an analysis is carried out of the substantive and protective rights that the group and the other investors hold. This assessment is dependent on the activities and purpose of the investee and the rights of the other shareholders, such as which party controls the board, executive committee and material policies of the investee. Determining whether the rights that the group holds are substantive, requires management judgement.

Where less than 50% of the equity of an investee is held, and the group holds significantly more voting rights than any other vote holder or organised group of vote holders, this may be an indicator of de facto control. An assessment is needed to determine all the factors relevant to the relationship with the investee to ascertain whether control has been established and whether the investee should be consolidated as a subsidiary. Where voting power and returns from an investment are split equally between two entities then the arrangement is accounted for as a joint venture.

On an acquisition, fair values are attributed to the assets and liabilities acquired. This may involve material judgement to determine these values.

Financial statements *continued*

(a) Acquisition of businesses

Fair value of net assets acquired and cash consideration paid in respect of the acquisition of subsidiaries in the three years ended 30 June 2026 were as follows:

	Net assets acquired and consideration		
	2026 $ million	2025 $ million	2024 $ million
Brands and other intangibles	**8**	66	–
Property, plant and equipment	**–**	1	–
Inventories	**–**	4	–
Other working capital	**–**	1	–
Deferred tax	**(2)**	–	–
Borrowings	**–**	(3)	–
Cash	**–**	2	–
Fair value of assets and liabilities	**6**	71	–
Goodwill arising on acquisition	**(4)**	46	–
Non-controlling interests	**(2)**	–	–
Step acquisitions	**–**	(54)	–
Consideration payable	**–**	63	–
Satisfied by:			
Cash consideration paid	**–**	(29)	–
Contingent consideration payable	**–**	(12)	–
Deferred consideration payable	**–**	(22)	–
	–	(63)	–

Cash consideration paid in respect of the acquisition of businesses and purchase of shares of non-controlling interests in the three years ended 30 June 2026 were as follows:

	Consideration		
	2026 $ million	2025 $ million	2024 $ million
Acquisitions in the year - subsidiaries			
Cash consideration paid	**–**	(29)	–
Cash acquired	**–**	2	–
Prior year acquisitions - subsidiaries			
Other consideration	**(23)**	(8)	(6)
Investments in associates			
Cash consideration paid - increase in ownership interest	**–**	(2)	(5)
Capital injection[1]	**(47)**	(82)	(128)
Net cash outflow on acquisition of businesses	**(70)**	(119)	(139)
Purchase of shares of non-controlling interests	**–**	(9)	(223)
Total net cash outflow	**(70)**	(128)	(362)

(1) Additional investments in a number of Distill Ventures associates

In the year ended 30 June 2026, the changes in brands, goodwill, deferred tax and non-controlling interests reflect the finalisation of the fair values of net assets acquired on the acquisition of Nao Spirits & Beverages Private Limited in June 2025.

Prior year acquisitions

On 24 September 2024, Diageo acquired the part of the entire issued share capital of Ritual Beverage Company LLC (owner of Ritual Zero Proof non-alcoholic spirits brand), that it did not already own.

On 19 June 2025, Diageo announced that it acquired a controlling stake in Nao Spirits & Beverages Private Limited.

Purchase of shares of non-controlling interests

On 16 January 2024, Diageo agreed with Combs Wine and Spirits LLC to purchase the 50% of the share capital of DeLeon Holdco LLC that Diageo did not already own for a total consideration of $223 million, including transaction costs. The transaction was completed in fiscal 24 and Diageo is now the 100% owner of the DeLeón brand.

Transactions were recognised in retained earnings.

(b) Sale of businesses and brands

Cash consideration received and net assets disposed of in respect of sale of businesses and brands in the three years ended 30 June 2026 were as follows:

	Diageo Operations Italy S.p.A. $ million	Other $ million	2026 $ million	2025 $ million	2024 $ million
Sale consideration					
Cash received	**120**	**221**	**341**	185	116
Cash disposed of	**–**	**–**	**–**	(11)	(20)
Transaction and other directly attributable costs paid	**(2)**	**(51)**	**(53)**	(31)	(9)
Net cash received	**118**	**170**	**288**	143	87
Deferred consideration receivable	**–**	**–**	**–**	4	32
Investment in associates received	**–**	**–**	**–**	25	–
Transaction costs payable and other directly attributable items	**25**	**(12)**	**13**	(54)	(24)
	143	**158**	**301**	118	95
Net (assets)/liabilities disposed of					
Brands	**–**	**–**	**–**	(83)	(167)
Other non-current assets	**–**	**–**	**–**	–	(3)
Assets and liabilities held for sale	**(144)**	**(97)**	**(241)**	20	–
Inventories	**–**	**–**	**–**	(13)	(11)
Other working capital	**–**	**–**	**–**	(1)	3
Corporate tax	**–**	**–**	**–**	–	2
Deferred tax	**–**	**–**	**–**	–	37
	(144)	**(97)**	**(241)**	(77)	(139)
Less non-controlling interest	**–**	**28**	**28**	(9)	–
Hyperinflationary adjustment recycled from other comprehensive income	**–**	**22**	**22**	–	–
Impairment charge recognised for prospective sale of Guinness Ghana	**–**	**–**	**–**	(97)	–
Exchange recycled from other comprehensive income	**(6)**	**(102)**	**(108)**	(179)	(26)
(Loss)/gain on disposal before taxation	**(7)**	**9**	**2**	(244)	(70)
Taxation	**–**	**(18)**	**(18)**	(3)	1
(Loss)/gain on disposal after taxation	**(7)**	**(9)**	**(16)**	(247)	(69)

Cash consideration received or paid in respect of the disposal of businesses and brands in the three years ended 30 June 2026 were as follows:

	Diageo Operations Italy S.p.A. $ million	Other $ million	2026 $ million	2025 $ million	2024 $ million
Net cash received as included in net cashflow from investing activities	**118**	**170**	**288**	143	87
Cash included in disposed assets and liabilities held for sale	**(127)**	**(14)**	**(141)**	5	–
Net cash flow from sale of businesses and brands	**(9)**	**156**	**147**	148	87

On 30 January 2026, Diageo completed the sale of the Sheridan's brand and related inventory to Casa Redondo for a consideration of $48 million which resulted in a non-operating exceptional gain before tax of $46 million.

On 17 December 2025, Diageo announced the sale of its shareholding in East African Breweries PLC and its shareholding in the Kenyan spirits business to Asahi Group Holdings, Ltd. and a non-operating charge of $43 million attributable to the prospective sale was recognised in the year ended 30 June 2026.

On 30 September 2025, Diageo completed the sale of Diageo Operations Italy S.p.A., its manufacturing site in Italy to NewPrinces S.p.A. The aggregate consideration for the disposal was $120 million, the disposed net assets of $144 million mainly included cash and cash equivalents. In the year ended 30 June 2026, the transaction resulted in a non-operating exceptional loss of $7 million, including cumulative translation losses in the amount of $6 million recycled to the income statement.

On 3 July 2025, Diageo completed the sale of Guinness Ghana Breweries PLC, its brewery in Ghana, to the Castel Group. The aggregate consideration for the disposal was $81 million, the disposed net assets of $64 million mainly included property, plant and equipment and trade and other payables. In the year ended 30 June 2026, the transaction resulted in a non-operating exceptional loss before tax of $49 million, including cumulative translation losses of $94 million and hyperinflationary adjustment gain of $22 million recycled to the income statement. The disposed Ghana operations contributed net sales of $nil (2025 - $322 million; 2024 - $151 million), operating profit of $nil (2025 - $45 million; 2024 - loss of $5 million) in the year ended 30 June 2026.

On 1 July 2025, Diageo completed the sale of its shareholding in Seychelles Breweries Limited to Phoenix Beverages Limited. The aggregate consideration for the disposal was $89 million, the disposed net assets of $32 million mainly included property, plant and equipment. In the year ended 30 June 2026, the transaction resulted in a non-operating exceptional gain of $62 million, including cumulative translation losses of $8 million recycled to the income statement.

Financial statements *continued*

On 30 September 2024, Diageo completed the sale of its shareholding in Guinness Nigeria PLC to N-Seven Nigeria Ltd., part of the Tolaram group. The aggregate consideration for the disposal was $64 million, the disposed net liabilities of $20 million mainly included trade and other payables and property, plant and equipment. The transaction resulted in a non-operating exceptional loss before tax of $125 million, including cumulative translation losses in the amount of $175 million recycled to the income statement. The disposed Nigeria operations contributed net sales of $65 million (2024 - $296 million; 2023 - $504 million), operating loss of $10 million (2024 - $60 million; 2023 - $14 million) in the year ended 30 June 2025.

On 24 June 2025, Diageo announced the sale of Diageo Operations Italy S.p.A., inclusive of the Santa Vittoria production facility, to NewPrinces S.p.A. and a non-operating charge of $29 million attributable to the prospective sale was recognised in the year ended 30 June 2025.

On 28 January 2025, Diageo announced the agreement to sell Guinness Ghana Breweries PLC, its brewery in Ghana to the Castel Group and a non-operating charge of $114 million attributable to the prospective sale was recognised in the year ended 30 June 2025.

On 23 January 2025, Diageo sold the Cacique brand and related inventory to Bardinet S.A., a Spanish spirits company for a consideration of $68 million which resulted in a non-operating exceptional charge before tax of $20 million.

On 15 October 2024, Diageo sold the Pampero brand and related inventory to Gruppo Montenegro, a leading Italian company in the premium spirits and food sectors, for a consideration of $57 million which resulted in a non-operating exceptional gain before tax of $53 million.

On 19 September 2024, Diageo sold the Safari brand to Casa Redondo, a Portuguese beverage-alcohol company for a consideration of $16 million which resulted in a non-operating exceptional gain before tax of $15 million.

On 27 October 2023, Diageo completed the sale of Windsor Global Co., Ltd. to PT W Co., Ltd., a Korean company sponsored by Pine Tree Investment & Management Co., Ltd. for a total consideration of KRW 206 billion ($152 million). The transaction resulted in a loss of $58 million in the year ended 30 June 2024, which was recognised as a non-operating item attributable to the sale, including cumulative translation losses in the amount of $26 million recycled to the income statement.

(c) Assets and liabilities held for sale

	2026 $ million	2025 $ million
Intangible assets	**70**	1
Property, plant and equipment	**582**	146
Other financial assets	**4**	–
Inventories	**124**	50
Trade and other receivables	**179**	40
Corporate tax receivables	**25**	2
Cash	**161**	18
Assets held for sale	**1,145**	257
Trade and other payables	**(330)**	(137)
Provisions	**(18)**	–
Deferred tax liabilities	**(61)**	(40)
Bank overdrafts	**–**	(4)
Loans and leases	**(272)**	(5)
Post-employment benefit liabilities	**–**	(7)
Liabilities held for sale	**(681)**	(193)
Total	**464**	64

On 24 March 2026, Diageo announced the sale of United Spirits Limited's shareholding in Royal Challengers Sports Pvt Ltd to a consortium comprising the Aditya Birla Group, The Times of India Group, Bolt Ventures and Blackstone. The sale was considered to be highly probable on 30 June 2026. Subject to regulatory approvals, completion is expected in the year ending 30 June 2027. Consequently, the impacted assets and liabilities were classified as held for sale on 30 June 2026 and measured at cost as the lower of cost and fair value less cost of disposal.

On 17 December 2025, Diageo announced the agreement to sell its 100% ownership in Diageo Kenya Limited, 65% owner of East African Breweries PLC (EABL) and its subsidiaries, and its remaining shares in UDV Kenya Limited, to Asahi. On completion, Asahi will take majority control of EABL, which produces and distributes Guinness under a licence and royalty agreement. The sale was considered to be highly probable on 30 June 2026 and it is expected to be completed by 31 December 2026, subject to regulatory approval. The impacted assets and liabilities were classified as held for sale on 30 June 2026 measured at cost as the lower of cost and fair value less cost of disposal. On 30 June 2026, cumulative translation losses recognised in exchange reserves were a loss of $85 million, which will be recycled to the income statement on the completion of the transaction.

In the year ended 30 June 2026, Diageo completed the sale of a number of businesses, previously classified as assets and liabilities held for sale, comprising: (i) the sale of Diageo Operations Italy S.p.A., inclusive of the Santa Vittoria production facility, to NewPrinces S.p.A., announced on 24 June 2025, (ii) the sale of Diageo's shareholding in Seychelles Breweries Limited, its brewery in Seychelles, to Phoenix Beverages Limited, announced on 2 April 2025, and (iii) the sale of Diageo's shareholding in Guinness Ghana Breweries PLC, its brewery in Ghana, to Castel Group, announced on 28 January 2025.

9. Intangible assets

Accounting policies

Acquired intangible assets are held on the consolidated balance sheet at cost less accumulated amortisation and impairments. Acquired brands and other intangible assets are initially recognised at fair value if they are controlled through contractual or other legal rights, or are separable from the rest of the business, and the fair value can be reliably measured. Where these assets are regarded as having indefinite useful economic lives, they are not amortised.

Goodwill represents the excess of the aggregate of the consideration transferred, the value of any non-controlling interests and the fair value of any previously held equity interest in the subsidiary acquired over the fair value of the identifiable net assets. Goodwill arising on acquisitions prior to 1 July 1998 was eliminated against reserves, and this goodwill has not been reinstated. Goodwill arising subsequent to 1 July 1998 has been capitalised.

Impairment reviews are performed for cash-generating units (CGU) which are the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

Amortisation of intangible assets is based on their useful economic lives and amortised on a straight-line basis and reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable. Goodwill and intangible assets that are regarded as having indefinite useful economic lives are not amortised and are reviewed for impairment at least annually or when there is an indication that the assets may be impaired. Impairment reviews compare the net carrying value to the recoverable amount (where recoverable amount is the higher of fair value less costs of disposal and value in use). Where the carrying value exceeds the recoverable amount, an impairment charge is recognised. Amortisation and any impairment charges are recorded in other operating items in the income statement.

At each reporting date, a review is performed to assess whether there is any indication that an impairment recognised in prior periods should be reversed for an asset other than goodwill. Reversal of impairment is considered if the recoverable amount of the assets is consistently and significantly above the carrying value over an extended period. The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment shall not exceed the carrying amount that would have been determined (net of amortisation) had no impairment been recognised for the asset in prior years. Any reversal of impairment is charged against the same income statement line on which the initial impairment was recorded.

Computer software is amortised on a straight-line basis to estimated residual value over its expected useful life. Residual values and useful lives are reviewed each year. Subject to these reviews, the estimated useful lives are up to eight years.

Critical accounting estimates and judgements

Assessment of the recoverable amount of an intangible asset and the useful economic life of an asset are based on management's estimates.

Impairment reviews are carried out to ensure that intangible assets, including brands, are not carried above their recoverable amounts. Value in use and fair value less costs of disposal are both considered for these reviews and any impairment charge is based on these. Value in use is determined using management's estimates of forecast future cash flows, discount rates and long-term growth rates. Fair value less costs of disposal is determined using different assumptions, which may include quoted market prices, market capitalisations, valuation multiples for comparable companies applied to earnings, discounted cash flows, recent market transactions and other relevant market information. Such estimates and judgements are subject to change as a result of changing economic conditions and actuals may differ from forecasts.

Consideration of climate risk impact

The impact of climate risk on the future cash flows has also been considered for scenarios analysed in line with the climate change risk assessment. The climate change scenario analyses performed in 2026 – conducted in line with TCFD recommendations ('Transition Scenario' (RCP 2.6), a 'Moderate Warming' Scenario (RCP 4.5) and a 'Severe Warming Scenario (RCP 8.5)) – identified no material financial impact to the current year impairment assessments.

Financial statements *continued*

	Brands $ million	Goodwill $ million	Other intangibles $ million	Computer software $ million	Total $ million
Cost					
At 30 June 2024	11,106	3,682	2,011	1,225	18,024
Hyperinflation adjustment	144	107	–	–	251
Exchange differences	33	(73)	8	75	43
Additions	66	46	–	191	303
Disposals	(220)	–	(33)	(350)	(603)
Reclassification to assets held for sale	–	(5)	–	(1)	(6)
At 30 June 2025	**11,129**	**3,757**	**1,986**	**1,140**	**18,012**
Hyperinflation adjustment	**153**	**113**	**–**	**1**	**267**
Exchange differences	**(270)**	**(188)**	**(9)**	**(32)**	**(499)**
Additions	**–**	**–**	**–**	**113**	**113**
Disposals	**–**	**–**	**(3)**	**(27)**	**(30)**
Acquisitions	**8**	**(4)**	**–**	**–**	**4**
Reclassification to assets held for sale	**(5)**	**(33)**	**(42)**	**(17)**	**(97)**
At 30 June 2026	**11,015**	**3,645**	**1,932**	**1,178**	**17,770**
Amortisation and impairment					
At 30 June 2024	1,464	822	102	822	3,210
Exchange differences	5	(14)	6	38	35
Amortisation for the year	–	–	20	74	94
Impairment	416	–	–	–	416
Disposals	(137)	–	(33)	(349)	(519)
At 30 June 2025	**1,748**	**808**	**95**	**585**	**3,236**
Exchange differences	**(99)**	**(65)**	**(4)**	**(14)**	**(182)**
Amortisation for the year	**–**	**–**	**5**	**72**	**77**
Impairment	**808**	**466**	**–**	**40**	**1,314**
Disposals	**–**	**–**	**(1)**	**(24)**	**(25)**
Reclassification to assets held for sale	**–**	**–**	**(11)**	**(14)**	**(25)**
At 30 June 2026	**2,457**	**1,209**	**84**	**645**	**4,395**
Carrying amount					
At 30 June 2026	**8,558**	**2,436**	**1,848**	**533**	**13,375**
At 30 June 2025	9,381	2,949	1,891	555	14,776
At 30 June 2024	9,642	2,860	1,909	403	14,814

(a) Brands

The principal acquired brands, all of which are regarded as having indefinite useful economic lives, are as follows:

	Principal markets	2026 $ million	2025 $ million
Crown Royal whisky	United States	**1,464**	1,464
Captain Morgan rum	Global	**1,201**	1,201
Johnnie Walker whisky	Global	**826**	856
Smirnoff vodka	Global	**824**	824
Shui Jing Fang Chinese white spirit	Greater China	**737**	698
Casamigos tequila	United States	**604**	604
McDowell's No.1 whisky, rum and brandy	India	**336**	371
Don Julio tequila	United States	**292**	270
Yenì Raki	Türkiye	**257**	477
Seagram's 7 Crown whiskey	United States	**223**	223
Signature whisky	India	**193**	213
Zacapa rum	Global	**191**	191
Black Dog whisky	India	**163**	180
Antiquity whisky	India	**159**	176
Gordon's gin	Europe	**157**	163
Other brands		**931**	1,470
		8,558	9,381

Brands are protected by trademarks which are renewable indefinitely in all of the major markets where they are sold. There are not believed to be any legal, regulatory or contractual provisions that limit the useful lives of these brands. The nature of the premium drinks industry is that obsolescence is not a common issue, with indefinite brand lives being commonplace, and Diageo has a number of brands that were originally created more than 100 years ago. Accordingly, the Directors believe that it is appropriate that the brands are treated as having indefinite lives for accounting purposes and are therefore not amortised.

(b) Goodwill

For the purposes of impairment testing, goodwill has been attributed to the following cash-generating units:

	2026 $ million	2025 $ million
North America	**1,062**	1,002
Europe		
Türkiye	**–**	414
Asia Pacific		
Greater China	**169**	160
India	**745**	827
Latin America and Caribbean		
Mexico	**138**	185
Other cash-generating units	**322**	361
	2,436	2,949

Goodwill has arisen on the acquisition of businesses and includes synergies arising from cost savings, the opportunity to utilise Diageo's distribution network to leverage marketing of the acquired products and the extension of the group's portfolio of brands in new markets around the world.

(c) Other intangibles

Other intangibles principally comprise distribution rights. Diageo owns the global distribution rights for Ketel One vodka products in perpetuity, and the Directors believe that it is appropriate to treat these rights as having an indefinite life for accounting purposes. The net book value at 30 June 2026 was $1,800 million (2025 – $1,800 million).

(d) Impairment testing

Impairment tests are performed annually, or more frequently if events or circumstances indicate that the carrying amount may not be recoverable. Recoverable amounts are estimates based on the higher of value in use and fair value less costs of disposal. Value in use is determined using management estimates of forecast future cash flows, discount rates and long-term growth rates. Fair value less costs of disposal is determined using different assumptions, which may include quoted market prices, market capitalisations, valuation multiples for comparable companies applied to earnings, discounted cash flows, recent market transactions and other relevant market information. Individual brands, other intangibles with indefinite useful lives and the associated property, plant and equipment are aggregated as separate cash-generating units. Separate tests are carried out for each cash-generating unit and for each of the markets. Goodwill is attributed to each of the markets.

The key assumptions used for the value in use calculations are as follows:

Cash flows

Cash flows are forecasted for each cash-generating unit for the financial years based on management's approved plans and reflect the following assumptions:

- Cash flows are projected based on the actual operating results and a three years strategic plan approved by management. Cash flows are extrapolated up to five years using expected growth rates in line with management's best estimates. Growth rates reflect expectations of sales growth, operating costs and margin, based on past experience and external sources of information;
- The five years forecast period is extended by up to an additional ten years for some intangible assets and goodwill when management believes that this period is justified by the maturity of the market and expects to achieve growth in excess of the terminal growth rate driven by Diageo's sales, marketing and distribution expertise. These cash flows beyond the five years period are projected using steady or progressively declining growth rates;
- Cash flows for the subsequent years after the forecast period are extrapolated based on a terminal growth rate which does not exceed the long-term annual inflation rate of the country or region.

Discount rates

Discount rates are the weighted average cost of capital which reflect the returns on government bonds and an equity risk premium adjusted for the drinks industry specific to the cash-generating units. The group applies post-tax discount rates to post-tax cash flows as the valuation calculated using this method closely approximates to applying pre-tax discount rates to pre-tax cash flows.

For goodwill, these assumptions are based on the cash-generating unit or group of units to which the goodwill is attributed. For brands, they are based on a weighted average taking into account the country or countries where sales are made.

Financial statements *continued*

The pre-tax discount rates and terminal growth rates used for impairment testing are as follows:

	2026		2025	
	Pre-tax discount rate %	**Terminal growth rate %**	Pre-tax discount rate %	Terminal growth rate %
North America				
United States	**9**	**2**	10	2
Europe				
United Kingdom	**9**	**2**	11	3
Türkiye[1]	**39**	**11**	27	14
Asia Pacific				
India	**12**	**4**	13	4
Greater China	**9**	**2**	9	2
Latin America and Caribbean				
Mexico	**14**	**4**	13	3

(1) The post-tax discount rates applied for calculating the recoverable amount of Türkiye CGU varied by forecasted periods between 29% to 18%, primarily reflecting increases in market interest rates, country risk premiums and inflation expectations in the periods.

The key assumptions used in fair value less costs of disposal calculations are as follows:

Earnings multiple

The earnings multiple represents a market-based valuation multiple applied to the earnings of the CGU or brand. The multiple is determined with reference to observable multiples derived from comparable companies. In selecting the appropriate multiple, management consider the comparability of the underlying businesses and transactions, including their size, geographic exposure and operating characteristics.

Share price

For listed investments, the quoted share price in an active market is used to determine the recoverable value.

In the year ended 30 June 2026, an impairment charge of $786 million was recognised in exceptional operating items in respect of the Türkiye cash-generating unit that included the goodwill from the Mey İçki acquisition in the amount of $466 million, the Yenì Raki brand in the amount of $280 million and other brands. The charge is largely due to the impact of hyperinflationary accounting on carrying values combined with lower forecast growth assumptions as pricing is not expected to fully match inflation in the future. The recoverable amount was estimated based on fair value less costs of disposal. The impairment reduced the deferred tax liability by $187 million resulting in a net exceptional loss of $599 million. The recoverable amount is $689 million for Türkiye cash-generating unit.

In the year ended 30 June 2026, an impairment charge of $287 million in respect of the Don Papa brand was recognised in exceptional operating items. The charge is driven by the decline of the rum category in Europe which impacted the brand's long-term growth outlook. The recoverable amount was estimated based on value in use. The impairment reduced the deferred tax liability by $71 million resulting in a net exceptional loss of $216 million. The recoverable amount of the brand is $103 million.

In the year ended 30 June 2026, an impairment charge of $44 million in respect of the Aviation American Gin brand was recognised in exceptional operating items, driven by the softening category trends. The recoverable amount was estimated based on value in use. The impairment reduced the deferred tax liability by $10 million resulting in a net exceptional loss of $34 million. The recoverable amount is $nil.

In the year ended 30 June 2026, an impairment charge of $41 million in respect of Ypióca brand and related fixed assets was recognised in exceptional operating items. The charge is driven by the declining category trend and increasing competitive pressure. The recoverable amount was estimated based on value in use. The recoverable amount is $38 million.

In the year ended 30 June 2026, an impairment charge of $138 million in respect of various brands sold predominantly in the US was recognised in exceptional operating items, driven by the softening category and changes in consumer demand trends. The recoverable amount was estimated based on value in use. The impairment reduced the deferred tax liability by $36 million resulting in a net exceptional loss of $102 million. The recoverable amount is $46 million.

In the year ended 30 June 2025, an impairment charge of $231 million in respect of the Aviation American Gin brand and related tangible fixed assets was recognised in exceptional operating items based on its value in use. The impairment reduced the tax liability by $55 million.

In the year ended 30 June 2025, an impairment charge of $170 million in respect of various US brands, tangible fixed assets and inventory was recognised in exceptional operating items, based on their value in use. The brand impairment reduced the deferred tax liability by $40 million.

In the year ended 30 June 2025, an impairment charge of $51 million in respect of the Bell's whisky brand was recognised in exceptional operating items based on its value in use. The brand impairment reduced the deferred tax liability by $13 million.

(e) Sensitivity to change in key assumptions

Impairment testing for the year ended 30 June 2026 has identified the Greater China cash-generating unit and Yenì Raki brand as being sensitive to reasonably possible changes in assumptions. The tables below shows the headroom at 30 June 2026 and the impairment charge that would be required if the assumptions in the calculation of their value in use or in the fair value less costs of disposal were changed:

	Valuation method	Carrying value of CGU $ million	Headroom $ million	30% decrease in share price $ million
Greater China	FVLCD	1,831	552	(112)

	Valuation method	Carrying value of CGU $ million	Headroom $ million	2ppt increase in discount rate $ million	1ppt decrease in terminal growth rate $ million	10% decrease in cash flows $ million
Yenì Raki	Value in use	353	–	(65)	(30)	(35)

10. Property, plant and equipment

Accounting policies

Land and buildings are stated at cost less accumulated depreciation. Freehold land is not depreciated. Leaseholds are generally depreciated over the unexpired period of the lease. Other property, plant and equipment are depreciated on a straight-line basis to estimated residual values over their expected useful lives, and these values and lives are reviewed each year. Subject to these reviews, the estimated useful lives fall within the following ranges: buildings – 10 to 50 years; casks and containers within plant and equipment – 15 to 50 years; other plant and equipment – 5 to 40 years; fixtures and fittings – 5 to 10 years; and returnable bottles, kegs and crates – 5 to 30 years.

Reviews are carried out if there is an indication that assets may be impaired, to ensure that property, plant and equipment are not carried at above their recoverable amounts.

Government grants

Government grants are not recognised until there is reasonable assurance that the group will comply with the conditions pursuant to which they have been granted and that the grants will be received. Government grants in respect of property, plant and equipment are deducted from the asset that they relate to, reducing the depreciation expense charged to the income statement.

	Land and buildings $ million	Plant and equipment $ million	Fixtures and fittings $ million	Returnable bottles, kegs and crates $ million	Under construction $ million	Total $ million
Cost						
At 30 June 2024	3,617	7,158	177	514	1,563	13,029
Hyperinflation adjustment	33	38	1	6	4	82
Exchange differences	162	354	30	42	40	628
Acquisitions	–	–	–	–	1	1
Additions	160	388	19	38	977	1,582
Borrowing costs capitalised	16	22	–	–	56	94
Disposals	(93)	(222)	(16)	(43)	(36)	(410)
Transfers	367	415	11	(7)	(786)	–
Reclassification to assets held for sale	(40)	(211)	(1)	(76)	(8)	(336)
At 30 June 2025	**4,222**	**7,942**	**221**	**474**	**1,811**	**14,670**
Hyperinflation adjustment	**30**	**19**	**1**	**–**	**7**	**57**
Exchange differences	**(80)**	**(112)**	**(7)**	**(8)**	**13**	**(194)**
Additions	**306**	**396**	**9**	**28**	**372**	**1,111**
Borrowing costs capitalised	**–**	**–**	**–**	**–**	**45**	**45**
Disposals	**(19)**	**(48)**	**(10)**	**(10)**	**(9)**	**(96)**
Transfers	**572**	**619**	**11**	**22**	**(1,224)**	**–**
Reclassification to assets held for sale	**(221)**	**(827)**	**(21)**	**(184)**	**(20)**	**(1,273)**
At 30 June 2026	**4,810**	**7,989**	**204**	**322**	**995**	**14,320**
Accumulated depreciation						
At 30 June 2024	1,098	3,037	105	280	–	4,520
Exchange differences	90	119	19	23	–	251
Depreciation charge for the year	180	408	24	42	–	654
Exceptional accelerated depreciation and impairment	34	115	3	–	–	152
Disposals	(73)	(212)	(15)	(40)	–	(340)
Reclassification to assets held for sale	(8)	(59)	(1)	(27)	–	(95)
At 30 June 2025	**1,321**	**3,408**	**135**	**278**	**–**	**5,142**
Exchange differences	**(23)**	**(62)**	**(6)**	**(4)**	**–**	**(95)**
Depreciation charge for the year	**209**	**403**	**25**	**31**	**–**	**668**
Exceptional accelerated depreciation and impairment	**120**	**232**	**–**	**–**	**–**	**352**
Disposals	**(15)**	**(35)**	**(10)**	**(10)**	**–**	**(70)**
Reclassification to assets held for sale	**(94)**	**(463)**	**(19)**	**(97)**	**–**	**(673)**
At 30 June 2026	**1,518**	**3,483**	**125**	**198**	**–**	**5,324**
Carrying amount						
At 30 June 2026	**3,292**	**4,506**	**79**	**124**	**995**	**8,996**
At 30 June 2025	2,901	4,534	86	196	1,811	9,528
At 30 June 2024	2,519	4,121	72	234	1,563	8,509

The net book value of land and buildings comprises freeholds of $2,710 million (2025 – $2,340 million), long leaseholds of $1 million (2025 – $2 million) and short leaseholds of $581 million (2025 – $559 million). Depreciation was not charged on $228 million (2025 – $216 million) of land. Property, plant and equipment is net of a government grant of $185 million (2025 – $185 million) received in prior years in respect of the construction of a rum distillery in the US Virgin Islands.

Exceptional accelerated depreciation and impairment of $352 million (2025 – $152 million), primarily related to impairment charges associated with restructuring programmes, was charged to exceptional operating items. For further information see note 3.

Financial statements *continued*

11. Biological assets

Accounting policies

Biological assets held by the group consist of agave (Agave Azul Tequilana Weber) plants. The harvested plants are used during the production of tequila. The maturity cycle of agave ranges between six and eight years; based on this, biological assets are classified as mature and immature. Mature biological assets are measured at fair value less costs to sell on initial recognition and at the end of each reporting period based on the present value of future cash flows discounted at an appropriate rate for Mexico (income approach as per IFRS 13). Immature biological assets are plants that have not reached the point of maturity because their sugar content yield and weight is not enough to be harvested and there is no active market for such plants; consequently the company accounts for these assets by applying fair valuation using the cost approach (replacement cost).

Changes in biological assets were as follows:

	Biological assets $ million
Fair value	
At 30 June 2024	199
Exchange differences	(7)
Transferred to inventories	(69)
Fair value change	11
Farming cost capitalised	42
At 30 June 2025	**176**
Exchange differences	**15**
Transferred to inventories	**(7)**
Fair value change	**(43)**
Farming cost capitalised	**60**
At 30 June 2026	**201**

At 30 June 2026, the number of agave plants was approximately 29 million (2025 - 25 million), ranging from new plantations up to eight-year-old plants.

12. Leases

Accounting policies

Where the group is the lessee, all leases are recognised on the balance sheet as right-of-use assets as part of property, plant and equipment, and depreciated on a straight-line basis with the charge recognised in cost of sales or in other operating items depending on the nature of the costs. The liability, recognised as part of net borrowings, is measured at a discounted value and any interest is charged to finance charges.

The group recognises services associated with a lease as other operating items. Payments associated with leases where the value of the asset when it is new is lower than $5,000 (leases of low value assets) and leases with a lease term of 12 months or less (short-term leases) are recognised as other operating items. A judgement in calculating the lease liability at initial recognition includes determining the lease term where extension or termination options exist. In such instances, any economic incentive to retain or end a lease are considered and extension periods are only included when it is considered reasonably certain that an option to extend a lease will be exercised.

(a) Movement in right-of-use assets

The company principally leases warehouses, office buildings, plant and machinery, cars and distribution vehicles in the ordinary course of business.

	Land and buildings $ million	Plant and equipment $ million	Total $ million
At 30 June 2024	444	242	686
Exchange differences	12	11	23
Additions	73	83	156
Reclassification within property, plant and equipment	–	(79)	(79)
Reclassification to assets held for sale	(1)	(4)	(5)
Depreciation	(74)	(52)	(126)
At 30 June 2025	**454**	**201**	**655**
Exchange differences	**(3)**	**(7)**	**(10)**
Additions	**143**	**47**	**190**
Reclassification to assets held for sale	**(9)**	**(7)**	**(16)**
Depreciation	**(88)**	**(63)**	**(151)**
At 30 June 2026	**497**	**171**	**668**

(b) Lease liabilities

	2026 $ million	2025 $ million
Current lease liabilities	**(118)**	(112)
Non-current lease liabilities	**(567)**	(541)
	(685)	(653)

The future cash outflows, which are not included in lease liabilities on the balance sheet, in respect of extension and termination options which are not reasonably expected to be exercised are estimated at $201 million (2025 - $211 million).

(c) Amounts recognised in the consolidated income statement

In the year ended 30 June 2026, other external charges (within other operating items) included $38 million (2025 - $43 million) in respect of leases of low value assets and short-term leases and $24 million (2025 - $23 million) in respect of variable lease payments. See note 5 for further information relating to the interest expense on lease liabilities.

The total cash outflow for leases in the year ended 30 June 2026 was $222 million (2025 - $212 million).

13. Other investments

Accounting policies

Loans receivable are non-derivative financial assets that are not classified as equity investments. They are subsequently measured either at amortised cost using the effective interest method less allowance for impairment or at fair value with gains and losses arising from changes in fair value recognised in the income statement or in other comprehensive income that are recycled to the income statement on the de-recognition of the asset. Allowances for expected credit losses are made based on the risk of non-payment taking into account ageing, previous experience, economic conditions and forward-looking data. Such allowances are measured as either 12-months expected credit losses or lifetime expected credit losses depending on changes in the credit quality of the counterparty.

Other investments are equity investments that are not classified as investments in associates or joint arrangements nor investments in subsidiaries. They are included in non-current assets. Subsequent to initial measurement, other investments are stated at fair value. Gains and losses arising from the changes in fair value are recognised in the income statement or in other comprehensive income. Accumulated gains and losses included in other comprehensive income are not recycled to the income statement. Dividends from other investments are recognised in the consolidated income statement.

	Loans $ million	Other investments $ million	Total $ million
Cost less allowances or fair value			
At 30 June 2024	63	31	94
Exchange differences	1	2	3
Additions	11	6	17
Repayments and disposals	(6)	–	(6)
Capitalised interest	5	–	5
Impairment charged during the year	(63)	(9)	(72)
Provision movement	1	–	1
Transfer to associates/fair value adjustment	(1)	(2)	(3)
At 30 June 2025	**11**	**28**	**39**
Additions	**47**	**–**	**47**
Repayments and disposals	**(4)**	**–**	**(4)**
Impairment charged during the year	**(40)**	**–**	**(40)**
Transfer from associates/fair value adjustment	**1**	**(22)**	**(21)**
At 30 June 2026	**15**	**6**	**21**

At 30 June 2026, loans comprise $15 million (2025 – $11 million; 2024 – $6 million) of loans to customers and other third parties, after allowances of $136 million (2025 – $137 million; 2024 – $138 million), and $2 million (2025 – $nil; 2024 – $57 million) of loans to associates.

Following a strategic review in March 2025, Diageo decided it would no longer be bringing any new brands into the Distill Ventures programme and exit several businesses, resulting in an impairment charge of $72 million in exceptional operating expenses for the year ended 30 June 2025.

14. Post-employment benefits

Accounting policies

The group's principal post-employment funds are defined benefit plans. In addition, the group has defined contribution plans, unfunded post-employment medical benefit liabilities and other unfunded defined benefit post-employment liabilities. For post-employment plans other than defined contribution plans, the amount charged to operating profit is the cost of accruing pension benefits promised to employees over the year, administration costs (other than costs of managing plan assets), plus any changes arising on benefits granted to members by the group during the year. Net finance charges/income comprise the net deficit/surplus on the plans at the beginning of the year, adjusted for cash flows in the year, multiplied by the discount rate for plan liabilities. The differences between the fair value of the plans' assets and the present value of the plans' liabilities are disclosed as an asset or liability on the consolidated balance sheet. Any differences due to changes in assumptions or experience are recognised in other comprehensive income. The amount of any pension fund asset recognised on the balance sheet is limited to any future refunds from the plan or the present value of reductions in future contributions to the plan.

Contributions payable by the group in respect of defined contribution plans are charged to operating profit as incurred.

Critical accounting estimates and judgements

Application of IAS 19 requires the exercise of estimates and judgement in relation to various assumptions.

Diageo determines the assumptions on a country-by-country basis in conjunction with its actuaries. Estimates are required in respect of uncertain future events, including the life expectancy of members of the plans, salary and pension increases, future inflation rates, discount rates and employee and pensioner demographics. The application of different assumptions could have a significant effect on the amounts reflected in the income statement, other comprehensive income and the balance sheet. There may be interdependencies between the assumptions.

Where there is an accounting surplus on a defined benefit plan, management judgement is necessary to determine whether the group can obtain economic benefits through a refund of the surplus or by reducing future contributions to the plan.

(a) Post-employment benefit plans

The group operates a number of pension plans throughout the world, devised in accordance with local conditions and practices. Diageo's most significant plans are defined benefit plans and are funded by payments to separately administered trusts or insurance companies. The group also operates a number of plans that are generally unfunded, primarily in the United States, which provide to employees post-employment medical benefits.

The principal plans are in the United Kingdom, Ireland and the United States where benefits are based on employees' length of service and salary. All valuations were performed by independent actuaries using the projected unit credit method to determine pension costs.

Financial statements *continued*

The most recent funding valuations of the significant defined benefit plans were carried out as follows:

Principal plans	Date of valuation
United Kingdom[1]	1 April 2024
Ireland[2]	31 December 2024
United States	1 January 2025

(1) The Diageo Pension Scheme (DPS, the UK Scheme) closed to new members in November 2005. Employees who joined Diageo in the United Kingdom between November 2005 and January 2018, were eligible to become members of the Diageo Lifestyle Plan (a cash balance defined benefit plan) which was merged into the DPS in July 2023. Since January 2018, new employees have been eligible to become members of a master trust defined contribution plan.

(2) The Guinness Ireland Group Pension Scheme (GIGPS, the Irish Scheme) closed to new members in May 2013. Employees who have joined Diageo in Ireland since the defined benefit scheme closed have been eligible to become members of a master trust defined contribution plan.

The assets of the UK and Irish pension plans are held in separate trusts administered by trustees who are required to act in the best interests of the plans' beneficiaries. For DPS, the trustee is Diageo Pension Trust Limited. As required by legislation, one-third of the directors of the Trust are nominated by the members of the DPS, member nominated directors are appointed from both the pensioner member community and the active member community. For the Irish Scheme, Diageo Ireland makes three nominations and appoints three further candidates nominated by representative groupings.

The amounts charged to the consolidated income statement and statement of comprehensive income for the group's defined benefit plans for the three years ended 30 June 2026 are as follows:

	2026 $ million	2025 $ million	2024 $ million
Current service cost and administrative expenses	**(87)**	(88)	(82)
Past service (losses)/gains – ordinary activities	**(4)**	2	3
Past service losses – exceptional[1]	**(37)**	–	–
Charge to operating profit	**(128)**	(86)	(79)
Net finance income in respect of post-employment plans	**35**	35	37
Charge before taxation[2]	**(93)**	(51)	(42)
Actual returns less amounts included in finance income	**(136)**	(460)	(168)
Experience (losses)/gains	**(94)**	(139)	24
Changes in financial assumptions	**252**	495	20
Changes in demographic assumptions	**(87)**	92	43
Other comprehensive loss	**(65)**	(12)	(81)
Changes in the surplus restriction	**(3)**	(1)	5
Total other comprehensive loss	**(68)**	(13)	(76)

(1) Includes a one-off discretionary increase of $38 million in pension benefits to GIGPS pensioners.

(2) The (charge)/income before taxation is in respect of the following countries:

	2026 $ million	2025 $ million	2024 $ million
United Kingdom	**(6)**	2	5
Ireland	**(32)**	1	3
United States	**(37)**	(41)	(35)
Other	**(18)**	(13)	(15)
	(93)	(51)	(42)

In addition to the charge in respect of defined benefit post-employment plans, contributions to the group's defined contribution plans were $72 million (2025 – $70 million; 2024 – $62 million).

The movements in the plan assets and liabilities for the two years ended 30 June 2026 are set out below:

	Plan assets $ million	**Plan liabilities $ million**	**Net surplus $ million**
At 30 June 2024	8,417	(7,696)	721
Exchange differences	633	(608)	25
Disposal of businesses	–	3	3
Reclassification to liabilities held for sale	–	7	7
Income/(charge) before taxation	381	(432)	(51)
Other comprehensive (loss)/income[1]	(460)	448	(12)
Contributions by the group	64	–	64
Employee contributions	2	(2)	–
Benefits paid	(504)	504	–
At 30 June 2025	**8,533**	**(7,776)**	**757**
Exchange differences	**(262)**	**233**	**(29)**
Income/(charge) before taxation	**390**	**(483)**	**(93)**
Other comprehensive (loss)/income[1]	**(136)**	**71**	**(65)**
Contributions by the group	**57**	**–**	**57**
Employee contributions	**2**	**(2)**	**–**
Benefits paid	**(527)**	**527**	**–**
At 30 June 2026	**8,057**	**(7,430)**	**627**

(1) Excludes surplus restriction.

The plan assets and liabilities by type of post-employment benefit and country are as follows:

	2026		2025	
	Plan assets $ million	**Plan liabilities $ million**	Plan assets $ million	Plan liabilities $ million
Pensions				
United Kingdom	**5,271**	**(4,800)**	5,640	(5,083)
Ireland	**1,938**	**(1,533)**	2,057	(1,599)
United States	**623**	**(590)**	595	(562)
Other	**203**	**(210)**	215	(230)
Post-employment medical	**2**	**(257)**	3	(266)
Other post-employment	**20**	**(40)**	23	(36)
	8,057	**(7,430)**	8,533	(7,776)

The balance sheet analysis of the post-employment plans is as follows:

	2026		2025	
	Non-current assets[1] $ million	**Non-current liabilities $ million**	Non-current assets[1] $ million	Non-current liabilities $ million
Funded plans	**1,006**	**(141)**	1,161	(146)
Unfunded plans	**–**	**(246)**	–	(263)
	1,006	**(387)**	1,161	(409)

(1) Includes surplus restriction of $8 million (2025 – $5 million).

The disclosures have been prepared in accordance with IFRIC 14 IAS 19. In particular, where the calculation for a plan results in a surplus, the recognised asset is limited to the present value of any available future refunds from the plan or reductions in future contributions to the plan, and any additional liabilities are recognised as required. At 30 June 2026, the DPS had a net surplus of $517 million (2025 – $608 million; 2024 – $689 million) and the GIGPS had a net surplus of $366 million (2025 – $417 million; 2024 – $332 million) and other schemes in a surplus totalled $123 million (2025 – $136 million; 2024 – $125 million). The DPS and GIGPS surpluses have been recognised with no provision made against them as they are expected to be recoverable through a combination of a reduction in future cash contributions or ultimately via a cash refund when the last member's obligations have been met.

(b) Principal risks and assumptions

The material post-employment plans are not exposed to any unusual, entity-specific or scheme-specific risks but there are general risks:

Inflation – The majority of the plans' obligations are linked to inflation. Higher inflation will lead to increased liabilities which is partially offset by the plans holding inflation linked gilts, swaps and caps against the level of inflationary increases.

Interest rate – The plan liabilities are determined using discount rates derived from yields on AA-rated corporate bonds. A decrease in corporate bond yields will increase plan liabilities though this will be partially offset by an increase in the value of the bonds held by the post-employment plans.

Mortality – The majority of the obligations are to provide benefits for the life of the members and their partners, so any increase in life expectancy will result in an increase in the plans' liabilities.

Asset returns – Assets held by the pension plans are invested in a diversified portfolio including equities, bonds and other assets. Volatility in asset values will lead to movements in the net deficit/surplus reported in the consolidated balance sheet for post-employment plans which in addition will also impact the post-employment expense in the consolidated income statement.

The following weighted average assumptions were used to determine the group's deficit/surplus in the main post-employment plans at 30 June in the relevant year. The assumptions used to calculate the charge/credit in the consolidated income statement for the year ending 30 June are based on the assumptions disclosed as at the previous 30 June.

	United Kingdom			Ireland			United States[1]		
	2026 %	2025 %	2024 %	**2026 %**	2025 %	2024 %	**2026 %**	2025 %	2024 %
Rate of general increase in salaries[2]	**3.4**	3.3	3.6	**3.5**	3.4	3.7	**–**	–	–
Rate of increase to pensions in payment	**2.6**	2.5	2.8	**2.0**	2.0	2.2	**–**	–	–
Rate of increase to deferred pensions	**2.4**	2.3	2.6	**2.0**	2.0	2.2	**–**	–	–
Discount rate for plan liabilities	**6.0**	5.6	5.1	**4.1**	3.8	3.6	**5.4**	5.2	5.3
Inflation – CPI	**2.4**	2.3	2.6	**2.1**	2.0	2.3	**2.3**	2.3	2.3
Inflation – RPI	**2.9**	2.8	3.1	**–**	–	–	**–**	–	–

(1) The salary increase assumption in the United States is not a significant assumption as only a minimal amount of members' pension entitlement is dependent on the member's projected final salary.
(2) The salary increase assumptions include an allowance for age-related promotional salary increases.

For the principal UK and Irish pension funds, the table below illustrates the expected age at death of an average worker who retires currently at the age of 65, and one who is currently aged 45 and subsequently retires at the age of 65:

	United Kingdom[1]			Ireland[2]			United States		
	2026 Age	2025 Age	2024 Age	**2026 Age**	2025 Age	2024 Age	**2026 Age**	2025 Age	2024 Age
Retiring currently at age 65									
Male	**87.2**	86.7	86.8	**87.4**	86.9	87.2	**85.9**	85.8	85.7
Female	**88.6**	88.3	88.4	**89.9**	89.6	89.7	**87.5**	87.5	87.4
Currently aged 45, retiring at age 65									
Male	**88.0**	87.5	88.1	**88.7**	88.2	88.8	**87.4**	87.3	87.2
Female	**90.3**	90.0	90.5	**91.3**	91.0	91.4	**89.0**	88.9	88.9

(1) Based on the CMI's S4 mortality tables with scaling factors based on the experience of the plan and where people live, with suitable future improvements.
(2) Based on the CMI's S4 mortality tables with scaling factors based on the experience of the plan, with suitable future improvements.

For the significant assumptions, the following sensitivity analysis estimates the potential impacts on the consolidated income statement for the year ending 30 June 2027 and on the plan liabilities at 30 June 2026:

	United Kingdom			Ireland			United States		
Benefit/(cost)	Operating profit $ million	Profit after taxation $ million	**Plan liabilities[1] $ million**	Operating profit $ million	Profit after taxation $ million	**Plan liabilities[1] $ million**	Operating profit $ million	Profit after taxation $ million	**Plan liabilities[1] $ million**
Effect of 0.5% increase in discount rate	2	14	**229**	1	6	**85**	2	2	**27**
Effect of 0.5% decrease in discount rate	(2)	(13)	**(250)**	(1)	(5)	**(94)**	(2)	(2)	**(30)**
Effect of 0.5% increase in inflation	(2)	(8)	**(157)**	–	(2)	**(36)**	–	(1)	**(9)**
Effect of 0.5% decrease in inflation	1	7	**148**	–	2	**36**	–	1	**9**
Effect of one year increase in life expectancy	–	(6)	**(129)**	–	(3)	**(60)**	–	(1)	**(17)**

(1) The estimated effect on the liabilities excludes the impact of any interest rate and inflation swaps held by the pension plans.

(i) The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions and may not be representative of the actual change. Each sensitivity is calculated on a change in the key assumption while holding all other assumptions constant. The sensitivity to inflation includes the impact on all inflation-linked assumptions (e.g. pension increases and salary increases where appropriate).

Financial statements *continued*

(c) Investment and hedging strategy

The investment strategy for the group's funded post-employment plans is determined locally by the trustees of the plan and/or Diageo, as appropriate, and it takes account of the relevant statutory requirements. The objective of the investment strategy is to achieve a target rate of return in excess of the movement on the liabilities, whilst taking an acceptable level of investment risk relative to the liabilities. This objective is implemented by using the funds of the plans to invest in a variety of asset classes that are expected over the long-term to deliver a target rate of return. The majority of the investment strategies have significant amounts allocated to bonds in order to provide protection against adverse movements in the liabilities of the plans. This includes corporate bonds and bonds held under sale and repurchase agreements (repos) whereby the bond is provided as security for bank funding to enable the acquisition of additional bonds to increase the level of protection provided. Repos are fully collateralised short-term agreements (typically up to 12 months in duration) and are a well-recognised investment practice as part of a risk management programme against interest rate or inflation risks. Under the UK Scheme, a significant amount of the repos are less than three months in duration. At 30 June 2026, approximately 97% and 100% (2025 – 96% and 100%) of the UK Scheme's liabilities measured on the Trustee's funding basis (gilts+50bps) were protected against future adverse movements in inflation and interest rates respectively through the combined effect of bonds and swaps. At 30 June 2026, approximately 93% and 75% (2025 – 93% and 109%) of the Irish plans' liabilities measured on the Trustee's funding basis (euro-swaps+50bps) were protected against future adverse movements in interest rates and inflation respectively through the combined effect of bonds and swaps.

The discount rates used are based on the yields of high-quality fixed income investments. For the UK plans, which represent approximately 65% of total plan liabilities, the discount rate is determined by reference to the yield curves of AA-rated corporate bonds for which the timing and amount of cash outflows are similar to those of the plans. A similar process is used to determine the discount rates used for the non-UK plans.

An analysis of the fair value of the plan assets is as follows:

	2026								
	United Kingdom $ million		Ireland $ million		United States and other $ million		Total $ million		
	Quoted	Unquoted	Quoted	Unquoted	Quoted	Unquoted	Quoted	Unquoted	Total
Equities[1]	–	750	–	292	67	140	67	1,182	1,249
Bonds									
Fixed-interest government	308	–	16	105	56	68	380	173	553
Inflation-linked government	983	505	1	9	–	1	984	515	1,499
Investment grade corporate	–	1,196	–	641	30	440	30	2,277	2,307
Non-investment grade	27	707	2	360	1	–	30	1,067	1,097
Loan securities	3	226	–	82	–	–	3	308	311
Liability Driven Investment (LDI)	–	–	–	134	–	–	–	134	134
Property	6	429	–	58	–	–	6	487	493
Hedge funds	–	–	–	–	–	4	–	4	4
Interest rate and inflation swaps	–	(150)	11	81	–	–	11	(69)	(58)
Cash, short-term and other investments	91	190	36	110	–	41	127	341	468
Total bid value of assets	1,418	3,853	66	1,872	154	694	1,638	6,419	8,057

	2025								
	United Kingdom $ million		Ireland $ million		United States and other $ million		Total $ million		
	Quoted	Unquoted	Quoted	Unquoted	Quoted	Unquoted	Quoted	Unquoted	Total
Equities[1]	–	961	–	366	89	137	89	1,464	1,553
Bonds									
Fixed-interest government	224	22	–	80	56	8	280	110	390
Inflation-linked government	1,447	618	–	117	–	1	1,447	736	2,183
Investment grade corporate	–	846	–	667	19	427	19	1,940	1,959
Non-investment grade	5	640	2	375	–	49	7	1,064	1,071
Loan securities	18	315	–	116	–	–	18	431	449
Liability Driven Investment (LDI)	–	–	–	130	–	–	–	130	130
Property	–	595	–	58	–	–	–	653	653
Hedge funds	–	–	–	–	–	10	–	10	10
Interest rate and inflation swaps	1	(264)	11	20	–	–	12	(244)	(232)
Cash, short-term and other investments	49	163	18	97	–	40	67	300	367
Total bid value of assets	1,744	3,896	31	2,026	164	672	1,939	6,594	8,533

(1) Equities include limited partnerships that invest primarily in loan securities.

(i) The asset classes include some cash holdings that are temporary. This cash is likely to be invested imminently and so has been included in the asset class where it is anticipated to be invested in the long-term.

(ii) For the year ended 30 June 2026, the analyses of asset categories above include $1,590 million (2025 - $1,431 million) in the United Kingdom, $1,102 million (2025 - $1,147 million) in Ireland and $625 million (2025 - $598 million) in the United States held in unquoted pooled investment vehicles.

Total cash contributions by the group to all post-employment plans in the year ending 30 June 2027 are estimated to be approximately $59 million.

(d) Deficit funding arrangements

UK plans

In the year ended 30 June 2011, the group established a Pension Funding Partnership (PFP) in respect of the UK Scheme. Whisky inventory was transferred into the partnership but the group retains control over the partnership which at 30 June 2026 held inventory with a book value of $739 million (2025 – $926 million). The partnership is fully consolidated in the group financial statements. The UK Scheme has a limited interest in the partnership and, as a partner, is entitled to a distribution from the profits of the partnership. The arrangement is expected to cease in 2030, and contributions to the UK scheme in any year will be dependent on the funding position of the UK scheme at the previous 31 March. Given the surplus funding position in the DPS, there were no contributions to the DPS in the years ended 30 June 2026 and 30 June 2025.

In 2030, the group will be required, dependent upon the funding position of the UK Scheme at that time, to pay an amount not greater than the actuarial deficit at that time, up to a maximum of £430 million ($569 million) in cash, to purchase the UK Scheme's interest in the partnership. If the UK Scheme is in surplus at an actuarial triennial valuation excluding the value of the PFP, then the group can exit the PFP with the agreement of the Trustee.

Irish plans

The triennial actuarial valuation as at 31 December 2024 showed that the Scheme is fully funded on the Trustee's ongoing funding basis and the statutory minimum funding standard basis. Given the fully funded position, no deficit contributions were payable in the years ended 30 June 2026 and 30 June 2025. The company has agreed with the Trustee on conditional contributions if there is a deficit in the Scheme on either of the next two valuation dates. These conditional contributions shall be payable over the three years following the valuation and the aggregate payment will be equal to the ongoing deficit disclosed, subject to the caps set out below:

	Valuation date			
	31 December 2027		31 December 2030	
	€ million	$ million	€ million	$ million
Maximum conditional contribution	39	44	39	44

(e) Timing of benefit payments

The following table provides information on the timing of the benefit payments and the average duration of the defined benefit obligations and the distribution of the timing of benefit payments:

	United Kingdom		Ireland		United States	
	2026 $ million	2025 $ million	**2026 $ million**	2025 $ million	**2026 $ million**	2025 $ million
Maturity analysis of benefits expected to be paid						
Within one year	**356**	375	**107**	100	**71**	68
Between 1 to 5 years	**1,410**	1,430	**510**	478	**226**	215
Between 6 to 15 years	**3,416**	3,472	**910**	912	**500**	476
Between 16 to 25 years	**2,920**	2,986	**691**	745	**337**	315
Beyond 25 years	**2,498**	2,694	**672**	743	**265**	245
Total	**10,600**	10,957	**2,890**	2,978	**1,399**	1,319
	years	years	**years**	years	**years**	years
Average duration of the defined benefit obligation	**11**	12	**12**	13	**9**	9

The projected benefit payments are based on the assumptions underlying the assessment of the obligations, including inflation. They are disclosed undiscounted and therefore appear large relative to the discounted value of the plan liabilities recognised on the consolidated balance sheet. They are in respect of benefits that have accrued at the balance sheet date and make no allowance for any benefits to be accrued subsequently.

(f) Related party disclosures

Information on transactions between the group and its pension plans is given in note 21.

Financial statements *continued*

15. Working capital

Accounting policies

Inventories are stated at the lower of cost and net realisable value. Cost includes raw materials, direct labour and expenses, an appropriate proportion of production and other overheads, but not borrowing costs. Cost is calculated at the weighted average cost incurred in acquiring inventories. All maturing inventories and raw materials are classified as current assets, as they are expected to be realised in the normal operating cycle which can be a period of several years.

Trade and other receivables are initially recognised at fair value less transaction costs and subsequently carried at amortised cost less any allowance for discounts and doubtful debts. Trade receivables arise from contracts with customers, and are recognised when performance obligations are satisfied, and the consideration due is unconditional as only the passage of time is required before the payment is received. Allowance losses are calculated by reviewing lifetime expected credit losses using historic and forward-looking data on credit risk.

Trade and other payables are initially recognised at fair value including transaction costs and subsequently carried at amortised costs. Contingent considerations recognised in business combinations are subsequently measured at fair value through income statement. The group evaluates supplier arrangements against a number of indicators to assess if the liability has the characteristics of a trade payable or should be classified as borrowings. This assessment considers the commercial purpose of the facility, whether payment terms are similar to customary payment terms, whether the group is legally discharged from its obligation towards suppliers before the end of the original payment term, and the group's involvement in agreeing terms between banks and suppliers.

Provisions are liabilities of uncertain timing or amount. A provision is recognised if, as a result of a past event, the group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are calculated on a discounted basis. The carrying amounts of provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimate.

(a) Inventories

	2026 $ million	2025 $ million
Raw materials and consumables	**528**	604
Work in progress	**116**	131
Maturing inventories	**8,510**	8,677
Finished goods and goods for resale	**1,375**	1,246
	10,529	10,658

Maturing inventories include whisk(e)y, rum, tequila and Chinese white spirits. The following amounts of inventories can be utilised only after more than one year:

	2026 $ million	2025 $ million
Raw materials and consumables	**34**	50
Maturing inventories	**6,935**	6,942
	6,969	6,992

Inventories are disclosed net of provisions for obsolescence, an analysis of which is as follows:

	2026 $ million	2025 $ million	2024 $ million
Balance at beginning of the year	**180**	124	128
Exchange differences	**(4)**	(6)	(3)
Income statement charge[1]	**145**	89	51
Utilised	**(27)**	(27)	(47)
Sale of businesses	**–**	–	(5)
Balance at the end of the year	**294**	180	124

(1) The increase in the income statement charge for the year ended 30 June 2026 is primarily driven by a provision recognised in respect of maturing inventory in North America.

(b) Trade and other receivables

	2026		2025	
	Current assets $ million	Non-current assets $ million	Current assets $ million	Non-current assets $ million
Trade receivables	**2,596**	**–**	2,789	–
Interest receivable	**19**	**–**	19	–
VAT recoverable and other prepaid taxes	**217**	**26**	242	17
Other receivables	**258**	**38**	283	18
Prepayments	**160**	**–**	133	3
Accrued income	**27**	**–**	38	–
	3,277	**64**	3,504	38

At 30 June 2026, approximately 18%, 14% and 15% of the group's trade receivables of $2,596 million are due from counterparties based in the United States, India and the United Kingdom, respectively. Accrued income primarily represents amounts receivable from customers in respect of performance obligations satisfied but not yet invoiced.

The aged analysis of trade receivables, net of expected credit loss allowance, is as follows:

	2026 $ million	2025 $ million
Not overdue	**2,438**	2,633
Overdue 1 - 30 days	**29**	41
Overdue 31 - 60 days	**23**	10
Overdue 61 - 90 days	**18**	10
Overdue 91 - 180 days	**41**	7
Overdue more than 180 days	**47**	88
	2,596	2,789

Balances overdue more than 180 days on 30 June 2026 are primarily due from institutional customers in certain countries with low credit risk.

Trade and other receivables are disclosed net of expected credit loss allowance for doubtful debts, an analysis of which is as follows:

	2026 $ million	2025 $ million	2024 $ million
Balance at beginning of the year	**99**	95	112
Exchange differences	**(10)**	1	(3)
Reclassification to assets held for sale	**(22)**	–	–
Income statement charge	**6**	27	8
Utilised	**(5)**	(24)	(22)
Balance at the end of the year	**68**	99	95

(c) Trade and other payables

	2026		2025	
	Current liabilities $ million	**Non-current liabilities $ million**	Current liabilities $ million	Non-current liabilities $ million
Trade payables	**2,827**	**–**	3,123	–
Interest payable	**434**	**–**	415	–
Tax and social security excluding income tax	**732**	**–**	690	–
Other payables	**519**	**150**	705	192
Accruals	**1,777**	**–**	1,852	–
Deferred income	**67**	**–**	82	–
Dividend payable	**60**	**–**	61	–
Dividend payable to non-controlling interests	**9**	**–**	24	–
	6,425	**150**	6,952	192

Interest payable at 30 June 2026 includes interest on non-derivative financial instruments of $409 million (2025 - $352 million). Accruals at 30 June 2026 include $823 million (2025 - $839 million) accrued discounts attributed to sales recognised. Deferred income represents amounts paid by customers in respect of performance obligations not yet satisfied. The amount of contract liabilities recognised as revenue in the current year is $82 million (2025 - $84 million). Non-current liabilities include the net present value of contingent consideration in respect of prior acquisitions of $27 million (2025 - $107 million).

Together with the group's partner banks, supply chain financing (SCF) facilities are provided to suppliers in certain countries. These arrangements enable suppliers to receive funding earlier than the invoice due date at their discretion and at their own cost. Payment terms continue to be agreed directly between the group and suppliers, independently from the availability of SCF facilities. Liabilities are settled in accordance with the original due date of invoices. The group does not incur any fees or receive any rebates where the suppliers choose to utilise these facilities. The group has determined that it is appropriate to present amounts outstanding subject to SCF arrangements as trade payables. Consistent with this classification, cash flows are presented either as operating cash flows or cash flows from investing activities, when related to the acquisition of non-current assets.

	2026	2025
	Current liabilities $ million	Current liabilities $ million
Carrying amount that has been subject to SCF and presented in trade and other payables	**1,092**	1,006
– of which suppliers have received payment from finance provider	**784**	644

Range of payment due dates were as follows:

	2026		2025	
	Minimum Days after invoice date[1]	**Maximum Days after invoice date[1]**	Minimum Days after invoice date[1]	Maximum Days after invoice date[1]
Trade and other payables subject to SCF arrangements	**0**	**150**	0	150
Comparable trade and other payables that are not part of the arrangements[2]	**0**	**180**	0	150

(1) Suppliers are subject to various payment due dates depending on the jurisdiction and standard practices. The group's payment terms commence from the invoice date. However, for certain categories of external suppliers and in alignment with industry standards, payment terms begin from the date a valid invoice is received. In Greater China, the range of payment due dates are between 0-240 days, which is in line with local market practice.

(2) Comparable trade payables are payables outside of SCFs that fall within the same jurisdiction or business line as payables that form part of SCFs.

Financial statements *continued*

(d) Provisions

	Restructuring $ million	Thalidomide $ million	Other $ million	Total $ million
At 30 June 2024	–	201	196	397
Exchange differences	–	2	(1)	1
Income statement charge	55	15	114	184
Utilised	–	(19)	(36)	(55)
Transfers from other payables	–	–	1	1
Unwinding of discounts	–	6	5	11
At 30 June 2025	55	205	279	539
Exchange differences	**(3)**	**1**	**(5)**	**(7)**
Income statement charge/(credit)	**478**	**(7)**	**52**	**523**
Utilised	**(38)**	**(20)**	**(77)**	**(135)**
Transfers from other payables	**–**	**–**	**6**	**6**
Unwinding of discounts	**–**	**7**	**3**	**10**
At 30 June 2026	**492**	**186**	**258**	**936**
Current liabilities	**484**	**20**	**121**	**625**
Non-current liabilities	**8**	**166**	**137**	**311**
	492	**186**	**258**	**936**

Provisions have been established in respect of the discounted value of the group's commitment to the UK and Australian Thalidomide Trusts. These provisions will be utilised over the period of the commitments up to 2037. Income statement charges are primarily driven by the translation of foreign currency liability.

The largest item in other provisions at 30 June 2026 is $56 million (2025 - $53 million) in respect of deferred employee compensation plans which will be utilised when employees leave the group.

Risk management and capital structure

Introduction

This section sets out the policies and procedures applied to manage the group's capital structure and the financial risks the group is exposed to. Diageo considers the following components of its balance sheet to be capital: borrowings and equity. Diageo manages its capital structure to achieve capital efficiency, provide flexibility to invest through the economic cycle and give efficient access to debt markets at attractive cost levels.

16. Financial instruments and risk management

Accounting policies

Financial assets and liabilities are initially recorded at fair value including, where permitted by IFRS 9, any directly attributable transaction costs. For those financial assets that are not subsequently held at fair value, the group assesses whether there is evidence of impairment at each balance sheet date.

The group classifies its financial assets and liabilities into the following categories: financial assets and liabilities at amortised cost, financial assets and liabilities at fair value through profit and loss and financial assets at fair value through other comprehensive income.

The accounting policies for other investments and loans are described in note 13, for trade and other receivables and payables in note 15 and for cash and cash equivalents in note 17.

Financial assets and liabilities at fair value through profit and loss include derivative assets and liabilities. Where financial assets or liabilities are eligible to be carried at either amortised cost or fair value through other comprehensive income, the group does not apply the fair value option.

Derivative financial instruments are carried at fair value using a discounted cash flow model based on market data applied consistently for similar types of instruments. Gains and losses on derivatives that do not qualify for hedge accounting treatment are taken to the income statement as they arise.

Other financial liabilities are carried at amortised cost unless they are part of a fair value hedge relationship when the amortised cost of the financial liabilities is adjusted with the fair value change attributable to the risk being hedged from the inception of the hedge relationship. The difference between the initial carrying amount of the financial liabilities and their redemption value is recognised in the income statement over the contractual terms using the effective interest rate method.

Hedge accounting

The group designates and documents certain derivatives as hedging instruments against changes in fair value of recognised assets and liabilities (fair value hedges), commodity price risk of highly probable forecast transactions, as well as the cash flow risk from changes in exchange or interest rates (cash flow hedges) and hedges of net investments in foreign operations (net investment hedges). Derivative instruments designated in hedge relationship are included in other financial assets and liabilities on the consolidated balance sheet. The effectiveness of such hedges is assessed at inception and at least on a quarterly basis, using prospective testing. Methods used for testing effectiveness include critical terms, regression analysis and hypothetical derivative models.

Fair value hedges are used to manage the currency and/or interest rate risks to which the fair value of certain assets and liabilities is exposed. Changes in the fair value of the derivatives are recognised in the income statement, along with any changes in the relevant fair value of the underlying hedged asset or liability. If such a hedge relationship no longer meets hedge accounting criteria, fair value movements on the derivative continue to be taken to the income statement while any fair value adjustments made to the underlying hedged item to that date are amortised through the income statement over its remaining life using the effective interest rate method.

Cash flow hedges are used to hedge the foreign currency risk of highly probable future foreign currency cash flows, the commodity price risk of highly probable future transactions, as well as the cash flow risk from changes in exchange or interest rates. The effective portion of the gain or loss on the hedges is recognised in other comprehensive income, while any ineffective part is recognised in the income statement. Amounts recorded in other comprehensive income are recycled to the income statement in the same period in which the underlying foreign currency, commodity or interest exposure affects the income statement. When a hedge relationship no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in equity is either transferred to the income statement or amortised over its remaining life using the effective interest rate method.

Net investment hedges utilise either foreign currency borrowings or derivatives as hedging instruments. Foreign exchange differences arising on translation of net investments are recorded in other comprehensive income and included in the exchange reserve. Liabilities used as hedging instruments are revalued at closing exchange rates and the resulting gains or losses are also recognised in other comprehensive income to the extent that they are effective, with any ineffectiveness taken to the income statement. Foreign currency derivative contracts hedging net investments are carried at fair value. Effective fair value movements are recognised in other comprehensive income, with any ineffectiveness taken to the income statement. Cost of hedging model is applied in case of cross-currency interest rate swaps, forwards and options in net investment hedges. The fair value changes attributable to the spot component of the hedging instruments are designated to offset foreign exchange differences of net investments and therefore taken to net investment hedge reserve. The fair value changes attributable to the forward component of the hedging instruments (including currency basis) are taken to the cost of hedging reserve and amortised to the consolidated income statement.

Financial statements *continued*

The group uses a range of financial instruments to manage the group's funding, liquidity and exposure to foreign currency, interest rate and commodity price risk in line with Board-approved hedging policies and guidelines. Initially, all transactions in derivative financial instruments are undertaken to manage the risks arising from underlying business activities. The group purchases insurance for commercial or, where required, for legal or contractual reasons. In addition, the group retains insurable risk where external insurance is not considered an economic means of mitigating these risks.

(a) Currency risk

The group presents its consolidated financial statements in US dollar and conducts business in many currencies. As a result, it is subject to foreign currency risk due to exchange rate movements, which affects the group's transactions and the translation of the results and underlying net assets of its operations. To manage the currency risk, the group uses certain financial instruments. Where hedge accounting is applied, hedges are documented and tested for effectiveness on an ongoing basis.

Hedge of net investment in foreign operations

The group hedges a certain portion of its exposure to fluctuations in the US dollar value of its foreign operations by designating borrowings held in foreign currencies and using foreign currency forwards, swaps and other financial derivatives.

At 30 June 2026, foreign currency borrowings (euro, sterling) and financial derivatives (Chinese yuan, Canadian dollar, Indian rupee) were designated in net investment hedge relationships.

Hedge of foreign currency debt

The group uses cross currency interest rate swaps and foreign currency forwards to hedge the foreign currency risk associated with certain foreign currency denominated borrowings.

Transaction exposure hedging

The group hedges transactional foreign currency risk on major currency exposures up to 36 months and on other currency exposures up to 18 months. The group's exposure to foreign currency risk arising principally on forecasted sales transactions is managed using forward agreements and options.

(b) Interest rate risk

The group has an exposure to interest rate risk, arising principally on changes in US dollar, euro and sterling interest rates. To manage interest rate risk, the group manages its proportion of fixed to floating rate borrowings within limits approved by the Board, primarily through issuing fixed and floating rate borrowings, and by utilising interest rate swaps. These practices aim to minimise the group's net finance charges with acceptable year-on-year volatility. The majority of the group's existing interest rate derivatives are designated as fair value hedge and are expected to be effective. Fair value of these derivatives is recognised in the income statement, along with any changes in the relevant fair value of the underlying hedged asset or liability.

The interest rate profile of the group's net borrowings is as follows:

	2026	2025
	$ million	$ million
Fixed rate	**18,547**	19,051
Floating rate[1]	**1,368**	2,289
Impact of financial derivatives and fair value adjustments	**(118)**	(139)
Lease liabilities	**685**	653
Net borrowings	**20,482**	21,854

(1) The floating rate portion of net borrowings includes cash and cash equivalents, floating rate loans and bonds, and bank overdrafts.

The table below sets out the average monthly net borrowings and effective interest rate:

Average monthly net borrowings			Effective interest rate		
2026 $ million	2025 $ million	2024 $ million	**2026 %**	2025 %	2024 %
21,684	21,540	21,034	**3.9**	4.1	4.3

(i) For this calculation, net interest charge includes interest capitalised and excludes fair value adjustments to derivative financial instruments and average monthly net borrowings include the impact of interest rate swaps that are no longer in a hedge relationship but exclude the market value adjustment for cross currency interest rate swaps.

(c) Commodity price risk

Commodity price risk is managed in line with the principles approved by the Board either through long-term purchase contracts with suppliers or, where appropriate, derivative contracts. Where derivative contracts are used, the commodity price risk exposure is hedged up to 36 months of forecast volume through exchange-traded and over-the-counter contracts (futures, forwards and swaps) and cash flow hedge accounting is applied.

(d) Market risk sensitivity analysis

The sensitivity analysis estimates the impact of changes in interest and foreign exchange rates. All hedges are expected to be highly effective for this analysis and it considers the impact of all financial instruments. The sensitivity analysis excludes the impact of market risk on the net post-employment benefit assets and liabilities, and corporate tax payable. The results of the sensitivity analysis should not be considered as projections of likely future events as actual gains or losses in the future may differ materially due to fluctuations in interest and exchange rates to vary from the hypothetical amounts disclosed in the table below.

	Impact on income statement gain/(loss)		Impact on consolidated comprehensive income gain/(loss)[1]	
	2026 $ million	2025 $ million	**2026 $ million**	2025 $ million
0.5% decrease in interest rates	**24**	30	**28**	38
0.5% increase in interest rates	**(23)**	(29)	**(27)**	(37)
10% weakening of US dollar	**(33)**	(46)	**(491)**	(1,049)
10% strengthening of US dollar	26	37	411	867

(1) The impact on the consolidated statement of comprehensive income includes the impact on the income statement.

(e) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the group. Credit risk arises on cash balances (including bank deposits and cash and cash equivalents), derivative financial instruments and credit exposures to customers, including outstanding loans, trade and other receivables, financial guarantees and committed transactions.

The carrying amount of financial assets of $5,505 million (2025 – $6,543 million) represents the group's exposure to credit risk at the balance sheet date as disclosed in section (i), excluding the impact of any collateral held or other credit enhancements. A financial asset is in default when the counterparty fails to pay its contractual obligations. Financial assets are written off when there is no reasonable expectation of recovery.

Credit risk is managed separately for financial and business related credit exposures.

According to the enforceable master netting agreements with counterparties, in the event of default, derivative financial instruments with the same counterparty can be settled net. The table below shows the group's financial assets and liabilities that could be subject to offset in the balance sheet and the impact of a trigger for the enforcement of the master netting agreement after applying any existing collaterals.

	Gross amount $ million	Right of asset offset $ million	Right of liability offset $ million	Net amount $ million
2026				
Derivative financial assets	**656**	**(210)**	**(67)**	**379**
Derivative financial liabilities	**(342)**	**210**	**67**	**(65)**
2025				
Derivative financial assets	733	(147)	(72)	514
Derivative financial liabilities	(275)	147	72	(56)

Financial credit risk

Diageo aims to minimise its financial credit risk through the application of risk management policies approved and monitored by the Board. Counterparties are predominantly limited to investment-grade banks and financial institutions, and the policy restricts the exposure to any one counterparty by setting credit limits taking into account the credit quality of the counterparty. The credit risk arising through the use of financial instruments for currency, interest rate and commodity price risk management is estimated with reference to the fair value of contracts.

Diageo annually reviews the credit limits applied and regularly monitors the counterparties' credit quality reflecting market credit conditions.

Business related credit risk

Exposures from loans, trade and other receivables are managed locally in the operating units where they arise and active risk management is applied, focusing on country risk, credit limits, ongoing credit evaluation and monitoring procedures. There is no significant concentration of credit risk with respect to loans, trade and other receivables as the group has a large number of customers that are internationally dispersed.

(f) Liquidity risk

Liquidity risk is the risk of Diageo encountering difficulties in meeting its obligations associated with financial liabilities that are settled by delivering cash or other financial assets. The group uses short-term commercial paper to finance its day-to-day operations. The group maintains backstop facilities with relationship banks to support commercial paper obligations.

The following tables provide an analysis of the anticipated contractual cash flows including interest payable for the group's financial liabilities and derivative instruments on an undiscounted basis. Where interest payments are calculated at a floating rate, rates of each cash flow until maturity of the instruments are calculated based on the forward yield curve prevailing at the respective year ends. Financial assets and liabilities are presented gross in the consolidated balance sheet although, in practice, the group uses netting arrangements to reduce its liquidity requirements on these instruments.

Contractual cash flows

	Due within 1 year $ million	Due between 1 and 3 years $ million	Due between 3 and 5 years $ million	Due after 5 years $ million	Total $ million	Carrying amount at balance sheet date $ million
2026						
Borrowings[1][2][3]	**(3,349)**	**(5,449)**	**(4,926)**	**(13,189)**	**(26,913)**	**(21,733)**
Leases[3]	**(141)**	**(207)**	**(142)**	**(326)**	**(816)**	**(685)**
Trade and other financial liabilities[4]	**(5,451)**	**(130)**	**(17)**	**(4)**	**(5,602)**	**(5,353)**
Non-derivative financial liabilities	**(8,941)**	**(5,786)**	**(5,085)**	**(13,519)**	**(33,331)**	**(27,771)**
Derivative financial instruments						
Receivable	**6,684**	**3,449**	**515**	**6,429**	**17,077**	
Payable	**(6,719)**	**(3,531)**	**(543)**	**(6,065)**	**(16,858)**	
Derivative instruments[2][5]	**(35)**	**(82)**	**(28)**	**364**	**219**	**302**
2025						
Borrowings[1][2][3]	(3,873)	(5,970)	(5,392)	(14,398)	(29,633)	(24,100)
Leases[3]	(137)	(198)	(136)	(306)	(777)	(653)
Trade and other financial liabilities[4]	(5,912)	(165)	(16)	(23)	(6,116)	(6,039)
Non-derivative financial liabilities	(9,922)	(6,333)	(5,544)	(14,727)	(36,526)	(30,792)
Derivative financial instruments						
Receivable	7,715	1,718	1,153	5,099	15,685	
Payable	(7,702)	(1,741)	(1,184)	(4,596)	(15,223)	
Derivative instruments[2][5]	13	(23)	(31)	503	462	438

(1) For the purposes of these tables, borrowings are defined as gross borrowings excluding lease liabilities and fair value of derivative instruments as disclosed in note 17.
(2) Carrying amount of interest on borrowings, interest on derivatives and interest on other payables is included within interest payable in note 15.
(3) Including both principal and interest.
(4) Primarily consists of trade and other payables that meet the definition of financial liabilities under IAS 32.
(5) Derivative financial instruments consist of foreign currency swaps and forwards, cross currency swaps, interest rate swaps and commodity trades.

The group had available undrawn committed bank facilities as follows:

	2026 $ million	2025 $ million
Expiring within one year	**1,063**	1,040
Expiring after one year	**3,500**	2,460
	4,563	3,500

The facilities can be used for general corporate purposes and, together with cash and cash equivalents, support the group's commercial paper programmes.

Financial statements *continued*

(g) Fair value measurements

Fair value measurements of financial instruments are presented through the use of a three-level fair value hierarchy that prioritises the valuation techniques used in fair value calculations.

The group maintains policies and procedures to value instruments using the most relevant data available. If multiple inputs that fall into different levels of the hierarchy are used in the valuation of an instrument, the instrument is categorised on the basis of the least observable input.

Foreign currency forwards and swaps, cross currency swaps and interest rate swaps are valued using discounted cash flow techniques. These techniques incorporate inputs at levels 1 and 2, such as foreign exchange rates and interest rates. These market inputs are used in the discounted cash flow calculation incorporating the instrument's term, notional amount and discount rate, and taking credit risk into account. As significant inputs to the valuation are observable in active markets, these instruments are categorised as level 2 in the hierarchy.

Other financial liabilities include a put option, which does not have an expiry date, held by Industrias Licoreras de Guatemala (ILG) to sell the remaining 50% equity stake in Rum Creation & Products Inc., the owner of the Zacapa rum brand, to Diageo. The liability is fair valued using the discounted cash flow method and as at 30 June 2026, an amount of $112 million (30 June 2025 – $101 million) is recognised as a liability with changes in the fair value of the put option included in retained earnings. As the valuation of this option uses assumptions not observable in the market, it is categorised as level 3 in the hierarchy. As at 30 June 2026, because it is unknown when or if ILG will exercise the option, the liability is measured as if the exercise date is the last day of the next financial year considering forecast future performance. The put option is not sensitive to reasonably possible changes in assumptions. If the option was to be exercised as at 30 June 2028, the fair value of the liability would increase by approximately $5 million.

There were no significant changes in the measurement and valuation techniques, or significant transfers between the levels of the financial assets and liabilities in the year ended 30 June 2026.

The group's financial assets and liabilities measured at fair value are categorised as follows:

	2026 $ million	2025 $ million
Derivative assets	**656**	733
Derivative liabilities	**(342)**	(275)
Valuation techniques based on observable market input (Level 2)	**314**	458
Financial assets - other	**51**	75
Financial liabilities - other	**(140)**	(226)
Valuation techniques based on unobservable market input (Level 3)	**(89)**	(151)

The movements in level 3 liability instruments, measured on a recurring basis, are as follows:

	Financial liabilities - other (level 3)	Financial liabilities - other (level 3)
	2026 $ million	2025 $ million
At the beginning of the year	**(226)**	(443)
Net gains included in the income statement	**81**	140
Net gains/(losses) included in exchange in other comprehensive income	**2**	(8)
Net (losses)/gains included in retained earnings	**(10)**	89
Acquisitions	**–**	(12)
Settlement of liabilities	**13**	8
At the end of the year	**(140)**	(226)

(h) Results of hedge relationships

The group targets a one-to-one hedge ratio. The strength of the economic relationship between the hedged items and the hedging instruments is analysed on an ongoing basis. Ineffectiveness can arise from changes in hedged balance sheet positions, group net investment positions, or subsequent changes in the forecast transactions as a result of differences in timing, cash flows or values except when the critical terms of the hedging instrument and hedged item are closely aligned. Where applicable, the change in the credit risk of the hedging instruments or the hedged items is not expected to be the primary factor in the economic relationship.

Further to the foreign currency borrowings in net investment hedge relationships disclosed in note 16(a), the notional amounts, contractual maturities and rates of the hedging instruments designated in hedging relationships by the main risk categories are as follows:

	Notional amounts $ million	Maturity	Range of hedged rates
2026			
Net investment hedges			
Derivatives in net investment hedges of foreign operations	**1,704**	**August 2026 - October 2027**	**Canadian dollar 1.32 - 1.45** **Chinese yuan 6.62 - 7.29** **Indian rupees 94.34**
Foreign currency borrowings in net investment hedges	**5,465**	**June 2029 - August 2044**	**sterling 0.73 - 0.76** **euro 0.86 - 0.87**
Cash flow hedges			
Derivatives in cash flow hedge (foreign currency debt)[1]	**4,684**	**October 2027 - June 2034**	**euro 0.87 - 0.90** **sterling 0.74 - 0.75**
Derivatives in cash flow hedge (foreign currency risk)[2]	**1,489**	**September 2026 - August 2028**	**sterling 0.73 - 0.81** **Mexican peso 17.95 - 23.69**
Derivatives in cash flow hedge (commodity price risk)[2]	**223**	**July 2026 - September 2028**	**Wheat: 180.00 - 200.00 GBP/Mt** **Natural Gas: 0.60 - 0.93 GBP/therm**
Fair value hedges			
Derivatives in fair value hedge[3]	**4,248**	**March 2027 - June 2038**	**EURIBOR 1.93 - 1.94%** **SOFR 0.00 - 1.61%** **SONIA 0.00 - 0.14%**
2025			
Net investment hedges			
Derivatives in net investment hedges of foreign operations	2,255	August 2025 - October 2027	euro 0.84 - 0.85 Canadian dollar 1.29 - 1.48 Chinese yuan 6.93 - 7.29
Foreign currency borrowings in net investment hedges	9,561	May 2026 - August 2044	sterling 0.75 - 0.82 euro 0.86 - 0.94
Cash flow hedges			
Derivatives in cash flow hedge (foreign currency debt)[1]	2,873	September 2028 - June 2034	euro 0.89 - 0.90
Derivatives in cash flow hedge (foreign currency risk)[2]	1,586	September 2025 - January 2028	sterling 0.74 - 0.81 Mexican peso 17.73 - 23.69
Derivatives in cash flow hedge (commodity price risk)[2]	275	July 2025 - June 2027	Aluminium: 2,426.00 - 2,693.50 USD/Mt Natural Gas: 0.74 - 1.38 GBP/therm
Fair value hedges			
Derivatives in fair value hedge[3]	4,229	September 2025 - April 2035	EURIBOR 1.93 - 1.94% SOFR 0.27 - 1.61%

(1) For cash flow hedges in respect of foreign currency debt, the notional amount of hedged items recognised in the consolidated balance sheet equals the notional value of the hedging instruments at 30 June 2026 and is included within borrowings. Exchange retranslation and the interest on the hedged bonds are expected to offset those on the cross currency swaps in the income statement in each of the years.
(2) In case of derivatives in cash flow hedges (commodity price risk and foreign currency risk), the range of the most significant contract's hedged rates are presented.
(3) In case of derivatives in fair value hedges, the range of the floating interest rates of the derivatives are presented.

For cash flow hedges of forecast transactions at 30 June 2026, based on year end interest and exchange rates, a gain to the income statement of $88 million in the year ending 30 June 2027 and a gain of $14 million in the year ending 30 June 2028 is expected to be recognised.

The amount relating to the hedges of foreign currency borrowings that are no longer applicable at 30 June 2026 is $116 million (2025 – $114 million). In the year ended 30 June 2026, the income statement included a gain of $7 million (2025 – $5 million) from amortisation of fair value of financial derivatives.

From the total net investment hedge reserve of $3,127 million (2025 – $3,333 million), $2,543 million (2025 – $2,665 million) is attributable to net investment hedges for which hedge accounting no longer applies.

Financial statements *continued*

The following table sets out information regarding the effectiveness of hedging relationships designated by the group, as well as the impacts on the income statement and other comprehensive income:

	At the beginning of the year $ million	Consolidated income statement $ million	Other comprehensive income: Recognised in other comprehensive income $ million	Other comprehensive income: Recycled to income statement $ million	Other[2] $ million	At the end of the year $ million
2026						
Net investment hedges[1]						
Derivatives in net investment hedges of foreign operations[3]	**(17)**	**24**	**(34)**	**(9)**	**6**	**(30)**
Foreign currency borrowings in net investment hedges	**(9,561)**	**(7)**	**221**	**7**	**3,875**	**(5,465)**
Cash flow hedges[1]						
Derivatives in cash flow hedge (foreign currency debt)	**185**	**(126)**	**(113)**	**126**	**16**	**88**
Derivatives in cash flow hedge (foreign currency risk)	**103**	**74**	**58**	**(78)**	**(74)**	**83**
Derivatives in cash flow hedge (commodity price risk)	**(8)**	**(8)**	**21**	**8**	**11**	**24**
Fair value hedges[1]						
Derivatives in fair value hedge (interest rate risk)	**(210)**	**11**	**–**	**–**	**–**	**(199)**
Borrowings in fair value hedge	**205**	**(9)**	**–**	**–**	**–**	**196**
Instruments in fair value hedge relationship	**(5)**	**2**	**–**	**–**	**–**	**(3)**
2025						
Net investment hedges[1]						
Derivatives in net investment hedges of foreign operations	367	44	24	(26)	(426)	(17)
Foreign currency borrowings in net investment hedges	(8,109)	–	(768)	–	(684)	(9,561)
Cash flow hedges[1]						
Derivatives in cash flow hedge (foreign currency debt)	(32)	230	161	(230)	56	185
Derivatives in cash flow hedge (foreign currency risk)	27	54	144	(68)	(54)	103
Derivatives in cash flow hedge (commodity price risk)	(9)	(19)	(20)	19	21	(8)
Fair value hedges[1]						
Derivatives in fair value hedge (interest rate risk)	(376)	166	–	–	–	(210)
Borrowings in fair value hedge	368	(163)	–	–	–	205
Instruments in fair value hedge relationship	(8)	3	–	–	–	(5)

(1) There was no significant ineffectiveness on net investment, cash flow and fair value hedges during the years ended 30 June 2026 and 2025, accordingly the fair value movement of the hedged items was materially similar and offsetting the movement of the hedges.
(2) Other movements include cash flows on result of matured derivatives, notional of bonds designated in or de-designated from net investment hedges and reclassification of hedging instruments between hedge portfolios and de-designation of hedging instruments.
(3) In respect of derivatives in net investment hedges, in the year ended 30 June 2026 a loss of $22 million (2025 - $77 million) was recognised in net investment hedge reserve, a loss of $12 million (2025 - a gain of $101 million) was recognised in cost of hedging and a gain of $9 million (2025 - a gain of $26 million) was transferred out of other comprehensive income to other finance charge.

(i) Reconciliation of financial instruments

The table below sets out the group's accounting classification of each class of financial assets and liabilities:

		2026			2025		
	Category	Current $ million	Non-current $ million	Total $ million	Current $ million	Non-current $ million	Total $ million
Other investments and loans[1]	a/b	**–**	**53**	**53**	–	76	76
Trade and other receivables[2]	b/c	**3,277**	**64**	**3,341**	3,504	38	3,542
Cash and cash equivalents	b	**1,520**	**–**	**1,520**	2,200	–	2,200
Derivatives	a	**150**	**506**	**656**	118	615	733
Mutual fund	b	**261**	**7**	**268**	318	8	326
Receivable from share trusts	b	**86**	**–**	**86**	88	–	88
Total other financial assets		**497**	**513**	**1,010**	524	623	1,147
Total financial assets		**5,294**	**630**	**5,924**	6,228	737	6,965
Borrowings[3]	b	**(2,449)**	**(19,062)**	**(21,511)**	(2,928)	(20,820)	(23,748)
Trade and other payables[2]	b/c	**(6,425)**	**(150)**	**(6,575)**	(6,952)	(192)	(7,144)
Derivatives	a	**(113)**	**(229)**	**(342)**	(65)	(210)	(275)
Put option	a	**(112)**	**–**	**(112)**	(101)	–	(101)
Leases	b	**(118)**	**(567)**	**(685)**	(112)	(541)	(653)
Total other financial liabilities		**(343)**	**(796)**	**(1,139)**	(278)	(751)	(1,029)
Total financial liabilities		**(9,217)**	**(20,008)**	**(29,225)**	(10,158)	(21,763)	(31,921)
Total net financial liabilities		**(3,923)**	**(19,378)**	**(23,301)**	(3,930)	(21,026)	(24,956)

(1) Other investments and loans include those in respect of associates. Out of the total balance, $51 million (2025 - $75 million) is measured at fair value through profit or loss and $2 million (2025 - $1 million) at amortised cost.
(2) Trade receivables comprise $2,922 million (2025 - $3,120 million) measured at amortised cost and $419 million (2025 - $422 million) relating to items not categorised as financial instruments. Trade payables include balances measured at amortised cost of $5,572 million (2025 - $5,979 million), at fair value through profit or loss of $28 million (2025 - $125 million) and item not categorised as financial instruments of $975 million (2025 - $1,040 million).
(3) Borrowings are defined as gross borrowings excluding lease liabilities and the fair value of derivative instruments.
a. Financial instruments at fair value through profit or loss.
b. Financial instruments measured at amortised cost.
c. Not categorised as a financial instrument.

At 30 June 2026 and 30 June 2025, the carrying values of cash and cash equivalents, other financial assets and liabilities approximate fair values. At 30 June 2026, the fair value of borrowings, based on unadjusted quoted market data, was $20,851 million (2025 – $23,197 million).

(j) Capital management

The group's management is committed to enhancing shareholder value in the long-term, both by investing in the business and brands so as to deliver continued improvement in the return from those investments and by managing the capital structure. Diageo manages its capital structure to achieve capital efficiency, provide flexibility to invest through the economic cycle and give efficient access to debt markets at attractive cost levels. This is achieved by targeting an adjusted net borrowings (net borrowings aggregated with post-employment benefit liabilities) to adjusted EBITDA leverage of 2.5–3.0 times, this range for Diageo being currently broadly consistent with an A-band credit rating. Diageo would consider operating outside of this range in order to effect strategic initiatives within its stated goals, which could have an impact on its rating. If Diageo's leverage was to be negatively impacted by the financing of an acquisition, it would seek over time to return to the range of 2.5–3.0 times. The group regularly assesses its debt and equity capital levels against its stated policy for capital structure. As at 30 June 2026, the adjusted net borrowings of $20,869 million (2025 – $22,263 million) to adjusted EBITDA ratio was 3.1 (2025 – 3.4) times. For this calculation, net borrowings are adjusted by post-employment benefit liabilities before tax of $387 million (2025 – $409 million) whilst adjusted EBITDA of $6,650 million (2025 – $6,645 million) comprises operating profit excluding exceptional operating items and depreciation, amortisation and impairment and includes share of after-tax results of associates and joint ventures.

On 24 February 2026 the Board decided to move to a new dividend policy to strengthen the balance sheet and manage liquidity. This decision supports the company's long term financial resilience. The Board decided to move to a 30-50% payout policy going forward to enable Diageo to balance investment in the business. The Board has also set a minimum floor for the dividend of 50 cents per annum. Subject to approval by shareholders, a final dividend of 30 cents per share (2025 – 62.98 cents per share) will be paid to holders of ordinary shares and US ADRs on register as of 16 October 2026. The ex-dividend date is 15 October 2026 for holders of ordinary shares and 16 October 2026 for holders of US ADRs. Holders of ordinary shares will receive their dividends in sterling unless they elect to receive their dividends in US dollars by 6 November 2026. The dividend per share in pence to be paid to ordinary shareholders will be announced on 19 November 2026 and will be determined by the actual foreign exchange rates achieved by Diageo buying forward contracts for sterling, entered into during the three trading days preceding the sterling equivalent announcement of the final dividend. A dividend reinvestment plan is available to holders of ordinary shares in respect of the final dividend and the plan notice date is 6 November 2026.

Financial statements *continued*

17. Net borrowings

Accounting policies

Borrowings are initially recognised at fair value net of transaction costs and are subsequently reported at amortised cost. Certain bonds are designated in fair value hedge relationship. In these cases, the amortised cost is adjusted for the fair value of the risk being hedged, with changes in value recognised in the income statement. The fair value adjustment is calculated using a discounted cash flow technique based on unadjusted market data.

Bank overdrafts form an integral part of the group's cash management and are included as a component of net cash and cash equivalents in the consolidated statement of cash flows.

Cash and cash equivalents comprise cash in hand and deposits which are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value and have an original maturity of three months or less, including money market deposits, commercial paper and investments.

Net borrowings are defined as gross borrowings (short-term borrowings and long-term borrowings plus lease liabilities plus interest rate hedging instruments, cross currency interest rate swaps and foreign currency forwards and swaps used to manage borrowings) less cash and cash equivalents.

	2026 $ million	2025 $ million
Bank overdrafts	**26**	22
Bank and other loans	**125**	83
$500 million 5.200% bonds due 2025[2]	**–**	500
$750 million 1.375% bonds due 2025[2]	**–**	750
€850 million 2.375% bonds due 2026	**–**	995
€500 million floating bonds due 2026	**–**	586
£500 million 1.750% bonds due 2026	**661**	–
$800 million 5.375% bonds due 2026[2]	**800**	–
€750 million 1.875% bonds due 2027	**854**	
Fair value adjustment to borrowings	**(17)**	(8)
Borrowings due within one year	**2,449**	2,928
£500 million 1.750% bonds due 2026	**–**	683
$800 million 5.375% bonds due 2026[2]	**–**	799
€750 million 1.875% bonds due 2027	**–**	878
€500 million 1.500% bonds due 2027	**569**	586
$750 million 5.300% bonds due 2027[2]	**749**	749
$500 million 3.875% bonds due 2028[2]	**499**	499
£300 million 2.375% bonds due 2028	**396**	409
€700 million 0.125% bonds due 2028	**796**	818
£300 million 2.875% bonds due 2029	**396**	410
€750 million 1.500% bonds due 2029	**854**	878
$1,000 million 2.375% bonds due 2029[2]	**996**	994
$1,000 million 2.000% bonds due 2030[2]	**997**	996
$750 million 5.125% bonds due 2030[1]	**748**	748
€700 million 3.125% bonds due 2031	**798**	821
€300 million 3.125% bonds due 2031	**343**	353
€1,000 million 2.500% bonds due 2032	**1,136**	1,168
$750 million 2.125% bonds due 2032[2]	**745**	745
€500 million 3.250% bonds due 2032	**568**	–
£400 million 1.250% bonds due 2033	**525**	543
$750 million 5.500% bonds due 2033[2]	**745**	745
$900 million 5.625% bonds due 2033[2]	**895**	895
€900 million 1.875% bonds due 2034	**1,020**	1,049
$400 million 7.450% bonds due 2035[1]	**400**	400
€700 million 3.375% bonds due 2035	**792**	814
$750 million 5.625% bonds due 2035[1]	**744**	743
$600 million 5.875% bonds due 2036[2]	**595**	595
€500 million 3.750% bonds due 2037	**567**	–
£600 million 2.750% bonds due 2038	**788**	816
$500 million 4.250% bonds due 2042[1]	**496**	495
$500 million 3.875% bonds due 2043[2]	**492**	492
€500 million 3.750% bonds due 2044	**561**	578
Bank and other loans	**31**	318
Fair value adjustment to borrowings	**(179)**	(197)
Borrowings due after one year	**19,062**	20,820
Total borrowings before leases and derivative financial instruments	**21,511**	23,748
Fair value of cross currency interest rate swaps	**(413)**	(559)
Fair value of foreign currency swaps and forwards	**20**	2
Fair value of interest rate hedging instruments	**199**	210
Lease liabilities	**685**	653
Gross borrowings	**22,002**	24,054
Less: Cash and cash equivalents	**(1,520)**	(2,200)
Net borrowings	**20,482**	21,854

(1) SEC-registered debt issued on an unsecured basis by Diageo Investment Corporation, a 100% owned subsidiary of Diageo plc and fully and unconditionally guaranteed by Diageo plc. No other subsidiary of Diageo plc guarantees the security.
(2) SEC-registered debt issued on an unsecured basis by Diageo Capital plc, a 100% owned subsidiary of Diageo plc and fully and unconditionally guaranteed by Diageo plc. No other subsidiary of Diageo plc guarantees the security.

(i) The interest rates shown are those contracted on the underlying borrowings before taking into account any interest rate hedges (see note 16).
(ii) Bonds are stated net of unamortised finance costs of $90 million (2025 – $103 million).
(iii) All bonds, medium-term notes and commercial paper issued on an unsecured basis by the group's 100% owned subsidiaries are fully and unconditionally guaranteed on an unsecured basis by Diageo plc and no other subsidiary of Diageo plc guarantees such securities.

Gross borrowings before leases and derivative financial instruments are expected to mature as follows:

	2026 $ million	2025 $ million
Within one year	**2,449**	2,928
Between one and three years	**4,247**	4,662
Between three and five years	**3,765**	4,159
Beyond five years	**11,050**	11,999
	21,511	23,748

During the year, the following bonds were issued or repaid:

	2026 $ million	2025 $ million	2024 $ million
Issued			
€ denominated	**1,171**	2,452	535
$ denominated	**–**	1,491	1,690
Repaid			
€ denominated	**(1,569)**	(1,816)	(1,167)
$ denominated	**(1,250)**	(600)	(500)
	(1,648)	1,527	558

(a) Reconciliation of movement in net borrowings

	2026 $ million	2025 $ million
At beginning of the year	**21,854**	21,017
Net decrease/(increase) in cash and cash equivalents	**374**	(1,083)
Net (decrease)/increase in bonds and other borrowings	**(1,775)**	898
Net decrease in net borrowings from cash flows	**(1,401)**	(185)
Exchange differences on net borrowings	**(204)**	921
Other non-cash items[1]	**233**	101
Net borrowings at the end of the year	**20,482**	21,854

(1) In the year ended 30 June 2026, other non-cash items are principally in respect of an increase in lease liabilities of $188 million, fair value loss of net borrowings of $9 million and bond finance cost amortisation of $18 million and reclassification to assets held for sale of $18 million. In the year ended 30 June 2025, other non-cash items are principally in respect of fair value losses on borrowings of $182 million and an increase in lease liabilities of $147 million partially offset by gains of cross currency interest rate swaps and interest rate swaps of $183 million and reclassification from assets held for sale of $45 million.

(b) Analysis of gross borrowings by currency

	2026		2025	
	Cash and cash equivalents $ million	Gross borrowings[1] $ million	Cash and cash equivalents $ million	Gross borrowings[1] $ million
US dollar	**700**	**(14,942)**	1,430	(11,395)
Euro[2]	**29**	**(4,444)**	23	(6,164)
Sterling	**43**	**(628)**	39	(4,408)
Canadian dollar[3]	**26**	**(655)**	19	(1,049)
Kenyan shilling	**67**	**(243)**	58	(233)
Indian rupee	**277**	**(259)**	179	(71)
Mexican peso	**13**	**244**	2	415
Chinese yuan	**70**	**(1,139)**	145	(924)
Other	**295**	**64**	305	(225)
Total	**1,520**	**(22,002)**	2,200	(24,054)

(1) Includes foreign currency forwards and swaps and leases.
(2) Includes $16 million cash and cash equivalents in cash-pooling arrangements (2025 - $15 million).
(3) Mainly net investment hedge in Canadian dollar at 30 June 2026.

18. Equity

Accounting policies

Own shares represent shares and share options of Diageo plc that are held in treasury or by employee share trusts for the purpose of fulfilling obligations in respect of various employee share plans or were acquired as part of a share buyback programme. Own shares are treated as a deduction from equity until the shares are cancelled, reissued or disposed of and when vest are transferred from own shares to retained earnings at their weighted average cost.

Share-based payments include share awards and options granted to directors and employees. The fair value of equity settled share options and share grants is initially measured at grant date based on Monte Carlo and Black Scholes models and is charged to the income statement over the vesting period. For equity settled shares, the credit is included in retained earnings.

Dividends are recognised in the financial statements in the year in which they are approved.

(a) Allotted and fully paid share capital – ordinary shares of $28^{101}/_{108}$ pence each

	Number of shares million	Nominal value $ million
At 30 June 2024	2,432	887
Shares cancelled	–	–
At 30 June 2025	**2,432**	**887**
Shares cancelled	–	–
At 30 June 2026	**2,432**	**887**

(b) Hedging and exchange reserve

	Hedging reserve $ million	Exchange reserve $ million	Total $ million
At 30 June 2023	293	(3,699)	(3,406)
Other comprehensive loss	(154)	(613)	(767)
At 30 June 2024	139	(4,312)	(4,173)
Other comprehensive income	79	466	545
At 30 June 2025	**218**	**(3,846)**	**(3,628)**
Other comprehensive loss	**(10)**	**(454)**	**(464)**
At 30 June 2026	**208**	**(4,300)**	**(4,092)**

Out of the total hedging reserve, a loss of $24 million (2025 - $3 million) represents the cost of hedging arising from derivatives in net investment hedges.

(c) Own shares

	Number of shares million	Purchase consideration $ million
At 30 June 2023	216	2,286
Share trust arrangements	(2)	(19)
Shares used to satisfy options	(2)	(17)
Shares purchased - share buyback programme	28	987
Shares cancelled	(28)	(987)
At 30 June 2024	212	2,250
Share trust arrangements	(1)	(14)
Shares used to satisfy options	(1)	(8)
At 30 June 2025	**210**	**2,228**
Share trust arrangements	**(1)**	**(12)**
Shares used to satisfy options	**(1)**	**(5)**
At 30 June 2026	**208**	**2,211**

Financial statements *continued*

Share trust arrangements
At 30 June 2026, the employee share trusts owned 2 million of ordinary shares in Diageo plc at a cost of $63 million and market value of $50 million (2025 - 3 million shares at a cost of $62 million, market value $73 million; 2024 - 3 million shares at a cost of $66 million, market value $97 million). Dividends receivable by the employee share trusts on the shares are waived and the trustee abstains from voting.

Purchase of own shares
Authorisation was given by shareholders on 6 November 2025 to purchase a maximum of 222,565,850 ordinary shares at a minimum price of $28^{101/108}$ pence and a maximum price of the higher of (a) 105% of the average market value of the company's ordinary shares for the five business days prior to the day the purchase is made and (b) the higher of the price of the last independent trade and the highest current independent bid on the trading venue where the purchase is carried out. The programme expires at the conclusion of the next Annual General Meeting or 15 months from the passing of this resolution, if earlier.

During the year ended 30 June 2024, the group purchased 28 million ordinary shares, representing approximately 1.1% of the issued ordinary share capital at an average price of 2918 pence (3644 cents) per share, and an aggregate cost of $987 million, including transaction costs under the share buyback programme. The shares purchased under the share buyback programmes were cancelled.

(d) Dividends

	2026 $ million	2025 $ million	2024 $ million
Amounts recognised as distributions to equity shareholders in the year			
Final dividend for the year ended 30 June 2025 62.98 cents per share (2024 - 62.98 cents; 2023 - 59.98 cents)	**1,401**	1,399	1,349
Interim dividend for the year ended 30 June 2026 20 cents per share (2025 - 40.50 cents; 2024 - 40.5 cents)	**445**	899	894
	1,846	2,298	2,243

A final dividend of $668 million (30 cents per share; 2025 - 62.98 cents per share) was recommended by a duly authorised committee of the Board of Directors on 6 August 2026 for approval by shareholders at the Annual General Meeting scheduled to be held on 5 November 2026 bringing the recommended full year dividend to 50 cents per share for the year ended 30 June 2026. As this was after the balance sheet date and the dividend is subject to approval by shareholders at the Annual General Meeting, this dividend has not been included as a liability in these consolidated financial statements. There are no corporate tax consequences arising from this treatment.

Dividends are waived on all treasury shares owned by the company and all shares owned by the employee share trusts.

(e) Non-controlling interests

Diageo consolidates USL, a company incorporated in India, with a 42.79% non-controlling interest, Sichuan Shuijingfang Company Limited, a company incorporated in China, with a 36.35% non-controlling interest and has a 50% controlling interest in Ketel One Worldwide B.V. (Ketel One), a company incorporated in the Netherlands.

Summarised financial information for USL and other subsidiaries, after fair value adjustments on acquisition, and the amounts attributable to non-controlling interests are as follows:

	2026			2025	2024
	USL $ million	Other $ million	Total $ million	Total $ million	Total $ million
Income statement					
Sales	**3,177**	**2,585**	**5,762**	6,439	6,224
Net sales	**1,413**	**1,875**	**3,288**	3,868	3,718
Profit for the year[1]	**202**	**354**	**556**	528	777
Other comprehensive loss[2]	**(184)**	**(291)**	**(475)**	(291)	(16)
Total comprehensive income	**18**	**63**	**81**	237	761
Attributable to non-controlling interests	**9**	**159**	**168**	183	277
Balance sheet					
Non-current assets[3]	**1,158**	**4,282**	**5,440**	5,529	5,741
Current assets	**1,297**	**1,414**	**2,711**	2,741	2,545
Non-current liabilities	**(179)**	**(1,368)**	**(1,547)**	(1,649)	(1,774)
Current liabilities	**(518)**	**(1,096)**	**(1,614)**	(1,603)	(1,738)
Net assets	**1,758**	**3,232**	**4,990**	5,018	4,774
Attributable to non-controlling interests	**755**	**1,328**	**2,083**	2,088	2,038
Cash flow					
Net cash inflow from operating activities	**221**	**331**	**552**	608	693
Net cash (outflow)/inflow from investing activities	**11**	**(104)**	**(93)**	(305)	(211)
Net cash outflow from financing activities	**(100)**	**(237)**	**(337)**	(394)	(456)
Net increase/(decrease) in cash and cash equivalents	**132**	**(10)**	**122**	(91)	26
Exchange differences	**(21)**	**(13)**	**(34)**	10	(33)
Dividends payable to non-controlling interests	**(47)**	**(100)**	**(147)**	(140)	(121)

(1) Profit for the year includes exceptional operating items attributable to non-controlling interests.
(2) Other comprehensive loss is principally in respect of exchange on translating the subsidiaries to US dollar.
(3) Non-current assets include the global distribution rights for Ketel One vodka products worldwide. The carrying value of the distribution right at 30 June 2026 was $1,800 million (2025 - $1,800 million; 2024 - $1,800 million).

On 24 March 2026, Diageo announced the sale of its shareholding in Royal Challengers Sports Pvt Limited to a consortium comprising Aditya Birla Group, The Times of India Group, Bolt Ventures and Blackstone's.

On 3 July 2025, Diageo completed the sale of its 80.4% shareholding in Guinness Ghana Breweries PLC to Castel Group.

On 1 July 2025, Diageo completed the sale of its 54.4% shareholding in Seychelles Breweries Limited to Phoenix Beverages.

On 30 September 2024, Diageo completed the sale of its 58.02% shareholding in Guinness Nigeria PLC to N-Seven Nigeria Ltd., part of the Tolaram group.

(f) Employee share compensation

The group uses a number of share award and option plans to grant to its directors and employees.

The annual fair value charge in respect of the equity settled plans for the three years ended 30 June 2026 is as follows:

	2026 $ million	2025 $ million	2024 $ million
Executive share award plans	**44**	48	34
Executive share option plans	**2**	9	7
Savings plans	**(2)**	2	2
	44	59	43

Executive share awards have been granted under the Diageo 2014 Long-Term Incentive Plan (DLTIP) from September 2014 until September 2023 and are granted under the replacement plan, the Diageo 2023 Long-Term Incentive Plan from March 2024 onwards to some employees below the Board and from September 2024 to Executive Directors. Awards are granted as conditional awards in the form of performance shares, performance share options, time-vesting restricted stock units (RSUs) and/or time-vesting share options (or cash-based equivalents in certain locations for regulatory reasons). Share options are granted at market value at the time of grant. In the case of Executive Directors, conditional awards of time-vesting RSUs or forfeitable shares may be awarded under the 2020 Deferred Bonus Share Plan (DBSP), with vesting not subject to any performance conditions and not subject to a post-vesting retention period.

Share awards normally vest on the third anniversary of the grant date. Participants do not make a payment to receive the award at grant. Executive Directors are required to hold any vested shares awarded under the DLTIP for a further two-year post-vesting holding period. Share options may normally be exercised between three and ten years after the grant date. Executives in North America and Latin America and Caribbean are granted awards over the company's ADRs (one ADR is equivalent to four ordinary shares).

For Executive Directors, performance shares under the DLTIP (for awards granted in 2023 and 2024) are subject to the achievement of three performance measures: 1) compound annual growth in profit before exceptional items over three years; 2) compound annual growth in organic net sales over three years; and 3) environmental, social and governance (ESG) priorities, weighted 40%, 40% and 20% of the maximum respectively. Performance shares under the DLTIP for awards granted in 2025 are subject to the achievement of four performance measures: 1) compound annual growth in profit before exceptional items over three years; 2) compound annual growth in organic net sales over three years; 3) adjusted return on invested capital; and 4) ESG priorities, weighted 28.3%, 28.3%, 28.3% and 15% of the maximum respectively. Performance share options under the DLTIP are subject to the achievement of two equally weighted performance measures: 1) a comparison of Diageo's three-year TSR against a relevant peer group; 2) cumulative free cash flow over a three-year period, measured at constant exchange rates. Performance measures and targets are set annually by the Remuneration Committee and disclosed within the relevant Directors' Remuneration Report. The vesting range is 20% for Executive Directors and 25% for other participants, for achieving minimum performance targets, up to 100% for achieving the maximum target level. Retesting of the performance measures is not permitted.

For performance shares under the DLTIP, dividends are accrued on awards and are released to participants to the extent that the awards vest at the end of the performance period. Dividend equivalents are normally paid out in the form of shares.

Savings plans are provided in the form of a savings-related share option plan in the UK and Republic of Ireland (ROI) and in the form of savings-related share purchase plan in the US. Employees participating in these plans agree to make regular monthly savings to buy options over Diageo shares or American Depositary Receipts (ADRs) at a discounted price.

There are other all-employee share incentive plans available within the group, including the UK Share Incentive Plan, the ROI Profitshare Plan and the One World Share Incentive Plan introduced in the year ended 30 June 2025.

For the three years ended 30 June 2026, the calculation of the fair value of executive share awards used the Monte Carlo and Black Scholes pricing model and the following assumptions:

	2026	2025	2024
Risk free interest rate	**3.8%**	3.9%	4.7%
Expected life of the awards	**34 months**	33 months	33 months
Dividend yield	**4.4%**	3.4%	2.6%
Weighted average share price	**1857 p**	2426 p	3118 p
Weighted average fair value of awards granted in the year[1]	**1259 c**	1814 c	1757 c
Number of awards granted in the year	**3.6 million**	3.4 million	2.1 million
Fair value of all awards granted in the year	**$46 million**	$61 million	$36 million

(1) Based on transaction rate at grant date of the awards.

Transactions on schemes

Transactions on the executive share award plans for the three years ended 30 June 2026 were as follows:

	2026 million	2025 million	2024 million
Number of awards outstanding at 1 July	**6.0**	4.8	4.9
Granted	**3.6**	3.4	2.1
Awarded	**(1.0)**	(1.3)	(1.8)
Forfeited	**(1.5)**	(0.9)	(0.4)
Number of awards outstanding at 30 June	**7.1**	6.0	4.8

The exercise price of share options outstanding at 30 June 2026 was in the range of 1466 pence - 3763 pence (2025 - 1709 pence - 3763 pence; 2024 - 1709 pence - 3854 pence).

At 30 June 2026, 3.6 million (2025 - 4.6 million, 2024 - 3.3 million) share options were exercisable at a weighted average exercise price of 2885 pence (2025 - 2512 pence, 2024 - 2639 pence). Weighted average remaining contractual life of share options was 6 years at 30 June 2026 (2025 - 6 years, 2024 - 6 years).

Financial statements *continued*

Other financial statements disclosures

Introduction

This section includes additional financial information that are either required by the relevant accounting standards or management considers these to be material information for shareholders.

19. Contingent liabilities and legal proceedings

Accounting policies

Provision is made for the anticipated settlement costs of legal or other disputes against the group where it is considered to be probable that a liability exists and a reliable estimate can be made of the likely outcome. Where it is possible that a settlement may be reached or it is not possible to make a reliable estimate of the estimated financial effect, appropriate disclosure is made but no provision is created.

Critical accounting judgements and estimates

Judgement is necessary in assessing the likelihood that a claim will succeed, or a liability will arise, and an estimate to quantify the possible range of any settlement. Due to the inherent uncertainty in this evaluation process, actual losses may be different from the liability originally estimated. The group may be involved in legal proceedings in respect of which it is not possible to make a reliable estimate of any expected settlement. In such cases, appropriate disclosure is provided but no provision is made and no contingent liability is quantified.

(a) Guarantees and related matters

As of 30 June 2026, the group has no material unprovided guarantees or indemnities in respect of liabilities of third parties.

(b) Acquisition of USL shares from UBHL and related proceedings in relation to the USL transaction

On 4 July 2013, Diageo completed its acquisition, under a share purchase agreement with United Breweries (Holdings) Limited (UBHL) and various other sellers (the SPA), of shares representing 14.98% in USL, including shares representing 6.98% from UBHL. The SPA was signed on 9 November 2012as part of the transaction announced by Diageo in relation to USL on that day (the Original USL Transaction). Following a series of further transactions, as of 30 June 2026, Diageo has a 55.88% investment in USL (excluding 2.38% owned by the USL Benefit Trust).

Prior to the acquisition from UBHL on 4 July 2013, the High Court of Karnataka (High Court) had granted leave to UBHL under the Indian Companies Act 1956 (the Leave Order) to enable the sale by UBHL to Diageo to take place (the UBHL Share Sale) notwithstanding the continued existence of certain winding-up petitions that were pending against UBHL on the date of the SPA. At the time of the completion of the UBHL Share Sale, the Leave Order remained subject to review on appeal. However, as stated by Diageo at the time of closing, it was considered unlikely that any appeal process in respect of the Leave Order would definitively conclude on a timely basis and, accordingly, Diageo waived the conditionality under the SPA relating to the absence of insolvency proceedings in relation to UBHL and acquired the 6.98% stake in USL from UBHL at that time.

Following appeal and counter-appeal in respect of the Leave Order, this matter is now before the Supreme Court of India which has issued an order that the status quo be maintained with regard to the UBHL Share Sale pending a hearing on the matter before it. Following a number of adjournments, the next date for a substantive hearing is yet to be fixed.

In separate proceedings, the High Court passed a winding-up order against UBHL on 7 February 2017, and appeals filed by UBHL against that order have since been dismissed, initially by a division bench of the High Court and subsequently by the Supreme Court of India.

Diageo continues to believe that the acquisition price of INR 1,440 per share paid to UBHL for the USL shares is fair and reasonable as regards UBHL, UBHL's shareholders and UBHL's secured and unsecured creditors. However, adverse results for Diageo in the proceedings referred to above could, absent leave or relief in other proceedings, ultimately result in Diageo losing title to the 6.98% stake in USL acquired from UBHL. Diageo believes, including by reason of its rights under USL's articles of association to nominate USL's CEO and CFO and the right to appoint, through USL, a majority of the directors on the boards of USL's subsidiaries as well as its ability as promoter to nominate for appointment up to two-thirds of USL's directors for so long as the chairperson of USL is an independent director, that it would remain in control of USL and would continue to be able to consolidate USL as a subsidiary for accounting purposes regardless of the outcome of this litigation.

There can be no certainty as to the outcome of the existing or any further related legal proceedings or the time frame within which they would be concluded.

(c) Continuing matters relating to Dr Vijay Mallya and affiliates

On 25 February 2016, Diageo and USL each announced that they had entered into arrangements with Dr Mallya under which he had agreed to resign from his position as a director and as chair of USL and from his positions in USL's subsidiaries.

Diageo's agreement with Dr Mallya (the February 2016 Agreement) provided for a payment of $75 million to Dr Mallya over a five-year period of which $40 million was paid on the signing of the February 2016 Agreement with the balance being payable in equal instalments of $7 million a year over five years (2017-2021). All payments were subject to and conditional on Dr Mallya's compliance with the agreement. The February 2016 Agreement also provided for the release of Dr Mallya's personal obligations to indemnify Diageo Holdings Netherlands B.V. (DHN) in respect of its earlier liability ($141 million) under a backstop guarantee of certain borrowings of Watson Limited (Watson) (a company affiliated with Dr Mallya).

On account of various breaches and other provisions of agreements between Dr Mallya and persons connected with him and Diageo and/or USL, Diageo did not make the five instalment payments due during the five-year period between 2017 and 2021. In addition, Diageo has also demanded that Dr Mallya repay the $40 million paid by Diageo in February 2016 and sought compensation for various losses incurred by the relevant members of the Diageo group.

On 16 November 2017, Diageo and other relevant members of the Diageo group commenced claims in the High Court of Justice in England and Wales (the English High Court) against Dr Mallya in relation to these matters. At the same time DHN also commenced claims in the English High Court against Dr Mallya, his son Sidhartha Mallya, Watson and Continental Administration Services Limited (CASL) (a company affiliated with Dr Mallya and understood to hold assets on trust for him and certain persons affiliated with him) for in excess of $142 million (plus interest) in relation to Watson's liability to DHN in respect of its borrowings referred to above and the breach of associated security documents. Dr Mallya, Sidhartha Mallya and the relevant affiliated companies filed a defence to these claims, and Dr Mallya also filed a counterclaim for payment of the two instalment payments that had by that time been withheld as described above.

As part of these proceedings, Diageo and the other relevant members of its group filed an application for strike out and/or summary judgement in respect of certain aspects of the defence filed by Dr Mallya and the other defendants, including their defence in relation to Watson and CASL's liability to repay DHN. The application was successful resulting in Watson being ordered to pay approximately $135 million plus various amounts in respect of interest to DHN, with CASL being held liable as co-surety for 50% of any such amount unpaid by Watson. These amounts were, contrary to the relevant orders, not paid by the relevant deadlines and Watson and CASL's remaining defences in the proceedings were struck out. Diageo and DHN have accordingly sought asset disclosure and are considering further enforcement steps against Watson and CASL, both in the United Kingdom and in other jurisdictions where they are present or hold assets, including actively taking steps to retain the right to enforcement against Watson in Mauritius.

A trial of the remaining elements of these claims was due to commence on 21 November 2022. However, on 26 July 2021 Dr Mallya was declared bankrupt by the English High Court pursuant to a bankruptcy petition presented by a consortium of Indian banks. Dr Mallya's appeal against his

bankruptcy was dismissed in April 2025 and it is understood that an application by Dr Mallya to annul his bankruptcy has subsequently been discontinued. The trial of Diageo's claim has been deferred and is currently awaiting rescheduling.

At this stage, it is not possible to assess the extent to which the various ongoing proceedings related to the bankruptcy will affect the remaining elements of the claims by Diageo and the relevant members of its group.

Upon completion of an initial inquiry in April 2015 into past improper transactions which identified references to certain additional parties and matters, USL carried out an additional inquiry into these transactions (Additional Inquiry) which was completed in July 2016. The Additional Inquiry, prima facie, identified transactions indicating actual and potential diversion of funds from USL and its Indian and overseas subsidiaries to, in most cases, entities that appeared to be affiliated or associated with Dr Mallya. All amounts identified in the Additional Inquiry have been provided for or expensed in the financial statements of USL or its subsidiaries in the respective prior periods. USL has filed recovery suits against relevant parties identified pursuant to the Additional Inquiry.

Further, at this stage, it is not possible for the management of USL to estimate the financial impact on USL, if any, arising out of potential non-compliance with applicable laws in relation to such fund diversions.

(d) Other matters in relation to USL

In respect of the Watson backstop guarantee arrangements, the Securities and Exchange Board of India (SEBI) issued a notice to Diageo on 16 June 2016 that if there is any net liability incurred by Diageo (after any recovery under relevant security or other arrangements, which matters remain pending) on account of the Watson backstop guarantee, such liability, if any, would be considered to be part of the price paid for the acquisition of USL shares under the SPA which formed part of the Original USL Transaction and that, in that case, additional equivalent payments would be required to be made to those shareholders (representing 0.04% of the shares in USL) who tendered in the open offer made as part of the Original USL Transaction. Diageo believes that the Watson backstop guarantee arrangements were not part of the price paid or agreed to be paid for any USL shares under the Original USL Transaction and that therefore SEBI's decision was not consistent with applicable law, and Diageo appealed against it before the Securities Appellate Tribunal, Mumbai (SAT). On 1 November 2017, SAT issued an order in respect of Diageo's appeal in which, amongst other things, it observed that the relevant officer at SEBI had neither considered Diageo's earlier reply nor provided Diageo with an opportunity to be heard, and accordingly directed SEBI to pass a fresh order after giving Diageo an opportunity to be heard. Following SAT's order, Diageo made its further submissions in the matter, including at a personal hearing before a Deputy General Manager of SEBI. On 26 June 2019, SEBI issued an order reiterating the directions contained in its previous notice dated 16 June 2016. As with the previous SEBI notice, Diageo believes that SEBI's latest order is not consistent with applicable law. Diageo appealed against this order before SAT and, after a hearing in March 2023, SAT allowed Diageo's appeal on 26 July 2023. Accordingly, SEBI's order dated 26 June 2019 stands quashed at present. While SEBI has filed an appeal against SAT's order before the Supreme Court of India, the next date for a substantive hearing is yet to be fixed. There can be no certainty as to the outcome or the timeframe within which such appeal will be concluded.

(e) USL's dispute with IDBI Bank Limited

Prior to the acquisition by Diageo of a controlling interest in USL, USL had prepaid a term loan taken through IDBI Bank Limited (IDBI), an Indian bank, which was secured on certain fixed assets and brands of USL, as well as by a pledge of certain shares in USL held by the USL Benefit Trust (of which USL is the sole beneficiary). The maturity date of the loan was 31 March 2015. IDBI disputed the prepayment, following which USL filed a writ petition in November 2013 before the High Court of Karnataka (the High Court) challenging the bank's actions.

Following the original maturity date of the loan, USL received notices from IDBI seeking to recall the loan, demanding a further sum of INR 459 million ($5 million) on account of the outstanding principal, accrued interest and other amounts, and also threatening to enforce the security in the event that USL did not make these further payments. Pursuant to an application filed by USL before the High Court in the writ proceedings, the High Court directed that, subject to USL depositing such further amount with the bank (which amount was duly deposited by USL), the bank should hold the amount in a suspense account and not deal with any of the secured assets including the shares until disposal of the original writ petition filed by USL before the High Court.

On 27 June 2019, a single judge bench of the High Court issued an order dismissing the writ petition filed by USL, amongst other things, on the basis that the matter involved an issue of breach of contract by USL and was therefore not maintainable in exercise of the court's writ jurisdiction. USL filed an appeal against this order before a division bench of the High Court, which on 30 July 2019 issued an interim order directing the bank to not deal with any of the secured assets until the next date of hearing. On 13 January 2020, the division bench of the High Court admitted the writ appeal and extended the interim stay. This appeal is currently pending. Based on the assessment of USL's management supported by external legal opinions, USL continues to believe that it has a strong case on the merits and therefore continues to believe that the secured assets will be released to USL and the aforesaid amount of INR 459 million ($5 million) remains recoverable from IDBI.

(f) Tax

The international tax environment has seen increased scrutiny and rapid change over recent years bringing with it greater uncertainty for multinationals. Against this backdrop, Diageo has been monitoring developments and continues to engage transparently with the tax authorities in the countries where it operates to ensure that the group manages its arrangements on a sustainable basis.

The group operates in a large number of markets with complex tax and legislative regimes that are open to subjective interpretation. In the context of these operations, it is possible that tax exposures which have not yet materialised (including those which could arise as part of tax assessments) may result in losses to the group. Where the potential tax exposures are known to us and may lead to a possible material outflow, the group assesses the disclosure of such matters as contingent liabilities, taking into account both assessed and unassessed amounts (if any), their size and nature, relevant regulatory requirements and potential prejudice of the future resolution or assessment thereof.

Diageo has a large number of ongoing tax cases in Brazil, for which contingent liabilities are disclosed on the basis of the current known possible exposure from tax assessment values. While not all of these cases are individually significant, the current aggregate known possible exposure from tax assessment values is up to approximately $1,032 million for Brazil. The group believes that the likelihood that the tax authorities will ultimately prevail is lower than probable but higher than remote. Due to the fiscal environment in Brazil, the possibility of further tax assessments related to the same matters cannot be ruled out and the judicial processes may take extended periods to conclude. Based on its current assessment, Diageo believes that no provision is required in respect of these issues.

(g) Other

The group has extensive international operations and routinely makes judgements on a range of legal, customs and tax matters which are incidental to the group's operations. Some of these judgements are or may become the subject of challenges and involve proceedings, the outcome of which cannot be foreseen. In particular, the group is currently a defendant in various customs proceedings that challenge the declared customs value of products imported by certain Diageo companies. Diageo continues to defend its position vigorously in these proceedings.

Save as disclosed above, neither Diageo, nor any member of the Diageo group, is or has been engaged in, nor (so far as Diageo is aware) is there pending or threatened by or against it, any legal or arbitration proceedings which may have a significant effect on the financial position of the Diageo group.

Financial statements *continued*

20. Commitments

(a) Capital commitments

Commitments for expenditure on intangibles and property, plant and equipment not provided for in these consolidated financial statements are estimated at $481 million (2025 – $550 million; 2024 – $783 million).

(b) Other commitments

The future minimum lease rentals payable in the year ended 30 June 2026 for short-term leases and leases of low-value assets are estimated at $13 million (2025 – $19 million; 2024 – $23 million). The total future cash outflows for leases that had not yet commenced, and not recognised as lease liabilities at 30 June 2026, are estimated at $12 million (2025 – $1 million; 2024 – $3 million).

21. Related party transactions

Transactions between the group and its related parties are made on terms equivalent to those that prevail in arm's length transactions.

(a) Subsidiaries

Transactions between the company and its subsidiaries are eliminated on consolidation and therefore are not disclosed. Details of the principal group companies are given in note 22.

(b) Associates and joint ventures

Sales and purchases to and from associates and joint ventures are principally in respect of premium drink products but also include the provision of management services.

Transactions and balances with associates and joint ventures are set out in the table below:

	2026 $ million	2025 $ million	2024 $ million
Income statement items			
Sales	**13**	10	14
Purchases	**72**	65	73
Balance sheet items			
Group payables	**–**	2	2
Group receivables	**1**	1	2
Loans receivable	**32**	37	355
Cash flow items			
Loans and equity contributions, net	**46**	84	134

Reduction in loans receivable in the year ended 30 June 2025 was primarily due to Diageo's decision to exit several Distill Ventures businesses.

Other disclosures in respect of associates and joint ventures are included in note 6.

(c) Key management personnel

The key management of the group comprises the Executive and Non-Executive Directors, the members of the Executive Committee and the Company Secretary. They are listed under 'Board of Directors' and 'Executive Committee'.

	2026 $ million	2025 $ million	2024 $ million
Salaries and short-term employee benefits	**14**	14	12
Annual incentive plan	**8**	8	4
Non-Executive Directors' fees	**2**	2	2
Share-based payments[1]	**8**	17	7
Post-employment benefits	**2**	2	2
Termination payments	**5**	–	–
	39	43	27

(1) Time-apportioned fair value of unvested options and share awards.

Non-Executive Directors do not receive share-based payments or post-employment benefits.

There were no transactions with these related parties during the year ended 30 June 2026 on terms other than those that prevail in arm's length transactions.

(d) Pension plans

The Diageo pension plans are recharged with the cost of administration services provided by the group to the pension plans and with professional fees paid by the group on behalf of the pension plans. The total amount recharged for the year was $0.4 million (2025 – $0.2 million; 2024 – $0.1 million).

(e) Directors' remuneration

	2026 $ million	2025 $ million	2024 $ million
Salaries and short-term employee benefits	**3**	4	4
Annual incentive plan	**2**	3	1
Non-Executive Directors' fees	**2**	2	2
Shares vesting[1]	**2**	4	18
	9	13	25

(1) Gains on options realised in the year and the benefit from share awards, calculated by using the share price applicable on the date of exercise of the share options and release of the awards.

22. Principal group companies

The companies listed below include those which principally affect the profits and assets of the group. The operating companies listed below may carry on the business described in the countries listed in conjunction with their subsidiaries and other group companies.

	Country of incorporation	Country of operation	Percentage of equity owned[1]	Business description
Subsidiaries				
Diageo Finance plc[2]	England	United Kingdom	100%	Financing company for the group
Diageo Great Britain Limited		Great Britain	100%	Marketing and distribution of premium drinks
United Spirits Limited[3]	India	India	55.88%	Production, importing, marketing and distribution of premium drinks
Diageo Ireland Unlimited Company	Ireland	Worldwide	100%	Production, marketing and distribution of premium drinks
Diageo Brands B.V.	Netherlands	Worldwide	100%	Marketing and distribution of premium drinks
Diageo Capital B.V.[2]		Netherlands	100%	Financing company for the group
Diageo Capital plc[2]	Scotland	United Kingdom	100%	Financing company for the group
Diageo Scotland Limited		Worldwide	100%	Production, marketing and distribution of premium drinks
Mey İçki Sanayi ve Ticaret A.Ş.	Türkiye	Türkiye	100%	Production, marketing and distribution of premium drinks
Diageo Investment Corporation	United States	United States	100%	Financing company for the US group
Diageo North America, Inc.		Worldwide	100%	Production, importing, marketing and distribution of premium drinks
Associates				
Moët Hennessy[4]	France	Worldwide	34%	Production, marketing and distribution of premium drinks

(1) All percentages, unless otherwise stated, are in respect of holdings of ordinary share capital and are equivalent to the percentages of voting rights held by the group.
(2) Directly owned by Diageo plc.
(3) Percentage ownership excludes 2.38% owned by the USL Benefit Trust.
(4) Diageo's principal associate is Moët Hennessy of which Diageo owns 34% through two legal entities; Moët Hennessy, SAS and Moët Hennessy International.

See pages 199 to 203 for a complete list of subsidiary undertakings, associates and joint ventures.

Financial statements *continued*

Company balance sheet of Diageo plc

	Notes	30 June 2026 $ million	30 June 2026 $ million	30 June 2025 $ million	30 June 2025 $ million
Non-current assets					
Investments in subsidiary undertakings	3	**58,254**		77,297	
Other financial assets	4	**260**		258	
Post-employment benefit assets	6	**517**		608	
			59,031		78,163
Current assets					
Amounts owed by group undertakings	4	**1,695**		958	
Trade and other receivables	4	**34**		33	
Other financial assets	4	**–**		8	
Cash and cash equivalents		**1**		4	
			1,730		1,003
Total assets			**60,761**		79,166
Current liabilities					
Amounts owed to group undertakings	4	**(8)**		(6)	
Other financial liabilities	4	**–**		(8)	
Trade and other payables	4	**(132)**		(243)	
Provisions	7	**(24)**		(32)	
			(164)		(289)
Non-current liabilities					
Amounts owed to group undertakings	4	**(8,245)**		(9,989)	
Other financial liabilities	4	**(174)**		(170)	
Trade and other payables	4	**(33)**		–	
Provisions	7	**(162)**		(181)	
Deferred tax liabilities	5	**(70)**		(79)	
Post-employment benefit liabilities	6	**(47)**		(52)	
			(8,731)		(10,471)
Total liabilities			**(8,895)**		(10,760)
Net assets			**51,866**		68,406
Equity					
Share capital (2026 – 2,432 million shares (2025 – 2,432 million shares) of 28 $^{101}/_{108}$ pence each)	9	**887**		887	
Share premium		**1,703**		1,703	
Merger reserve	9	**11,541**		11,541	
Capital redemption reserve		**4,082**		4,082	
			18,213		18,213
Retained earnings:					
At beginning of year		**50,193**		48,286	
(Loss)/profit for the year		**(14,690)**		2,997	
Other changes in retained earnings		**(1,850)**		(1,090)	
			33,653		50,193
Total equity			**51,866**		68,406

The accompanying notes are an integral part of these parent company financial statements.

These financial statements have been approved by a duly appointed and authorised committee of the Board of Directors on 17 August 2026 and were signed on its behalf by Sir Dave Lewis and Nik Jhangiani, Directors.
Company registration number: 23307

Company statement of changes in equity for Diageo plc

					Retained earnings/(deficit)			
	Share capital	Share premium	Merger reserve	Capital redemption reserve	Own shares	Other reserves	Total	Total equity
	$ million	$ million	$ million	$ million	$ million	$ million	$ million	$ million
At 30 June 2024	887	1,703	11,541	4,082	(2,250)	50,536	48,286	66,499
Profit for the year	–	–	–	–	–	2,997	2,997	2,997
Other comprehensive income	–	–	–	–	–	1,116	1,116	1,116
Total comprehensive income for the year	–	–	–	–	–	4,113	4,113	4,113
Employee share schemes	–	–	–	–	22	11	33	33
Share-based incentive plans	–	–	–	–	–	59	59	59
Dividends	–	–	–	–	–	(2,298)	(2,298)	(2,298)
At 30 June 2025	**887**	**1,703**	**11,541**	**4,082**	**(2,228)**	**52,421**	**50,193**	**68,406**
Loss for the year	**–**	**–**	**–**	**–**	**–**	**(14,690)**	**(14,690)**	**(14,690)**
Other comprehensive loss	**–**	**–**	**–**	**–**	**–**	**(70)**	**(70)**	**(70)**
Total comprehensive loss for the year	**–**	**–**	**–**	**–**	**–**	**(14,760)**	**(14,760)**	**(14,760)**
Employee share schemes	**–**	**–**	**–**	**–**	**17**	**4**	**21**	**21**
Share-based incentive plans	**–**	**–**	**–**	**–**	**–**	**44**	**44**	**44**
Unclaimed dividend	**–**	**–**	**–**	**–**	**–**	**1**	**1**	**1**
Dividends	**–**	**–**	**–**	**–**	**–**	**(1,846)**	**(1,846)**	**(1,846)**
At 30 June 2026	**887**	**1,703**	**11,541**	**4,082**	**(2,211)**	**35,864**	**33,653**	**51,866**

The accompanying notes are an integral part of these parent company financial statements.

Financial statements *continued*

Notes to the company financial statements of Diageo plc

1. Accounting policies of the company

Basis of preparation

The financial statements of Diageo plc (the company) are prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework (FRS 101).

In preparing these financial statements, the company applies the recognition, measurement, and disclosure requirements of International Financial Reporting Standards as adopted by the UK (IFRS), but makes amendments where necessary in order to comply with the Companies Act 2006 and has excluded certain information as permitted by FRS 101.

The financial statements are prepared on a going concern basis under the historical cost convention, except for certain financial instruments and post-employment benefits which are measured and stated at their fair value.

By virtue of section 408 of the Companies Act 2006, the company is exempt from presenting an income statement and disclosing employee numbers and staff costs. The company has taken advantage of the exemption under FRS 101 from preparing a cash flow statement and related notes, disclosures in respect of transactions and the capital management of wholly owned subsidiaries, the effects of new but not yet effective IFRSs and disclosures in respect of the compensation of key management personnel. As the consolidated financial statements of Diageo plc include equivalent disclosures, the company has also utilised exemptions available under FRS 101 from disclosing IFRS 2 Share-based Payment in respect of group settled share-based payments, disclosures required by IFRS 7 Financial Instruments: Disclosures and by IFRS 13 Fair Value Measurement.

Functional and presentation currency

The functional currency of the parent company, Diageo plc, is the US dollar, consistent with the consolidated financial statements. It is determined by using management judgement that considers the parent company as an extension of its subsidiaries.

Investments in subsidiaries

Investments in subsidiaries are stated at historical cost less impairment provisions for any permanent decrease in value. The carrying amounts of the company's investments are reviewed at each reporting date to determine whether there is an indication of impairment. If such an indication exists, then the asset's recoverable amount is estimated. Losses are recognised in the statement of comprehensive income and reflected in an allowance against the carrying value. Where an event results in the asset's recoverable amount being higher than the previously impaired carrying value, the original impairment may be reversed through the statement of comprehensive income in subsequent periods.

Dividends

Dividends payable and dividends receivable are recognised in the financial statements in the year in which they are approved.

Share-based payments – employee benefits

The company's accounting policy for share-based payments is the same as set out in note 18 to the consolidated financial statements. Where the company grants options over its own shares to the employees of its subsidiaries, it generally recharges the cost to the relevant group company. Where the amount is not recharged, the value of the options is recognised as a capital contribution to the subsidiary and increases the cost of investment.

Pensions and other post-employment benefits

The company's accounting policy for post-employment benefits is the same as set out in note 14 to the consolidated financial statements. The company acts as sponsor of all UK post-employment plans for the benefit of employees and former employees throughout the group. There is no contractual agreement or stated policy for charging the net defined benefit costs for the plan measured in accordance with FRS 101, to other group companies whose employees participate in these group-wide plans. However, recharges to other group companies are made on a funding basis and are credited against post-employment service costs to the extent they are in respect of current service. The fair value of the plans' assets less the present value of the plans' liabilities are disclosed as a net asset or net liability on the company's balance sheet as it is deemed to be the legal sponsor of these plans.

Provisions

The company's accounting policy for provisions is the same as set out in note 15 to the consolidated financial statements.

Taxation

The company's accounting policy for taxation is the same as set out in note 7 to the consolidated financial statements.

Financial assets and liabilities

Financial assets and liabilities are initially recorded at fair value including, where permitted by IFRS 9, any directly attributable transaction costs. For those financial assets that are not subsequently held at fair value, the company assesses whether there is evidence of impairment at each balance sheet date. The company classifies its financial assets and liabilities into the following categories: financial assets and liabilities at amortised cost, financial assets and liabilities at fair value through income statement and financial assets at fair value through other comprehensive income. Where financial assets or liabilities are eligible to be carried at either amortised cost or fair value, the company does not apply the fair value option.

Amounts owed by group undertakings are initially measured at fair value and are subsequently reported at amortised cost. Non-interest bearing trade receivables are stated at their nominal value as they are due on demand. Allowances for expected credit losses are made based on the risk of non-payment, taking into account ageing, previous experience, economic conditions and forward-looking data. Such allowances are measured as either 12-month expected credit losses or lifetime expected credit losses depending on changes in the credit quality of the counterparty. Expected credit loss is immaterial for amounts owed by group undertakings.

Amounts owed to group undertakings are initially measured at fair value and are subsequently reported at amortised cost. Non-interest bearing trade payables are stated at their nominal value as they are due on demand. For a number of loans owed to other group companies, the company has a contractual right to defer payment by one year and one day and therefore these amounts are disclosed as non-current liabilities.

Financial guarantee contract liabilities

Financial guarantee contract liabilities are measured initially at their fair values. These liabilities are subsequently measured at the higher of the amount determined under IFRS 9 and the amount initially recognised (fair value) less where appropriate, cumulative amortisation of the initial amount recognised.

Judgements in applying accounting policies and key sources of estimation uncertainty

The preparation of financial statements requires the directors to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the year. Actual results could differ from those estimates.

The critical accounting policies, which the directors consider are of greater complexity and/or particularly subject to the exercise of estimates and judgements, are the same as those disclosed in note 1 to the consolidated financial statements in respect of taxation, post-employment benefits, contingent liabilities and legal proceedings.

A critical accounting estimate, specific to the company is the assessment of the recoverable amount of the investments in subsidiaries. Impairment reviews are performed to ensure that investments in subsidiaries are not carried above their recoverable amounts. The tests are dependent on management's estimates in respect of the forecasting of future cash flows, the discount rates applicable to the future cash flows and expected growth rates. Such estimates and judgements are subject to change as a result of changing economic conditions and actual cash flows may differ from forecasts.

Details are set out in note 9 to the consolidated financial statements.

2. Income statement

Note 4 to the consolidated financial statements provides details of the remuneration of the company's auditor for the group.

Information on Directors' emoluments, share and other interests, transactions and pension entitlements is included in the Directors' remuneration report in this Annual Report.

3. Investments in subsidiary undertakings

Cost	$ million
At 30 June 2024	**90,139**
Additions	1,194
At 30 June 2025	**91,333**
Additions	2
At 30 June 2026	**91,335**
Provision	
At 30 June 2024	**(14,036)**
Increase in the year	–
At 30 June 2025	**(14,036)**
Increase in the year	(19,045)
At 30 June 2026	**(33,081)**
Carrying amount	
At 30 June 2026	**58,254**
At 30 June 2025	77,297
At 30 June 2024	76,103

Investments in subsidiary undertakings include $193 million (2025 - $191 million) of costs in respect of share-based payments, granted to subsidiary undertakings which were not recharged to the subsidiaries. The additions comprise $2 million (2025 - $13 million) not recharged and capitalised as cost of investment during the year ended 30 June 2026.

In 2020, Diageo plc completed a restructuring of the ownership of a number of its subsidiaries and subsequently the book values of its investments reflected fair values prevailing at that time, including a book value of $55,937 million for its largest direct, wholly owned subsidiary, Tanqueray Gordon and Company Limited. At 30 June 2026, market valuations in the drinks industry were significantly lower than at the time of the investment restructuring which resulted in an impairment charge of $19,045 million for the investment in Tanqueray Gordon and Company Limited in the year ended 2026 that was recognised in the statement of comprehensive income. The recoverable value of the investment is $36,892 million. The recoverable amount is estimated based on fair value less costs of disposal, which was derived from a combination of valuation techniques including cash flow projections, quoted share prices and valuation multiples.

Impairment testing for the year ended 30 June 2026 has identified two investments as being sensitive to a reasonably possible change in assumption. The table below shows the headroom at 30 June 2026 and the impairment charge that would be required if the assumption in the calculation of their value in use were changed:

	Carrying value of investment $ million	Headroom $ million	10ppt decrease in cash-flows $ million	Low point of valuation range $ million
Tanqueray Gordon and Company Limited	**36,892**	**–**	**(3,924)**	**(1,993)**
Diageo Holdings Limited	**16,684**	**1,579**	**(488)**	**n/a**

A list of group companies as at 30 June 2026 is provided in note 10.

4. Financial assets and liabilities

Other financial assets and liabilities are recorded at fair value through the income statement and comprise the fair value of interest rate swaps with subsidiary undertakings, where the company acts as an intermediary between group companies, therefore it is not expected that there will be any net impact on future cash flows.

Amounts owed by and to group undertakings, trade and other receivables and trade and other payables are measured at amortised cost.

Amounts owed by and to group undertakings are interest bearing and unsecured. Other amounts owed by and to group undertakings are repayable on demand.

5. Deferred tax assets and liabilities

	Post-employment plans $ million	Other temporary differences $ million	Total $ million
At 30 June 2024	(156)	50	(106)
Recognised in income statement	(5)	10	5
Recognised in other comprehensive income and equity	22	–	22
At 30 June 2025	**(139)**	**60**	**(79)**
Recognised in income statement	**(2)**	**(12)**	**(14)**
Recognised in other comprehensive income and equity	**23**	**–**	**23**
At 30 June 2026	**(118)**	**48**	**(70)**

Deferred tax on other temporary differences includes assets in respect of the UK Thalidomide Trust liability of $43 million (2025 - $50 million), share-based payment liabilities of $3 million (2025 - $6 million) and restructuring provision of $2 million (2025 - $4 million).

6. Post-employment benefits

The movement in the net surplus for the two years ended 30 June 2026, for all UK post-employment plans for which the company is the sponsor, is as follows:

	Plan assets $ million	Plan liabilities $ million	Net surplus $ million
At 30 June 2024	5,654	(5,029)	625
Income/(charge) before taxation	275	(273)	2
Other comprehensive income/(loss)	37	(124)	(87)
Contributions by group companies	16	–	16
Employee contributions	1	(1)	–
Benefits paid	(343)	343	–
At 30 June 2025	**5,640**	**(5,084)**	**556**
Income/(charge) before taxation	**288**	**(294)**	**(6)**
Other comprehensive (loss)/income	**(318)**	**225**	**(93)**
Contributions by group companies	**13**	**–**	**13**
Employee contributions	**1**	**(1)**	**–**
Benefits paid	**(353)**	**353**	**–**
At 30 June 2026	**5,271**	**(4,801)**	**470**

The net surplus for the UK post-employment plans of $470 million (2025 - $556 million) for which the company is a sponsor comprises funded plans of $517 million (2025 - $608 million) disclosed as part of non-current assets and unfunded liabilities of $47 million (2025 - $52 million) disclosed as part of non-current liabilities.

The disclosures have been prepared in accordance with IFRIC 14. In particular, where the calculation for a plan results in a surplus, the recognised asset is limited to the present value of any available future refunds from the plan or reductions in future contributions to the plan, and any additional liabilities are recognised as required.

Additional information on the UK post-employment plans and the principal risks and assumptions applicable is disclosed in note 14 to the consolidated financial statements.

Financial statements *continued*

7. Provisions

	Thalidomide $ million	Other $ million	Total $ million
At 30 June 2025	**198**	**15**	**213**
Income statement charge	**(7)**	**–**	**(7)**
Utilised	**(18)**	**(9)**	**(27)**
Unwinding of discounts	**7**	**–**	**7**
At 30 June 2026	**180**	**6**	**186**

The company's commitment to the UK Thalidomide Trust is discounted and will be utilised over the period of the commitment up to 2037. Income statement charges are primarily driven by the translation of foreign currency liability.

At 30 June 2026, $24 million (2025 – $32 million) of provision is current and $162 million (2025 – $181 million) is non-current.

8. Guarantees and letters of comfort

The company has guaranteed certain external borrowings of subsidiaries which at 30 June 2026 amounted to $21,746 million (2025 – $23,728 million).

The company has also provided irrevocable guarantees relating to the liabilities of certain of its Dutch subsidiaries. The company has assessed that the likelihood of these guarantees being called is remote. The Directors do not expect the company to be liable for any legal obligation in respect of these guarantee agreements, and they have been recognised at $nil value.

The company issues letters of comfort to provide sufficient funds to directly owned subsidiary undertakings as and when required.

9. Shareholders' funds

(a) Merger reserve

On the acquisition of a business, or of an interest in an associate, fair values, reflecting conditions at the date of acquisition, are attributed to the net assets acquired. Where merger relief is applicable under the UK Companies Acts, the difference between the fair value of the business acquired and the nominal value of shares issued as purchase consideration is treated as a merger reserve.

(b) Own shares

At 30 June 2026, own shares comprised 2 million ordinary shares held by employee share trusts (2025 – 3 million; 2024 – 3 million) and 206 million ordinary shares repurchased and held as treasury shares (2025 – 207 million; 2024 – 209 million).

Information on movements in own shares is provided in note 18(c) to the consolidated financial statements.

(c) Retained earnings

$9,894 million (2025 – $7,323 million) of retained earnings is available for the payment of dividends or purchases of own shares. Determining the company's reserves available for distribution is complex and requires, in some instances, the application of judgement. The company has determined what is realised and unrealised profits in accordance with the Companies Act 2006 and the guidance included in ICAEW Technical Release TECH 02/17BL 'Guidance on realised and distributable profits under the Companies Act 2006'. The company's reserves available for distribution include adjustments to retained earnings in respect of the unrealised portion of the dividend in specie received by the company, post-employment benefit surpluses, share-based payment charges capitalised to investments and restriction due to share capital in foreign currency.

10. Group companies

In accordance with Section 409 of the Companies Act 2006 a full list of subsidiaries, partnerships, associates, joint ventures and joint arrangements, the country of incorporation and the effective percentage of equity owned, as at 30 June 2026 are disclosed below. Unless otherwise stated the share capital disclosed comprises ordinary shares which are indirectly held by Diageo plc.

FULLY OWNED SUBSIDIARIES

Angola

Rua Fernao de Sousa, Condominio Bengo, Letter A, 11.s floor, Fraction A37, neighbourhood Vila Alice, Province of Luanda

Diageo Angola Limitada

Argentina

Bernardo de Irigoyen 972, floor 7, office A, CABA

Diageo de Argentina S.A.

Australia

Whittred Street, QLD, 4670, Bundaberg

Bundaberg Distilling Company Pty Ltd[5]

99 Macquarie Street, Level 7, NSW, 2000, Sydney

Bundaberg Distilling Investments Pty Ltd[3]

Diageo Australia Limited[3]

Austria

Teinfaltstrasse 8, 1010, Wien

Diageo Austria GmbH

Belgium

Gare Maritime, Rue Picard 7, boîte 100, 1000, Bruxelles

Diageo Belgium N.V.

Bermuda

Victoria Place, 5th Floor, 31 Victoria Street, Hamilton, HM10

Atalantaf Limited

Brazil

Municipio de Itaitinga, Estado do Ceara, na Rodovia BR 116, no 15.000, Bairro Jiboia, CEP 61.880-000

Ypioca Industrial de Bebidas S.A.

Rua Olimpiadas, 205, floor 14-15, 04551-000, Sao Paulo

Diageo Brasil Ltda

Bulgaria

7 Iskarsko Shose Blvd., Trade Center Europe, building 12, floor 2, 1528, Sofia

Diageo Bulgaria Ltd

Cameroon

535 rue Afcodi, Douala P.O. Box 1245

Diageo Cameroon Ltd

Canada

134 Peter Street, Suite 1501, Ontario, M5V 2H2, Toronto

Diageo Canada Holdings Inc.

Diageo Canada Inc.

Boul Henri-Bourassa E., 9225, Local A, Quebec, H1E 1P6, Montreal

Diageo Americas Supply Quebec Distribution Inc.

Boul Henri-Bourassa E., 9225, Local B, Quebec, H1E 1P6, Montreal

Diageo Ireland Quebec Distribution Inc.

Chile

Rosario Norte 615, Piso 5, Oficinas 501-504, 7561211, Las Condes, Santiago de Chile

Diageo Chile Limitada

China

41F, One Museum Place, 669 Xinzha Road, Jingan District, Shanghai

Diageo China Limited

Fengxiang Village Fengyu Town, Eryuan County, Dali Bai Minority Region, Yunnan Province

Diageo Yuntuo Liquor (Dali) Co. Ltd

No. 9 Quanxing Road, Jinniu District, Chengdu, 610036

Sichuan Chengdu Shuijingfang Group Co. Ltd

No.28 Jiafeng Road, 2502, 5, Pudong District, 200137, Shanghai

Diageo (Shanghai) Limited

Unit 1101, 1102, Building 16, No.1000 Jinhai Road, Shanghai

Diageo Liquor Technology (Shanghai) Co. Ltd

Unit B, 2nd Floor, West Logistics Center, No. 88 Linhai Avenue, Nanshan Street, Shenzhen

Diageo Supply Chain (Shenzhen) Co. Ltd

Colombia

13-21, Avenida Calle 100, Bogota

Diageo Colombia S.A.

Costa Rica

Trejos Montealegre, Edificio Escazu, Village II, Oficinas 03-118 y 03-120, Distrito San Rafael, San Jose

Diageo Costa Rica S.A.

Croatia

Hektoroviceva ulica 2, 10000, Zagreb

Diageo Croatia d.o.o.za usluge

Czech Republic

Namesti I. P. Pavlova 1789/5. 4th floor, 120 00, Prague 2

Diageo Czech Marketing Services LLC

Denmark

Sundkrogsgade 19, 2. 2100, Copenhagen

Diageo Denmark AS

Dominican Republic

Num. 07 Av. Jacinto Ignacio Manon, Sector Ensanche Paraiso, Edificio Chez Space, Piso 3rd, Distrito Nacional, Santo Domingo

Diageo Dominicana S.R.L.

France

6 Avenue Franklin D. Roosevelt, 75008, Paris

Diageo France Investments SAS

Diageo France SAS

United Distillers France SAS

Germany

Reeperbahn 1, 20359, Hamburg

Belsazar GmbH

Diageo Germany GmbH

Greece

Leof. Kifisias 115, Athens, 115 24

Diageo Hellas S.A.

Guernsey

Heritage Hall, Le Marchant Street, St Peter Port, GY1 4HY

Diageo Group Insurance Company Limited

Hong Kong

31/F, Tower two, Times Square, 1 Matheson street Causeway Bay, Hong Kong

Diageo RTD Hong Kong Limited

Hungary

Dozsa Gyorgy ut 144, Budapest, 1134

Diageo Business Services Private Company Limited by Shares

Diageo Hungary Finance Limited Liability Company

Diageo Hungary Marketing Services Limited Liability Company

India

F-93 Ground Floor & Third Floor, Okhla Industrial Area, Phase-III, New Delhi, India, 110020

Nao Spirits & Beverages Private Limited

Maharashtra, Elphinstone Road, 14th Floor, Tower 4, Senapati Bapat Marg, One Unity Center, Unit No. 1404-1405, Mumbai, 400013

Diageo India Private Limited

Kempapura Main Road, Opp Nagawara Lake, Karle SEZ Tower, 2nd floor, Karnataka, 560045, Bangalore

Sushant Lok-1, Sector 27, Haryana, 122009, Gurugram

Diageo Business Services India Private Limited

Indonesia

JL RA Kartini Kav. 8, South Quarter Building, Tower B, 17th Flr., Jakarta, South Jakarta, 12430

PT Gitaswara Indonesia[8]

Ireland

Nangor House, Western Estate, Nangor Road, Dublin, 12

R & A Bailey & Co Unlimited Company

UDV Ireland Group (Trustees) Designated Activity Company[2]

St. James's Gate, Dublin 8

AGS Employee Shares Nominees (Ireland) Designated Activity Company

Arthur Guinness Son & Company (Dublin) Unlimited Company[2]

Diageo Ireland Finance 1 Unlimited Company

Diageo Ireland Holdings Unlimited Company

Diageo Ireland Unlimited Company

Guinness Storehouse Limited

R & A Bailey Pension Trustee Designated Activity Company[2]

Financial statements *continued*

Italy

Viale Luigi Sturzo 45, 20154, Milan

Diageo Italia S.p.A.

Japan

9-7-1 Akasaka, Minato-ku, Tokyo 107-6243

Diageo Japan K.K.

Kenya

Chiromo road, L.R No. 209/6921, Westlands, Nairobi, 00100

Diageo East Africa Limited

L R NO 1870/1/176, Aln House, Eldama Ravine Close, off Eldama Ravine Road, Westlands, Nairobi

Diageo Kenya Limited

La Reunion

45 Rue Alexis De Villeneuve 97400 Saint-Denis

Diageo Reunion SAS

Lebanon

Verdun Street, Ibiza Building, Beirut, P.O. Box 113-5631

Diageo LENA Off-shore SAL

3rd Floor, Office K, Daoud Ammoun Street, Qubic Center, Sin El Fil, Beirut

Diageo - Lebanon SAL

Mexico

Av. Ejercito Nacional, 843-B, Torre Paseo Acceso B, 2, Mexico City, 11520

Diageo Mexico II S.A. de C.V.

Calle Gobernador Rafael Rebollar 95, Col San Miguel de Chapultepec, Del Miguel Hidalgo CP 11850, Mexico City

Casa Um, S.A.P.I. de C.V.

Carretera Atotonilco - Guadalajara, Atotonilco el Alto, Jalisco, 47750

Diageo Mexico Comercializadora S.A. de C.V.

Diageo Mexico S.A. de C.V.

Independencia SN Santiago, Matatlán, Oaxaca 70440

Sombra Mezcal S. de R.L. de S.V.

Porfirio Diaz 17, Jalisco, 47750, Atotonilco el Alto

Diageo Mexico Agavera S.A. de C.V.

Diageo Mexico Operaciones S.A. de C.V.

Diageo Mexico Spirits

Don Julio Agavera S.A. de C.V.

Mozambique

Estrada Nacional numero 1, Micanhine, Marracuene

Diageo Supply Marracuene Lda

Netherlands

De Ruyterkades, Postbus 2852 1000cw Amsterdam

United Distillers & Vintners (SJ) B.V.[2]

Molenwerf 12, 1014 BG, Amsterdam

Diageo Atlantic B.V.

Diageo Brands B.V.

Diageo Capital B.V.[1]

Diageo Highlands Holding B.V.

Diageo Holdings Netherlands B.V.

Diageo Nederland B.V.

Diageo Relay B.V.

Global Farming Initiative B.V.

Kanlaon Importers B.V.

Selviac Nederland B.V.

New Zealand

123 Carlton Gore Road, Level 2, Newmarket, 1023, Auckland

Diageo New Zealand Limited[3]

Nigeria

Oba Akran Avenue Ikeja, 24, Lagos, PMB 21071, 100001

Diageo Brands Nigeria Ltd

The Wings Complex, West Wing, 1st Floor, 17A, Ozumba Mbadiwe road, Lagos, Victoria Island

Diageo Nigeria Limited

Norway

Apotekergata 10, 0180 Oslo

Diageo Norway AS

Panama

Costa del Este, Ave La Rotonda, Business Park, Torre V. piso 15 Panama City

Diageo Panama S.A.

Panama city, West Boulevard, PH ARIFA, 9th and 10th, Santa Maria Business

Diageo Taiwan Inc.

Paraguay

Avda Aviadores del Chaco 2050, Edificio World trade center, Torre 3 piso 11, Asuncion

Diageo Paraguay S.R.L.

Peru

Victor Andres Belaunde 147, Via Principal 133, Interior 107, Piso 10, San Isidro, Lima

Diageo Peru S.A.

Philippines

10th Floor Commerce and Industry Plaza Building, McKinley Hill Dr, Taguig, 1634

Diageo Asia Pacific Shared Services Centre Limited Inc.

Unit 1, 17th Floor, Ore Central 9th Avenue corner 31st Street Bonifacio Global City, Taguig City, 1634

Diageo Export SR Inc.[2]

Diageo Philippines Free Port Inc.[2]

Diageo Philippines Inc.

North Island United Enterprise Holdings Inc.[2]

Unit 3 G/F, 134 Legaspi Parkview Condominium, Carlos Palanca Street cor. Legaspi Street, Makati City

Chat Noir Co. Inc.

Poland

Przyokopowa Str. 31, PL 01 – 208 Warsaw

Diageo Polska Sp. z o.o.

Portugal

Avenida D. Joao II, No 50, piso 2, letra D, Edificio Mar Vermelho, 1990-095 Lisboa

Diageo Portugal - Distribuidora de Bebidas, Unipessoal, Lda

Romania

Expo Business Park, Street Aviator Popisteanu 54A, Cladirea 2, et 1-3, Sector 1, Bucharest, 012244

Diageo Balkans S.R.L.

Russia

Kaspiyskaya Street, 22, main bld. 1, bld. 5, floor 3, apartment VII, room 31a, 115304, Moscow

D Distribution Joint-Stock Company[2]

Diageo Brands Distributors LLC[2]

Singapore

Ocean Financial Centre, 10 Collyer Quay 20-01/04, Singapore 049315

Diageo Singapore Pte. Ltd

Streetcar Investment Holding Pte. Ltd

South Africa

Building 3, Maxwell Office Park, Magwa Crescent West, Waterfall City, Midrand, 2090

Diageo South Africa (Pty) Limited

United Distillers Southern Africa (Proprietary) Limited

South Korea

932-94, Daewol-ro, Daewol-myun, Icheon-shi, Gyeonggi-do, Icheon, 17342

Diageo Korea Co. Ltd

Spain

Avda de la Victoria 32, Edificio Spirit, 28023, Madrid

Diageo Espana S.A.

Sweden

Gavlegatan street 16., 11330, Stockholm

Diageo Sweden AB

Switzerland

Gotham Lausanne Gare, Avenue d'Ouchy 4, Lausanne, 1006

Diageo Suisse S.A.

Tanzania

CRB Africa Legal Attorneys, Plot 60, Ursino Street P.O. Box 32840, Dar es Salaam

Sumagro Limited[2]

Türkiye

Esentepe Mah. Bahar Sk. Ozdilek River Plaza Vyndham Grand Apt. No 13/25 Sisli, Istanbul

Mey Alkollü İçkiler Sanayi ve Ticaret A.Ş.

Mey İçki Sanayi ve Ticaret A.Ş.

Ukraine

1v Pavla Tychyny avenue, 02152, Kyiv

Diageo Ukraine LLC

United Arab Emirates

Dubai World Trade Center One Zaabeel, Dubai

Diageo MENA Holding FZE

United Kingdom

11 Lochside Place, Edinburgh, EH12 9HA

Arthur Bell & Sons Limited[2]

Copper Dog Whisky Limited

Diageo Capital plc[1]

Diageo Scotland Limited

J & B Scotland Limited[2]

John Haig & Company Limited

The Lochnagar Distillery Limited[2]

William Sanderson and Son Limited[2]

Zepf Technologies UK Limited

16 Great Marlborough St, London, W1F 7HS

Anna Seed 83 Limited

Cellarers (Wines) Limited

Chase Distillery Limited

Diageo (IH) Limited[2]

Diageo Distribution Company Limited

Diageo DV Limited

Diageo Eire Finance & Co[2]

Diageo Finance plc[1]

Diageo Finance US Limited

Diageo Financing Turkey Limited

Diageo Great Britain Limited

Diageo Healthcare Limited[2]

Diageo Holdings Limited[1]

Diageo Holland Investments Limited[2]

Diageo Investment Holdings Limited

Diageo Overseas Holdings Limited[6]

Diageo Scotland Investment Limited

Diageo Treasury Limited

Diageo UK Turkey Holdings Limited

Diageo UK Turkey Limited

Grand Metropolitan Capital Company Limited

Grand Metropolitan Estates Limited

Grand Metropolitan International Holdings Limited

Grand Metropolitan Limited

Guinness Limited[1],[2]

Guinness Overseas Holdings Limited[1]

Guinness Overseas Limited

James Buchanan & Company Limited[2]

John Walker and Sons Limited[2]

Kanlaon Ltd

Seedlip Ltd

Tanqueray Gordon and Company Limited[1]

The Distillers Company (Biochemicals) Limited[2]

The Pimm's Drinks Company Limited[2]

UDV (SJ) Holdings Limited[1]

UDV (SJ) Limited

United Distillers France Limited

3rd Floor Capital House, 3 Upper Queen Street, Belfast

Diageo Global Supply IBC Limited

Diageo Northern Ireland Limited[1]

S & B Production Limited

61 St. James's Street, London, SW1A 1LZ

Justerini & Brooks Limited

United States

1 Estate Annaberg & Shannon Grove, RR1 Box 9400, Kingshill, VI 00850-9703

Diageo USVI Inc.

1521 Concord Pike Suite 201, Wilmington, DE 19803

21 Seeds Inc.

ASL Leasing and Investment LLC

Aviation Gin LLC

Casamigos Spirits Company LLC

Casamigos Tequila LLC

CT Staffing Services LLC

Davos Brands LLC

Davos Services LLC

DeLeon Holdco LLC

Diageo Americas Inc.

Diageo Beer Company USA

Diageo Inc.

Diageo Investment Corporation

Diageo Latin America & Caribbean LLC

Diageo Non-Alcohol Beverages LLC

Liquor Investment LLC

PDX Spirits LLC

Ritual Beverage Company LLC

Soh Spirits LLC

Sombra Holdings LLC

Stirrings LLC

The Bulleit Distillery, Inc.[2]

Vivanda Inc.

175 Greenwich Street, Three World Trade Center, New York, NY 10007

Seedlip Inc.

5444 Westheimer 1000, Houston, TX 77056

Balcones Distilling LLC

Far West Spirits LLC

7801 Folsom Boulevard #202, Sacramento, CA 95826

Ballroom Acquisition, Inc.

Whisky Archive Inc.

15 North Mill Street, Nyack, New York, NY 10960

Diageo Americas Supply Inc.

10 Dorrance Street Suite 700,Providence, RI 02903

Diageo Loyal Spirits Corporation

6 Landmark Square, 4th floor, Stamford, CT 06901

Diageo North America, Inc.[5]

Uruguay

Pasaje Paseo De Las Carretas, 2580, oficina 1301, Montevideo

Diageo Uruguay S.A.

Venezuela

Ave. San Felipe Urbanización La Castellana, Edificio Centro Coinasa, Piso 6. Caracas, 1060

Diageo Venezuela C.A.

Carretera Nacional Acarigua-Barquisimeto Casa Agropecuaria Las Marias I C.A.S-N Sector los Guayones La Miel, Lara.

Agropecuaria Las Marias I C.A.

Vietnam

No-15, Nguyen Khoai Street, Dong Hai Ward, Khanh Hoa Province

Diageo Vietnam

Zimbabwe

48 Midlothian Avenue, Eastlea, Harare

International Distillers - Zimbabwe (Private) Limited[2]

SUBSIDIARIES WHERE THE EFFECTIVE INTEREST IS LESS THAN 100%

Angola

Rua Dom Eduardo Andre Muaca, S/No, LOTE C4, Luanda

DIREF Industria de Bebidas, Lda-Angola JV - 50.10%

British Virgin Islands

Commerce House, Wickhams Cay 1, P.O. Box 3140, Road Town, Tortola

Rum Creation & Products Inc.[4] - 50.00%

Sea Meadow House, Blackburne Highway, P.O. Box 116, Road Town, Tortola

Palmer Investment Group Limited[2],[9] - 55.88%

USL Holdings Limited[2],[9] - 55.88%

China

No. 9 Quanxing Road, Jinniu District, Chengdu, 610036

Sichuan Swellfun Co. Ltd[10] - 63.16%

Cuba

211 Avenida Malecón, entre J y K, Vedado, Plaza de la Revolución, La Habana

Ron Santiago S.A. - 50.00%

Guatemala

Calle 8-19 zona 9, Quetzaltenango

Anejos De Altura, S.A. - 50.00%

Hungary

Dozsa Gyorgy ut 144, Budapest, 1134

Diageo Employee Ownership Program Organization - 99.94%

India

UB Tower, 24 Vittal Mallya Road, Bangalore, 560001

Royal Challengers Sports Private Limited[9] - 55.88%

United Spirits Limited[9] - 55.88%

Indonesia

Jl. Raya Kaba-Kaba No. 88, Banjar Carik Padang, Desa Nyambu, Kecamatan Kediri, Kabupaten Tabanan, Provinsi Bali

PT Langgeng Kreasi Jayaprima - 80.00%

Kenya

5th Floor, Garden City Business Park, Block A, Garden City Road, Off Exit 7, Thika Superhighway, Nairobi, P.O. Box 30161-00100

Kenya Breweries Limited[5] - 65.00%

UDV Kenya Limited - 83.79%

Garden City Business Park, 5th Floor, P.O. Office Box Number 30161-00100, Nairobi

East African Breweries PLC - 65.00%

Kampala Road, Industrial Area, Nairobi, P.O. Box 41412-00100

East African Maltings Limited - 65.00%

Tusker House, Ruaraka, P.O. Box 30161, 00100 Nairobi GPO

Allsopp (East Africa) Limited[2] - 63.05%

EABL International Limited[2] - 65.00%

Financial statements *continued*

Tembo Properties Limited[2] - 65.00%

Lebanon

Verdun Street, Ibiza Building, Beirut, P.O. Box 113-5631

Diageo Lebanon Holding SAL - 99.99%

Mauritius

IFS Court, Twenty Eight, Cybercity, Ebene

Asian Opportunities and Investment Limited[2],[9] - 55.88%

Netherlands

Molenwerf 12, 1014 BG, Amsterdam

Ketel One Worldwide B.V.[4] - 50.00%

North Cyprus

Sehit Mehmet Cetin Sokak, Kucuk Sanayi Bölgesi 4, 99450, Gazi Magusa

Turk Alkollu Icki ve Sarap Endustri Ltd - 66.00%

Philippines

Unit 1, 17th Floor, Ore Central 9th Avenue corner 31st Street Bonifacio Global City, Taguig City, 1634

United Distillers & Vintners Philippines Inc.[2] - 99.95%

Rwanda

Tusker House, Ruaraka, P.O. Box 30161, 00100 Nairobi GPO

East African Breweries Rwanda Limited - 65.00%

South Sudan

Southern Sudan African Park Hotel, Juba Town

East African Beverages (Southern Sudan) Limited[2] - 64.35%

Tanzania

2nd Floor, East Wing TDFL Building, Ohio street. P.O. Box 32840 Dar es Salaam

EABL (Tanzania) Limited[2] - 65.00%

Plot 117/2, Access Road, Nelson Mandela Expressway, Chang'Ombe Industrial Area, P.O. Box 41080, Dar es Salaam

Serengeti Breweries Limited[3] - 55.25%

Uganda

Plot 3-17 Port Bell Road, Luzira, Kampala, P.O. Box 7130

Uganda Breweries Limited - 63.87%

Plot No 1 Malt Road, Portbell Luzira P.O. Box 3221 Kampala

International Distillers Uganda Limited - 65.00%

17 Port Bell P. O. Box 7130 Kampala

East African Maltings (Uganda) Limited[2] - 65.00%

United Kingdom

11 Lochside Place, Edinburgh, EH12 9HA

Lochside MWS Limited Partnership

McDowell & Co. (Scotland) Ltd[2],[9] - 55.88%

16 Great Marlborough St, London, W1F 7HS

Diageo Pension Trust Limited[1],[8] - 55.00%

Lakeside MWS Limited Liability Partnership

Shaw Wallace Overseas Limited[2],[9] - 55.88%

United Spirits (Great Britain) Limited[2],[9] - 55.88%

United Spirits (UK) Limited[2],[9] - 55.88%

USL Holdings (UK) Limited[2],[9] - 55.88%

United States

175 Greenwich Street, Three World Trade Center, New York, NY 10007

California Simulcast Inc.[2] - 80.00%

Venezuela

Ave. San Felipe Urbanización La Castellana, Edificio Centro Coinasa, Piso 6. Caracas, 1060

Industrias Pampero C.A.[2] - 96.80%

Vietnam

621 Pham Van Chi Street, District 6, Ho Chi Minh City

Vietnam Spirits and Wine Ltd - 55.00%

ASSOCIATES

Denmark

Stauningvej 38, 6900 Skjern

Stauning Whisky Holding ApS - 40.00%

France

24/32 rue Jean Goujon, 75008 Paris

Moët Hennessy International - 34.00%

Moët Hennessy, SAS - 34.00%

Hungary

Soroksari ut 26, Budapest, 1095

Zwack Unicum plc - 26.00%

Italy

Via Tortona 15, 20144, Milan

Niococktails S.R.L. - 49.00%

Japan

845-3 Kaminokawa, Hiyoshi-cho Hioki-shi, Kagoshima

Komasa Kanosuke Distillery Company Ltd - 12.50%

Netherlands

Ceresstraat 1, 4811 CA Breda

Canbrew B.V.[4] - 28.16%

Philippines

Unit 1, 17th Floor, Ore Central 9th Avenue corner 31st Street Bonifacio Global City, Taguig City, 1634

ULM Holdings Inc.[2] - 40.00%

Spain

Calle Malí, 7 La Laguna, 38320 Santa Cruz de Tenerife

Compania Cervecera De Canarias S.A. - 20.00%

United Kingdom

354 Castlehill, The Royal Mile, Edinburgh, EH1 2NE

The Scotch Whisky Heritage Centre Limited - 30.00%

Lagmore, Speyside, Ballindalloch, Moray, AB37 9AX

Ballindalloch Distillery LLP - 33.33%

Unit 101 Brickfields, 37 Cremer Street, London, E2 8HD

Beyond Alcohol Ltd - 10.00%

Unit 1 Accelerator Park West Way Sawston, Cambridgeshire, CB22 3FG

Pulpex Limited - 18.06%

United States

1045 Dodge Lane Fallon, NV 89406

Nevada Spirits DE, LLC - 41.91%

1209 Orange Street, Wilmington, DE 19801

Gourmet Grade LLC - 35.10%

1521 Concord Pike Suite 201, Wilmington, DE 19803

Browned Butter Bottling LLC - 40.00%

Cîroc Spirits, LLC[13] - 58.90%

Lobos 1707 Spirits, LLC[13] - 58.90%

Pronghorn Initiative Holdings, LLC - 49.00%

16192 Coastal Highway, Lewes, Delaware 19958

Ironroot Republic Holdings LLC - 33.51%

251 Little Falls Drive, Wilmington, DE 19808

First Round, LLC[13] - 58.90%

Vietnam

94 Lo Duc Street, Pham Dinh Ho Ward, Hai Ba Trung District, Ha Noi City

Hanoi Liquor and Beverage Joint Stock Company (Halico) - 45.57%

JOINT VENTURES

Costa Rica

Heredia-Flores Llorente, Cervecería de Costa Rica, Edificio Corporativo de FIFCO

HA&COM Bebidas del Mundo S.A. - 50.00%

India

F-42, Fourth Floor, Village Saidulajab, Mehrauli, 110030, New Delhi

V9 Beverages Private Limited - 13.97%

G-8, First Floor, Hauz Khas, 110016, New Delhi

Inspired Hospitality Private Limited - 7.40%

Plot No 63 Maxworth Nagar, Phase II, Tamil Nadu Chennai, 600122, Kolapakkam

Indie Brews and Spirits Private Limited - 13.97%

United Kingdom

9 Wheatfield Road, EDINBURGH, EH11 2PX

Lothian Distillers Limited - 50.00%

The North British Distillery Company Limited - 50.00%

JOINT OPERATIONS[12]

China

804A, 488 Middle Yincheng Road, Shanghai, Pilot Free Trade Zone

Moët Hennessy Diageo (China) Co. Ltd[11] - 67.00%

Dominican Republic

Segunda (2da) Street, Los Platanitos, Santiago

Industria de Licores Internationales S.A. - 60.86%

Hong Kong

Quarry Bay, 979 King's Road, Flat 02-04, 10/F, Oxford House, Taikoo Place, Hong Kong

Moët Hennessy Diageo Hong Kong Limited[11] - 67.00%

Japan

13F Jimbocho Mitsui Building, 1-105 Kandajimbocho, Chiyoda-ku, Tokyo

Moët Hennessy Diageo K.K.[11] - 67.00%

Macau

Avenida Comercial de Macau, nos 251ª-301, AIA Tower, Level 20, Macao

Moët Hennessy Diageo Macau Limited[11] - 67.00%

Malaysia

Unit 30-01, Level 30, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur

Moët Hennessy Diageo Malaysia Sdn Bhd.[11] - 67.00%

Netherlands

Molenwerf 12, 1014 BG, Amsterdam

Diageo-Moët Hennessy B.V.[5] - 67.00%

Singapore

Guoco Midtown Office, 128 Beach Road #23-01, Singapore 189773

Moët Hennessy Diageo Singapore Pte. Ltd[11] - 67.00%

Thailand

No. 944, Mitrtown Office Tower, 12th Floor, Rama 4 Road, Wangmai, Pathumwan, Bangkok, 10330

Diageo Moët Hennessy (Thailand) Limited[7] - 63.02%

Ukraine

Chervonoarmiyska Street, bld. 9/2, apt. 70, Kyiv

Seagram Ukraine Limited[2] - 60.90%

United Kingdom

Persimmon House, Fulford, York YO19 4FE

Trafalgar Metropolitan Homes Limited - 50.00%

(1) Directly owned by Diageo plc.
(2) Dormant company.
(3) Ownership held in class of A shares.
(4) Ownership held in class of B shares.
(5) Ownership held in class of A shares and B shares.
(6) Ownership held in preference shares.
(7) Operation is managed by Diageo.
(8) Companies controlled by the group based on management's assessments.
(9) Based on 55.88% equity investment in USL that excludes 2.38% owned by the USL Benefit Trust.
(10) Additional 0.15% via Treasury shares at 30 June 2026 and 0.15% at 30 June 2025.
(11) Operation is managed by Moët Hennessy.
(12) Diageo shares joint control over these entities under shareholders' agreements, and Diageo's rights to profit, assets and liabilities of the companies are dependent on the performance of the group's brands rather than the effective equity ownership of the companies.
(13) Companies controlled by Main Street Advisors based on management's assessment.